European Parliament

Parliamentary confirmation hearings of the Commissioners-designate

An analysis of the portfolios of the new von der Leyen Commission



COMPENDIUM OF BRIEFINGS

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Members' Research Service
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EDITOR

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Foreword

This compendium brings together a set of briefings prepared by the European Parliamentary Research Service (EPRS) to guide Members of the European Parliament through the parliamentary hearings of Commissioners-designate in early November 2024. These public confirmation hearings form the backdrop to Parliament's confirmation vote on the College of Commissioners put forward by Ursula von der Leyen, following her re-election as Commission President by the European Parliament in July 2024. In addition to an overview of the process, setting its historical and political context, this volume contains a briefing on each of the Commissioners-designate and their portfolios. Each of these briefings highlights some of the key issues and recent developments in the portfolio, as well as looking back on Parliament's activity in the area in the last parliamentary term.

For further information on a range of topics relevant to individual hearings, please see the following publications:

Bassot E., The six policy priorities of the von der Leyen Commission: An end-of-term assessment, EPRS, April 2024.

Bassot E., Unlocking the potential of the EU Treaties: An article-by-article analysis of the scope for action, EPRS, European Parliament, May 2020.

D'Alfonso A. et al., Budgetary Outlook for the European Union 2024, EPRS, European Parliament, May 2024.

D'Alfonso A., Hoflmayer M. and Sabbati G., Economic Outlook Quarterly – A crucial phase for Next Generation EU, EPRS, European Parliament, September 2024.

Del Monte M. et al., The evolving powers of the European Parliament, EPRS, European Parliament, September 2024.

Drachenberg R. and Kotanidis S., The Future of Europe debates in the European Parliament, 2018-19 – A synthesis of the speeches by EU Heads of State or Government, EPRS, European Parliament, May 2019.

EPRS, Ten ways that Europe could do more for you – Mapping the cost of non-Europe, European Parliament, February 2024.

Kiss M., Demographic Outlook for the European Union 2022, EPRS, European Parliament, May 2022.

Lazarou E. and Stanicek B., Mapping threats to peace and democracy worldwide: Normandy Index 2024, EPRS, European Parliament, September 2024.

See also:

Fact Sheets on the European Union, European Parliament

'In Focus' policy papers on the What Europe does for me website, European Parliament

The European Parliament's Think Tank website provide access to the full range of research publications prepared to assist Members in their parliamentary work.

OVERVIEW OF THE CONFIRMATION HEARINGS

MORNING 9.00–12.00 | AFTERNOON 14.30–17.30 | EVENING 18.30–21.30

Monday 4 November

The hearings of the Commissioners-designate will take place in the József Antall building, in rooms 2Q2 and 4Q2, at the times indicated. Each hearing will last 3 hours.

The table shows the committee(s) responsible for each hearing. Certain other committees have been invited to participate in each case.

Maroš ŠEFČOVIČ



INTA AFCO

Trade and Economic Security; Interinstitutional Relations and Transparency

Glenn MICALLEF



CULT

Intergenerational Fairness, Youth, Culture and Sport

Christophe HANSEN



AGRI

Agriculture and Food

Apostolos TZITZIKOSTAS



TRAN

Sustainable Transport and Tourism

Tuesday 5 November

Michael MCGRATH



LIBE IMCO JURI

Democracy, Justice, and the Rule of Law

Ekaterina ZAHARIEVA



ITRE

Start-ups, Research and Innovation

Dan JØRGENSEN



ITRE EMPL

Energy and Housing

Dubravka ŠUICA



AFET

Mediterranean

Jessika ROSWALL



ENVI

Environment, Water Resilience and a Competitive Circular Economy

Magnus BRUNNER



LIBE

Internal Affairs and Migration

Wednesday 6 November

Hadja LAHBIB



DEVE FEMM LIBE ENVI

Preparedness and Crisis Management; Equality

Maria Luís ALBUQUERQUE



ECON

Financial Services and the Savings and Investments Union

Costas KADIS



PECH

Fisheries and Oceans

Jozef SÍKELA



DEVE

International Partnerships

Andrius KUBILIUS



AFET ITRE

Defence and Space

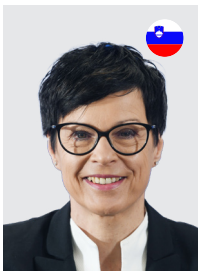
Olivér VÁRHELYI



ENVI AGRI

Health and Animal Welfare

EPRS | European Parliamentary Research Service
Authors: Györgyi Mácsai, Lucille Killmayer
Members' Research Service
PE 762.424 – October 2024

MORNING 9.00–12.00		AFTERNOON 14.30–17.30		EVENING 18.30–21.30	
Thursday 7 November					
Wopke HOEKSTRA	**Marta KOS**	**Piotr SERAFIN**	**Valdis DOMBROVSKIS**		
					
ENVI ITRE ECON Climate, Net Zero and Clean Growth	AFET Enlargement	BUDG CONT Budget, Anti-Fraud and Public Administration	ECON JURI Economy and Productivity; Implementation and Simplification		
Tuesday 12 November					
Raffaele FITTO	**Kaja KALLAS**	**Roxana MÎNZATU**	**Stéphane SÉJOURNÉ**	**Teresa RIBERA RODRÍGUEZ**	**Henna VIRKKUNEN**
					
REGI Executive Vice-President: Cohesion and Reforms	AFET High Representative for Foreign Affairs and Security Policy/Vice-President	EMPL CULT Executive Vice-President: People, Skills and Preparedness	ITRE IMCO ENVI ECON Executive Vice-President: Prosperity and Industrial Strategy	ENVI ECON ITRE Executive Vice-President: Clean, Just and Competitive Transition	ITRE IMCO Executive Vice-President: Tech Sovereignty, Security and Democracy

COMMITTEES:

- AFET Foreign Affairs
- DEVE Development
- INTA International Trade
- BUDG Budgets
- CONT Budgetary Control
- ECON Economic and Monetary Affairs
- EMPL Employment and Social Affairs
- ENVI Environment, Public Health and Food Safety
- ITRE Industry, Research and Energy
- IMCO Internal Market and Consumer Protection
- TRAN Transport and Tourism
- REGI Regional Development
- AGRI Agriculture and Rural Development
- PECH Fisheries
- CULT Culture and Education
- JURI Legal Affairs
- LIBE Civil Liberties, Justice and Home Affairs
- AFCO Constitutional Affairs
- FEMM Women's Rights and Gender Equality
- PETI Petitions

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Teresa Ribera Rodríguez

Executive Vice-President: Clean, Just and Competitive Transition

Confirmation hearing due to be held on Tuesday 12 November, at 18.30.

European Parliament committees responsible: Environment, Public Health and Food Safety (ENVI), Economic and Monetary Affairs (ECON) and Industry, Research and Energy (ITRE)

Teresa Ribera Rodríguez has held senior posts in the Spanish government since 2018, most recently serving as third vice-president of the government and minister for ecological transition and demographic challenge (2021-2024), fourth vice-president of the government and minister for ecological transition and demographic challenge (2020-2021) and minister for ecological transition (2018-2020).

Since 2000, Ribera Rodríguez has been involved in the international climate negotiations for the United Nations Framework Convention on Climate Change. From 2013 to 2014, she was advisor on energy and climate programme at the Institute for Sustainable Development and International Relations, and in 2019, she was responsible for organising the UNFCCC COP25 in Madrid.

Member of the Spanish parliament, representing the Socialist party, since 2019, Ribera was state secretary for climate change and biodiversity in a previous government from 2008 to 2011.

Born in 1969 in Madrid, Ribera Rodríguez holds a law degree from Madrid's Complutense University and a diploma in constitutional law and political science from the Centre for Political and Constitutional Studies.



Teresa Ribera Rodríguez, Spain.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priority issues for the vice-president
- Main projects
- Parliament's priorities
- Executive responsibilities
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

EPRS | European Parliamentary Research Service

Author: Marcin Cesluk-Grajewski
Members' Research Service

PE 762.450 – October 2024

Fundamentals of the portfolio

Ribera Rodríguez's role, as set out in the political guidelines of the European Commission President-elect and the relevant mission letter, will be to oversee the European Union's clean and competitive transition in a socially fair way. The transition will involve measures to fight climate change, including accelerating decarbonisation, making the EU economy more circular, boosting the EU's flagging competitiveness, stepping up innovation, and ensuring that taxation supports social justness, in particular through the Social Climate Fund and the Just Transition Fund.

Together with the Vice-President for Prosperity and Industrial Policy, Ribera Rodríguez is tasked with working on the clean industrial deal to unlock investment, create lead markets for clean technology and put conditions in place for companies to grow and compete.

While strengthening the implementation of the existing legal framework to reach the EU's 2030 targets, the Vice-President is to prepare a longer-term architecture to enable the EU to reach its 2050 target of net zero greenhouse gas emissions. The European Climate Law requires the Commission to propose emissions reduction targets for 2040. Earlier this year, the Commission published a communication and an impact assessment on the issue; a 90 % reduction target is one of a number of options.

Ribera Rodríguez's role will include overseeing competition policy, which requires non-discrimination and equal treatment for companies, and developing a new State aid framework to speed up the roll-out of renewable energy and deployment of industrial decarbonisation and increase clean tech manufacturing capacities. She will have to review the Horizontal Merger Control Guidelines, simplify State aid rules and focus on the challenges facing small and medium-sized companies, notably to avert the risk of 'killer acquisitions'.

The vice-president's guidance will be required in efforts to lower energy prices and overcome dependencies on fossil fuels, as well as in addressing energy poverty to combat the housing crisis.

The position involves supporting the implementation of the future European competitiveness fund and collaborating with Member States on important projects of common European interest. She will also be responsible for enforcing the Foreign Subsidies Regulation and the Digital Markets Act.

Priority issues for the vice-president

The overarching priority of the Executive Vice-President is to steer the Commission's work on the EU's clean, just and competitive transition by implementing and drafting new initiatives on competition policy and guiding other commissioners in their efforts to tackle climate change, strengthen European industry and ensure that the changes support social fairness.

Important consideration will be given to revamping competition policy to help EU companies rise more effectively to the challenge of growing global competition. The tasks are in line with the recent report by Mario Draghi, former Italian prime minster and ex-President of the ECB, which states that without a policy shift, EU firms will struggle on the global market.

In its Strategic Agenda for 2024-2029, the European Council has called for investment, both public and private, to boost EU sovereignty and make the EU a technological and industrial powerhouse.

Work will continue on the Commission's 2040 climate targets, which provide an interim goal in the pursuit of climate neutrality by 2050 as well as offering Member States predictability for the deployment of the best available, most cost effective and scalable technologies. One policy option explored in the Commission's impact assessment is to reduce the EU's net greenhouse gas emissions by 90 % compared with 1990 levels. The EU's other binding targets are to cut net greenhouse gas emissions by 55 % by 2030, compared with 1990, and to zero by 2050.

To alleviate the impact of the transitions on vulnerable groups, the approved Social Climate Fund is to provide a maximum of €65 billion from 2026 to 2032 to support building renovation, and access to affordable energy-efficient housing, electrification, and zero- and low-emission vehicles.

The fund will help to address the EU's energy poverty problem. The Social Climate Fund Regulation defines energy poverty as 'a household's lack of access to essential energy services that provide basic levels and decent standards of living and health, including adequate heating, hot water, cooling, lighting, and energy to power appliances, in the relevant national context, existing social policy and other relevant policies, caused by a combination of factors, including but not limited to non-affordability, insufficient disposable income, high energy expenditure and poor energy efficiency of homes'. According to Eurostat figures, in 2022 over 41 million people in the EU, 9.3 % of the population, were unable to keep their homes adequately warm. The Social Climate Fund is intended to help to mitigate the impact of extending the emissions trading system to fuels for road transport and buildings.

The Just Transition Mechanism, which is to mobilise €55 billion between 2021 and 2027, is another, shorter-term tool to alleviate the impact of the clean and competitive transitions by means of investment in those EU regions that are dependent on fossil fuels, including coal mining regions. The issue of fairness is also addressed by the InvestEU and public loan facility schemes.

The competitive transition will demand significant financial investment, estimated by the Draghi report at €750-800 billion per year in additional spending, to secure the necessary leap forward in EU competitiveness. The EU is facing a trade-off situation. Increasing reliance on China may be the cheapest route to meeting EU decarbonisation targets, but it is seen as a threat to its clean tech and automotive industries from China's state-sponsored competition regime. According to Draghi, the EU has a static industrial structure dominated by the same companies and technologies as decades ago.

A new State aid framework will be needed to facilitate industrial growth, simplify State aid rules, and take care of small and medium-sized enterprises. Other primary issues include the future European Competitiveness Fund, a review of merger rules and further development of important projects of common European interest (IPCEIs), which bring together knowledge, financial resources and economic actors throughout the EU.

Main projects

In her mission letter, von der Leyen asks Ribera Rodríguez to coordinate EU efforts to ascertain that its green and industrial transitions boost competitiveness in a socially fair way as part of the European Green Deal. Improving innovation, especially in the digital sector, will be pivotal if EU companies are to improve their international presence, at a time when the Union's economic growth rates have been lower than those of the United States in most years since 2005. Rapid enforcement of the Digital Markets Act is also among the vice-president's tasks.

The mission letter states that the EU needs a new State aid framework to speed up the roll-out of renewable energy and ensure sufficient clean tech capacity, while maintaining strong control over State aid, to address market failures and inefficiencies in public spending. In her political guidelines, the Commission President-elect spoke of the need for a new approach to competition policy that would be supportive of companies hoping to scale up on global markets. Enforcing the Foreign Subsidy Regulation is also important, as is mapping the most problematic practices that could lead to competition distortion.

The new State aid framework will form part of the clean industrial deal. In her address to the European Parliament in July 2024, von der Leyen stated the deal would seek to channel investment in infrastructure and industry, in particular for energy-intensive sectors. It is one of the initiatives that is to be proposed during the first 100 days of the new Commission's term.

Ribera Rodríguez will also have to focus on the challenges facing small and medium-sized enterprises (SMEs), in particular to address the risk of killer acquisitions from foreign companies seeking to eliminate them as a possible source of future competition.

Ribera Rodríguez's work on strengthening the IPCEI programme involving cross-border projects should focus on strategic sectors and technologies, and seek to secure maximum possible involvement of SMEs. The EU has approved State aid for IPCEIs worth more than €91 billion since 2018. There are currently 10 such projects under way, involving 22 Member States, in the areas of the battery, hydrogen, health and microelectronics value chains, cloud edge computing and the Fehmarn Belt fixed rail-road link.

The mission letter also asks Ribera Rodríguez to review the horizontal merger control guidelines to improve the EU's resilience, efficiency, innovation and investment intensity in strategic areas. The term 'horizontal merger' means the joining-up of companies operating in the same industry and at the same stage of the production or distribution process. The Draghi report, which the European Commission requested to help it steer future policies, states that the EU needs bigger and more efficient companies, especially in strategic sectors, such as defence, energy, banking and digital.

Ribera Rodríguez will be required to implement a future European competitiveness fund and make sure that it is coherent with State aid policy. In her political guidelines, the President-elect promised to propose the fund as part of the EU's 'new and reinforced budget in the next multiannual financial framework'. The mission letter states that Ribera Rodríguez should help in the work on a simpler, more focused and responsive long-term budget.

The vice-president will also have responsibility for steering work on EU investment and financing for a just and social transition, notably through the Social Climate Fund and the Just Transition Fund. In line with this task, Ribera Rodríguez's responsibility for revising the State aid rules will have to take into account the need to improve energy efficiency and social housing. This should serve to address energy poverty, to ensure that vulnerable consumers have access to essential energy services and products.

Working with Commissioners
Stéphane Séjourné (Vice-President): Prosperity and Industrial Policy
Wopke Hoekstra: Climate, Net Zero and Clean Growth
Dan Jørgensen: Energy and Housing
Jessika Roswall: Environment, Water Resilience and a Competitive Circular Economy
Valdis Dombrovskis: Economy and Productivity
Piotr Serafin: Budget, Anti-Fraud and Public Administration

Parliament's priorities

In a January 2024 resolution on competition policy, the European Parliament stressed the need to ensure that competition policy preserves the level playing field on the EU's internal market. It highlighted the threats to the market posed by allowing rich Member States to subsidise their companies more than poorer countries. Parliament also called on the EU to remain vigilant regarding the conduct of the big tech players, mainly from the US, that dominate the EU market in most areas.

In a February 2023 resolution on an EU strategy to boost industrial competitiveness, trade and quality jobs, Parliament called for the establishment of a European sovereignty fund to be put in place to invest in the areas now supported mainly by national State aid. It argued that the green transition needed to contribute to the deepening of the single market, help secure EU leadership in clean energy technologies, improve Europe's existing industrial base and produce high quality jobs. Parliament urged the Commission to take a stronger stance on tackling the unfair global competition caused by unjustified State aid. MEPs expressed concern for instance about the subsidy-laden US

Inflation Reduction Act, which they said discriminated against EU companies. In the same resolution, Parliament advocated flexibility in State aid rules in order to accelerate green and industrial transformations.

On the IPCEIs, in the same resolution, Members expressed concern at the lengthy processing times for their approval by the Commission. They also called for faster and more transparent permitting for strategic European projects. MEPs also called for measures to support re-industrialisation and prevent the de-industrialisation of vulnerable regions, for instance by means of strategic inter-regional investment projects and development plans.

Members have also stressed the importance of developing the circular economy. In their February 2021 resolution on the new circular economy action plan, they endorsed the ambition of establishing a well-functioning EU market for high-quality, non-toxic secondary raw materials. They called on the Commission to look into measures to make secondary raw materials more competitive.

In its legislative work on the revision of the Energy Efficiency Directive, Parliament advocated more stringent energy consumption targets. Its 2021 resolution on a European strategy for energy system integration meanwhile noted the need to enhance the EU's power grid infrastructure. In a 2020 resolution on energy storage, Members argued that the EU should also focus on the under-used potential of the market. It also stated that the EU urgently needed to accelerate deployment of renewables so that they are not held back by red tape, or under-development of grid and storage infrastructure.

In April 2022, shortly after Russia's full-scale invasion of Ukraine, Parliament supported a ban on imports of Russian gas.

In its September 2022 resolution on the Eighth Cohesion Report, Parliament addressed energy poverty, in the context of rising energy prices and the need for cheaper social housing and accelerated housing renovation.

In its October 2022 resolution on the EU's response to rising energy prices in Europe, Parliament stressed the need to keep energy affordable. This chimed with its December 2020 resolution on a 'strong social Europe for just transitions', which called for a strong agenda for a social Europe to focus on protecting everyone, especially the most vulnerable, and on making economic growth inclusive and socially just. In that resolution, Members called for green and socially just transitions to enable the EU to decarbonise its economy, make it more competitive to create jobs and make it more relevant on global markets.

Executive responsibilities

The vice-president has executive powers in the area of competition, ensuring the correct application of EU competition rules. This mainly involves monitoring and, where necessary, investigating anticompetitive agreements, cartels, price fixing, abuses by companies of dominant market positions, mergers and acquisitions and government support.

To do this, the Commission has a wide range of inspection and enforcement powers, for example to investigate businesses, hold hearings and grant exemptions. Governments have a duty to notify the European Commission in advance of any planned State aid for business.

The objective of merger control is to examine whether proposed mergers will have harmful effects on competition. If it is considered that a merger will not harm competition, it is approved unconditionally. Conversely, if a merger would harm competition, suitable commitments can be proposed by the merging firms to remove the harm.

State aid is prohibited by the Treaty unless justified by the need for general economic development. The European Commission is in charge of ensuring that State aid complies with EU rules and exemptions are applied equally across the European Union.

In 2023, the Foreign Subsidies Regulation started to apply. The new rules enable the Commissioner to address distortions caused by foreign subsidies and allows the EU to ensure a level playing field for all companies operating in the single market, while remaining open to trade and investment.

Since 2004, some of the Commission's enforcement functions have been undertaken by Member States within the 'modernisation' process (Regulation 1/2003). This allows national competition authorities (NCAs) to apply and enforce competition in smaller cases. Those authorities function as part of the European Competition Network. The EU Merger Working Group was set up in 2010 to foster increased consistency and cooperation among EU merger jurisdictions. It consists of representatives of the European Commission and of EU and European Economic Area NCAs.

Priorities and challenges

Expectations/public opinion

Responding to a 2022 Eurobarometer survey, 83 % of participants agreed that competition gives consumers more choice, and 82 % considered that it encourages innovation and economic growth.

In the 2023 Eurobarometer on climate change 93 % of participants viewed climate change as a serious problem. In the same survey, 85 % of participants agreed that the EU should boost the manufacturing of clean energy and 79 % thought that EU measures should seek to reduce energy consumption. Still on the subject of energy, 86 % of survey participants supported gas storage as a way to avoid the risk of shortages.

Arguably the greatest challenge for Ribera Rodríguez will be to balance climate objectives with social fairness and industrial competitiveness. Achieving the EU climate goal will require massive investment, while high spending will also be needed if the EU is to maintain citizens' living standards and equip industry to boost its competitiveness and innovation. Many of the EU's priorities and challenges are highlighted in the EPRS paper: Increasing European added value in an age of global challenges: Mapping the cost of non-Europe.

The Draghi report estimates that €750-800 billion in additional investment will be required annually to achieve the twin digital and green transitions. EU companies spent approximately €270 billion less on research and development than their US counterparts in 2021, largely because they are less dynamic and rely on technologies often developed decades ago.

In the area of competition, priorities will involve striking the right balance between allowing EU companies to scale up to boost their ability to compete globally and ensuring a level playing-field in the EU's single market at a time when it is supposed to undergo deepening, decarbonisation and digitalisation as well to see its strategic sovereignty increased.

Part of the discussion over the future of State aid is whether the EU should take a more global perspective when assessing its State aid rules. According to a joint statement made in April 2024, France, Germany and Italy are convinced that a new approach in competition policy is needed for big enterprises to compete globally. The outgoing EU Competition Commissioner, Margarethe Vestager, voiced concern, however, that any significant departure from strict EU competition rules could fragment the single market.

In 2022, France and Germany granted their companies €73.7 billion and €45 billion respectively in State aid, accounting for more than a half of the EU's €228 billion combined national State aid spending. Part of the discussion over EU State aid is linked to concern that other countries offer incentives for European companies to relocate. China meanwhile looks set to continue its protectionist economic policy, providing arguments for advocates of increased public support for EU companies. Chinese subsidies on electric vehicles are a case in point.

Another key issue will be to include innovation in the Commission's toolbox for assessing mergers and State aid, in particular to ward off killer acquisitions.

European Parliament

Treaty basis and European Parliament competence

Articles 101-109 of the Treaty on the Functioning of the European Union (TFEU) form the basis for the EU's competition policy.

EU environment policy is based on Articles 191 to 193 TFEU. Article 191 lists climate action as one of the objectives of EU environment policy. Article 11 TFEU also requires environmental protection to be taken account in other EU policies.

Article 194 TFEU is the legal basis for EU energy policy. Legislation under this article usually follows the ordinary legislative procedure, which gives an equal role to the Council and the Parliament. An exception is made for measures 'primarily of a fiscal nature' where the Council decides.

Social and employment policies are underpinned by Article 3 of the Treaty on European Union (TEU), and Articles 9, 10, 19, 45-48 and 145-161 TFEU.

While the European Parliament has legislative power on many social issues and in the areas of climate and environment, decisions on competition policy enforcement are firmly within the European Commission's remit. In competition policy, Parliament's role is limited to scrutiny of the executive. This responsibility falls primarily to the Committee on Economic and Monetary Affairs (ECON). The ECON committee prepares motions for resolutions on the Commission's annual reports on competition policy, offering policy input and steering Parliament's response to EU competition policy challenges. The Competition Commissioner is a regular invitee at ECON committee meetings.

Recent developments

During the previous parliamentary term, EU competition, climate, energy and single market policies have all changed significantly to adapt to the Commission's flagship project: the European Green Deal. Competition and other polices were also deeply affected by the COVID-19 pandemic, Russia's war on Ukraine, the resulting spike in energy prices, and rapid advancements in digital technologies.

The European Commission launched the European Green Deal in December 2019 to fight climate change while transforming the EU into a modern, resource-efficient and competitive economy. In the key area of the green and industrial transition, it provided a comprehensive roadmap designed to make the EU economy climate-friendly, competitive and sustainable. The Green Deal's main components included achieving net-zero greenhouse gas emissions by 2050, promoting the circular economy, supporting biodiversity and ecosystem restoration, and mobilising industry in the areas of clean energy and transportation.

In 2021, Parliament adopted the European Climate Law, which enshrines the 50 % net emissions reduction target for 2030 and an EU-wide climate neutrality target for 2050. MEPs also approved key laws from the 'fit for 55' legislative package. These included the emissions trading system (ETS) reform – to help achieve the net emissions reduction target of 55 % below 1990 levels by 2030 – and the EU carbon border adjustment mechanism (CBAM), which obliges EU importers to purchase 'CBAM certificates' to pay the difference between the carbon price paid in the country of production and the price of carbon allowances in the ETS.

Parliament played its part as co-legislator in the revision of the Renewable Energy Directive, which sets a new renewables target of 42.5 % at EU level by 2030, while aiming for 45 %. The revised Energy Efficiency Directive, meanwhile, raised the EU's energy efficiency target, making it binding for EU countries to secure an additional 11.7 % reduction in energy consumption by 2030. The approved Social Climate Fund law supports vulnerable citizens and firms affected by the extension of the ETS to the buildings and road transport.

The revised Energy Performance of Buildings Directive requires Member States to reduce their average primary energy use in residential buildings by 16 % by 2030, and by 20 to 22 % by 2035, and

aims to fully decarbonise EU building stock by 2050. It sets an obligation for all new residential buildings to be zero-emission as of 2030, and new public buildings as of 2028.

In the field of competition, the Commission responded to the COVID-19 outbreak in 2020 with a communication on a temporary framework for State aid measures, which temporarily allowed for State aid to be bigger in scope, larger in amount, and faster to implement. Following Russia's 2022 invasion of Ukraine, the Commission published a temporary crisis framework for State aid, extending the previous measures to newly affected areas and companies, such as energy producers.

In 2023, a temporary crisis and transition framework took effect, introducing the possibility to grant more State aid to sectors that are key to the transition to a net-zero economy. The Commission allowed State aid to be granted to enterprises developing green technologies. The aid can match the amount that a company might receive for the purpose outside the EU.

EU Member States reported a combined total of €228 billion in State aid expenditure in 2022, compared with €329 billion in 2021. In one of the biggest national State aid support schemes, the Commission approved a €27.5 billion German plan in 2022 to compensate energy-intensive companies for higher electricity prices.

In the previous parliamentary term, the Commission focused on digital markets and took measures to ensure that US big tech firms, which dominate on the European market, comply with EU competition and digital rules. In March 2024, it opened non-compliance investigations against Alphabet, Apple and Meta under the Digital Markets Act. Earlier in March 2024, it fined Apple €1.8 billion for abuse of a dominant position, alleging that it favoured its own music-streaming service over those of rivals.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Henna Virkkunen

Executive Vice-President for Tech Sovereignty, Security and Democracy

Confirmation hearing due to be held on Tuesday 12 November, at 18.30.

European Parliament committees responsible: Industry, Research and Energy (ITRE) and Internal Market and Consumer Protection (IMCO)

Henna Virkkunen is a Finnish politician and member of the National Coalition Party, which is affiliated with the European People's Party group in the European Parliament. She has been a Member of the European Parliament since 2014, serving inter alia on the Committees on Industry, Research and Energy (ITRE), and Transport and Tourism (TRAN). She was also a member of the Committee of Inquiry investigating the use of Pegasus and equivalent surveillance spyware (PEGA) and the Special Committee on Artificial Intelligence in a Digital Age (AIDA).

In Parliament, Virkkunen has worked on various technology and cybersecurity dossiers such as the Digital Services Act, the Cyber-Resilience Act and the Connecting Europe Facility.

Before her election to the European Parliament, Virkkunen was a member of the Finnish Parliament (2007-2014) and was part of the Finnish government as minister for education and science, minister for public administration and local government, and transport minister.

Born in 1972 in Joutsa, Finland, Virkkunen holds master's (2001) and bachelor's degrees (2000) from the University of Jyväskylä.



Henna Virkkunen, Finland.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priority issues for the Vice-President
- Main projects
- Parliament's priorities
- Executive responsibilities
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Stefano De Luca
Members' Research Service
PE 762.455 – October 2024

EN

Fundamentals of the portfolio

Henna Virkkunen's **Tech Sovereignty, Security and Democracy** portfolio covers a number of areas, including taking care of digital issues and 'cutting-edge technologies', combating complex internal and external security threats, and strengthening the rule of law in areas such as anti-corruption and media freedom.

Implementing the recently adopted **platform regulations** – the Digital Markets Act (DMA) and the Digital Services Act (DSA) – will be key to ensuring fair and open digital markets. By overseeing implementation of the **EU artificial intelligence strategy**, the Commissioner will aim to address the risks posed by artificial intelligence (AI) and help to accelerate investment in AI.

Serious and organised crime (for instance, drug trafficking) has been a key challenge to the EU's **internal security**, heightening the need for better EU cooperation in areas relating to human trafficking, cybercrime, terrorism and radicalisation. To address this issue, the Council recently adopted a new pact on migration and asylum emphasising the need for cooperation in **external border security**, including through collaboration with countries of migration origin and transit. Furthermore, work is still ongoing on the recast proposal for the Return Directive, governing the procedures and criteria to be applied by Member States when returning irregularly staying third-country nationals.

As regards the **rule of law**, the latest rule of law report (July 2024) revealed that several Member States still have a lot to accomplish when it comes to ensuring the independence of their judiciary and prosecution services, with some Member States actually facing a deteriorating situation regarding media freedom, checks and balances and a safe space for civil society to operate in. A flagship initiative in the area of **democracy** will be the European Democracy Shield, an initiative aimed at enhancing EU capabilities for detecting, analysing and proactively countering disinformation and information manipulation.

Priority issues for the Vice-President

Henna Virkkunen's main priorities – in close cooperation with the Commissioners for Democracy, Justice and the Rule of Law, and for Internal Affairs and Migration – will be to combat internal and external security threats. Starting with **internal security**, fighting organised crime, radicalisation, terrorism and violent extremism are among the EU's top priorities for the 2024-2029 institutional cycle. The most dangerous criminal networks have become increasingly violent, particularly as various groups have been competing for control over drug markets.

Moving on to **migration and security of external borders**, the Commission adopted a common implementation plan for the pact on migration and asylum in June 2024. This plan sets the path towards a comprehensive EU approach on migration, asylum and border management. It is accompanied by a roadmap, a timeline and milestones for EU and national actions. Virkkunen will be coordinating implementation of the pact to ensure that all Member States have the necessary legal and operational capabilities in place to successfully start applying the new legislation by 2026.

The task of fighting **foreign interference** and the **threat to EU democracies** figures high on the priorities list of Commission President-elect Ursula von der Leyen. In her political guidelines for the new Commission, she highlighted her plans to introduce the abovementioned European Democracy Shield initiative. In this regard, she cited the successful work accomplished by Viginum in France and the Swedish Psychological Defence Agency. In her speech before the European Parliament on 18 July 2024, she assured Parliament that the European Democracy Shield would 'take into account recommendations from the work of the special committees on foreign interference, to better protect our democracies'. These recommendations include creating a European Centre for Interference Threats and Information Integrity (see below).

As regards **defence and space**, the European Council's Strategic Agenda 2024-2029 – the document setting the EU's political priorities for the next 5 years – emphasises the importance of building the EU's own capacities in defence and space, including by scaling up the EU defence industry, creating a more integrated defence market, promoting joint procurement, and improving access to public and private finance, including through the European Investment Bank Group. Henna Virkkunen will assist and cooperate with the Commissioner for Defence and Space and the Executive Vice-President for Prosperity and industrial Strategy to bring the **European defence union** to life and to ensure that the **competitiveness of the EU's defence industry** is thriving, as already envisaged in von der Leyen's political guidelines for the new Commission.

Main projects

In addition to the priorities mentioned above and the priorities and challenges in the context of the part of her portfolio dealing with digital and frontiers technologies outlined below, Virkkunen will work on issues ranging from ensuring consumer protection online to developing an approach to the media that 'recognises its unique place in our democracies and culture, while also supporting its commercial development'. To address some of these issues, Virkkunen will contribute to the ongoing EU-wide enquiry on the **impacts of social media** and to the action plan against **cyberbullying** that is being drafted. Furthermore, work is being done to assess the advantages and risks associated with virtual worlds (the metaverse). As an illustration of the impact of cyberbullying, it is worth mentioning that about one in six school-age children is a victim of online bullying.

Another crucial task for Virkkunen will be to help in the development of a **digital fairness act** addressing unethical techniques and practices such as dark patterns, addictive design of products and online profiling. Finally, Virkkunen will coordinate the work on promoting **EU digital norms and standards internationally**, accelerating the **digitalisation of the Commission** (e.g. by improving the digital skills of its staff), and supporting the EU's **Global Gateway projects** in partner countries (e.g. by establishing trustworthy digital communication).

Working with Commissioners

Michael McGrath, Commissioner for Democracy, Justice and the Rule of Law, will work under Virkkunen's guidance on: (i) data protection (e.g. ensuring that the GDPR is in line with digital transformation and that it responds to law enforcement and commercial needs); (ii) consumer protection online (e.g. developing a digital fairness act addressing unethical techniques and practices such as dark patterns, addictive design of products and online profiling); (iii) media legislation, e.g. the European media freedom act; and (iv) the fight on disinformation as part of the European Democracy Shield.

Magnus Brunner, Commissioner for Internal Affairs and Migration, will work under Virkkunen's guidance on: (i) updating the tools used by law enforcement authorities for accessing digital information as well as the rules on data retention; and (ii) handling the legislative proposal on child sexual abuse online.

Glenn Micallef, Commissioner for Intergenerational Fairness, Youth, Culture and Sport, will cooperate with Virkkunen on the action plan against cyberbullying and on establishing the scale of the impact of social media on children. Micallef and Virkkunen will also work with the Commissioner for Health and Animal Welfare, Olivér Várhelyi. The latter will lead the EU-wide inquiry on the broader impacts of social media. Micallef will also work closely with Virkkunen on developing an AI strategy for culture and the creative industries.

Andrius Kubilius, Commissioner for Defence and Space, and Ekaterina Zaharieva, Commissioner for Start-ups, Research and Innovation, will work with Virkkunen on establishing a European AI Research Council.

Virkunnen will also oversee the work of the Commissioner for International Partnerships, Jozef Síkela.

Parliament's priorities

Parliament has long recognised the importance of cooperation in the fight against organised crime. In 2020, it welcomed the adoption of the EU security union strategy and made numerous recommendations on how to address organised crime and terrorism in the EU. In 2021, Parliament highlighted the impact of criminal groups from the Western Balkans on the security and stability of the EU Member States. In January 2024, it asked the Commission to extend the list of EU crimes to hate speech and hate crime, and urged the Council to adopt a decision to include these crimes on the list of crimes covered by Article 83(1) of the Treaty on the Functioning of the European Union.

Since the entry into force of the Treaty of Lisbon, Parliament has been actively involved, as full-fledged co-legislator, in the adoption of new legislation dealing with both irregular and regular immigration. For instance, Parliament has adopted numerous own-initiative resolutions addressing **migration**. These include its resolution of April 2016 on the situation in the Mediterranean and the need for a holistic EU approach to migration, its resolution of May 2021 on new avenues for legal labour migration, and its legislative-initiative resolution of November 2021 with recommendations to the Commission on legal migration policy and law.

During its 2019-2024 term, Parliament set up two successive temporary **Committees on Foreign Interference in Democratic Processes in the EU, including Disinformation**. In resolutions adopted in March 2022 and June 2023, respectively, Members urged the EU to design a common strategy to deal with foreign interference and disinformation campaigns, including through support for independent media channels, fact-checkers and researchers. MEPs also urged the Commission and the EEAS to consider creating a European Centre for Interference Threats and Information Integrity.

Parliament has **systematically commented on the annual rule of law reports**. In its 2023 resolution on the third rule of law report, Parliament welcomed the addition of country-specific recommendations but again called on the Commission to expand the scope of its reporting to cover all values enshrined in Article 2 of the Treaty on European Union and the entire Venice Commission rule of law checklist. It also urged the Commission to enter into negotiations on an interinstitutional agreement for an EU mechanism on democracy, the rule of law and fundamental rights.

Parliament has been supportive of further defence cooperation and integration. In a February 2024 resolution, MEPs stressed that initiatives such as the **European defence industrial strategy** and the **European defence industry programme** should complement existing defence tools. They also pointed out that sufficient funding must be ensured for their implementation.

Parliament has long been a strong advocate of defending privacy and data protection online, as well as **protecting children online**. In this context, it has asked the Commission to assess regularly if existing EU rules are fit for purpose for virtual worlds and to propose regulatory changes if needed. In its March 2021 resolution on children's rights, Parliament called on the Commission to develop an EU action plan for online service providers and tech companies to keep children safe online. It also highlighted the importance of digital literacy and education for children, regretting the existence of the digital divide that still hampers many children's safe access to digital technologies.

As regards the **digital fairness act**, Parliament has called for a set of EU rules to make digital platforms less addictive. In its resolution of October 2023, Parliament considered that recently adopted legislation, such as the DSA and the AI Act, was not enough to regulate the issue of addictive design, and therefore urged the Commission to close existing legal gaps and present new legislation on the topic. Last but not least, Parliament advocates imposing obligations on companies to develop ethical and fair digital products and services 'by design'. This includes avoiding dark patterns and addictive design features, for example.

Executive responsibilities

The **digital and frontier technologies** part of Henna Virkkunen's portfolio covers several areas, including strengthening EU leadership in strategic technologies, ensuring technological sovereignty on essential assets and their resilience, and fostering the commercialisation of deep tech innovation. Mario Draghi's 2024 report on EU competitiveness stresses that EU tech companies currently lack the scale to support research, development and investment in key sectors such as AI, telecoms, cloud computing and semiconductors. The report recommends prioritising allocation of significant public and private funding to develop the EU's competitiveness strategy over the coming decade.

Advanced digital network infrastructure and digital services will be key in shaping the competitiveness of many EU sectors (e.g. manufacturing, energy and healthcare) in the near future. It is therefore necessary to ensure that the EU's networks are up to the task, including in terms of transmission speed. In January 2024, the Commission proposed a package of measures to support EU start-ups and SMEs in the development of trustworthy AI that respects EU values and rules. The 'AI factories' initiative, which is a part of these measures, will seek to ensure that the industry is offered access to supercomputing capacity. The digital economy is built on data that work both as a driver for competitiveness (given that data account for almost 4 % of EU gross domestic product) as well as a tool for societal innovations (e.g. personalised medicine). By developing the 2020 European data strategy, the EU made a major step towards the creation of a single market for data. However, a simplified, clear and coherent legal framework for businesses and administrations to share data at scale, while respecting high standards for privacy and security, still needs to be put in place. The previous Commission adopted important new rules on digitalisation – the 'European digital rulebook' – including the DMA, the DSA, the Data Act and the AI Act. Now, these rules require to be effectively implemented and streamlined to meet the needs of SMEs.

Priorities and challenges

Expectations/public opinion

According to a special Eurobarometer survey entitled 'The Digital Decade 2024', 82 % of EU citizens polled believed that governments should ensure that EU companies can grow and become EU champions able to compete globally. A clear majority (86 %) agreed that research and innovation should be enhanced to make digital technologies and infrastructure, including connectivity and data processing facilities, more secure and strong. When asked what improvements would facilitate their use of digital technologies, 80 % pointed to the availability and affordability of a high-speed internet connection. Regarding AI and digital technologies, 78 % believed their development should be aligned with the EU's system of citizens' rights and values. A majority (73 %) considered that the digitalisation of daily public and private services was making their lives easier.

In its 2024-2029 strategic agenda, the European Council emphasised the importance of reinforcing **sovereignty in strategic sectors** and making the EU a 'technological and industrial powerhouse, while promoting an open economy'. Specifically, the European Council highlighted the pivotal role of technologies such as AI, quantum technologies, semiconductors and 5G/6G mobile networks.

The mission letter to Henna Virkkunen, detailing her portfolio, focuses specifically on the actions she will need to take to ensure that **the EU's 2030 Digital Decade** targets are met, among them improving access to secure, fast and reliable connectivity. Specifically, Virkkunen will have to prepare a legislative proposal on a **digital networks act** (DNA). The Commission white paper on mastering Europe's digital infrastructure needs made various suggestions including establishing a joint EU governance system on submarine cable infrastructure and increasing the EU's competences on spectrum management. Here, Enrico Letta's 2024 report on the future of the single market supported a reassessment of the governance and funding mechanism for EU submarine cables. The Draghi report meanwhile recommended harmonising EU-wide spectrum licensing for satellite connectivity too. The two reports agree that the scale of investment in new technologies necessary (e.g. edge/cloud, 6G, AI) might imply some level of consolidation among market players. In its September 2024 analysis CERRE recommends replacing spectrum auctions with long-term licences

and a 'use it or lose it' regime, as well as reforming the public subsidies regime to fully address the costs of political decisions (e.g. removal of 5G equipment supplied by high-risk vendors or the imposition of copper decommissioning obligations to accelerate fibre roll-out).

Challenges also include not only implementing the AI Act – requiring a number of steps over a 2-year period – but also boosting AI innovation and development in the EU. Here, and in line with the 2024-2029 strategic agenda, Henna Virkkunen will have to: (i) make sure that access to **supercomputing capacity** is offered to the industry through the 'AI factories' initiative within her first 100 days in office; (ii) develop with EU countries an **apply AI strategy** to enhance new industrial uses of AI and improve public services; and (iii) develop Mario Draghi's proposal for an **EU cloud and AI development act** to create a framework for providing computational capital. The last point includes boosting the EU's high-performance computing, AI and quantum capabilities and infrastructure, harmonising cloud architecture requirements and procurement processes, as well as coordinating priority initiatives to boost private involvement and financing. The impact of generative AI on intellectual property and the risk that such tools can produce copyright-infringing outputs are well known. According to think-tank Bruegel, maintaining thriving competition in generative AI model development requires a review of the existing EU copyright framework to enable the widest possible access to training data. Henna Virkkunen's mission letter tasks her with further improving the EU copyright framework to address new challenges raised by market and technology developments.

In a September 2024 memo to the new Commissioner for digital affairs, Bruegel recommended improving data governance by leveraging data as a 'production factor' through the creation of data-sharing and pooling institutions. It acknowledged that there was still 'scope and room for adjustment in the implementation of the DMA, the AI Act and several data regulations … to steer digital data and services markets in a pro-innovation direction'. Virkkunen will be directly responsible for a new **European data union strategy,** allowing users to share data seamlessly and at scale while respecting EU values. The unprecedented number of digital regulations adopted during the Commission's last term has pushed Member States and stakeholders to ask for a regulatory pause on AI, online platforms and digital economy regulations. In its May 2024 conclusions on the future of EU digital policy, the Council stressed the need to prioritise the effective and efficient implementation of these digital regulations over the coming years, while also striking a balance between innovation and the regulatory burden involved. As an overall task, Virkkunen will have to ensure the implementation of this regulatory framework, also known as **'the European digital rulebook'**, prioritising guidance and standardisation efforts to facilitate compliance for businesses.

In recent years, there has been a substantial increase in the severity, intricacy and scale of **cybersecurity threats**, a trend also linked to escalation at the international level. To address the issue, the Council has invited the Commission to revise the EU's cybersecurity strategy. Virkkunen's mission letter tasks her with: (i) improving the adoption of EU cybersecurity certification schemes; and (ii) making the EU more resilient to cybersecurity threats by improving the security culture, protecting sensitive information, and reinforcing the Commission's role during crises.

Virkkunen will also be directly responsible for addressing challenges facing **e-commerce platforms**, ensuring that businesses can use **digital wallets** to simplify operations, developing a long-term **EU quantum chips plan**, framing an **EU cloud policy for public administrations**, and intensifying investment in sectors such as semiconductors, the internet of things and quantum computing.

European Parliament

Treaty basis and European Parliament competence

Although the EU Treaties do not refer specifically to a digital single market, digital issues are cross-cutting and touch upon a number of areas. The main Treaty articles concerned are those on the single market (e.g. Articles 114, 115 TFEU) under the ordinary legislative procedure. Other legal bases and procedures may however be invoked for legislation in areas where digital concerns may be prominent – such as personal data protection, industrial policy, trans-European networks, research, culture and trade.

In a 2022 resolution on artificial intelligence in a digital age, Parliament emphasised the need for a substantial overhaul of **digital infrastructure**. It stressed that the EU lacks sufficient high-performance digital infrastructure with interoperable data spaces, high transmission rates, reliability and short delays. It also warned that the absence of 5G roll-out in urban areas and the limited access to fixed ultra-fast broadband networks could undermine the functioning of AI.

Parliament has also been active as regards the **liability of emerging technologies**, including AI. In 2020, it adopted a legislative-initiative resolution calling for the harmonisation of the legal framework for civil liability claims and imposition of a regime of strict liability on operators of high-risk AI systems. In addition, at the request of Parliament's JURI committee, in September 2024, EPRS published a complementary impact assessment study on the proposed AI liability directive. The study recommends extending the directive's scope to include general-purpose and other 'high-impact AI systems', as well as software. It also discusses a mixed liability framework to balance fault-based and strict liability.

On **cybersecurity**, Parliament has called for more attention to be paid to SMEs' specific needs, as they often struggle to find digital solutions that work for them and often face unexpected costs when they adopt across-the-board digital solutions. In its 2021 resolution on the EU's cybersecurity strategy for the digital decade, Parliament proposed measures to enhance SMEs' cyber-resilience by affording them access to technology adapted to their needs and to ICT and cybersecurity experts.

Recent developments

The **Gigabit Infrastructure Act**, a regulation introducing a set of specific actions to simplify and speed up the deployment of very-high-capacity networks, such as full fibre and 5G, came into force in May 2024. However, the need for a thorough review of the framework related to the EU's digital infrastructure has been expressed in consultations and reports done for the Commission. In February 2024, the Commission presented its white paper laying the foundations for a future digital networks act based on three pillars: (i) investment in research and technology deployment with the ambition to increase EU technological leadership;(ii) creation of a true digital single market with a future-oriented regulatory framework that creates a level playing-field; and (iii) protection of the EU's digital network infrastructure to make it resilient and secure. The Letta and Draghi reports also stress that various actions should be taken to ensure that EU operators in the area of digital technologies can continue to invest, innovate and compete with their global counterparts.

In the summer of 2024, the **AI Act** – the first binding worldwide horizontal regulation on AI, setting a common framework for the use and supply of AI systems in the EU – was signed and entered into force. The new act makes a classification of AI systems and sets different requirements and obligations towards them tailored to a 'risk-based approach'. Some provisions of the AI Act are already fully applicable. However, its full implementation requires a number of steps to be taken over a 2-year period (2024-2026). In the coming months, the Commission is expected to issue various implementing and delegated acts, guidelines and codes of practice related to the act, and to oversee the standardisation process required for implementing the obligations under it.

In January 2024, the newly established **EU AI Office** started providing advice on the implementation of the new rules and developing codes of practice to support the proper application of the AI Act. Along with the AI Act, important new legislation on digitalisation, including the **DSA** and the **DMA** (aiming to create a safer digital space for users and to establish a level playing-field for businesses), as well as the **Data Act** and **Data Governance Act** (governing data-sharing obligations), were adopted during the previous legislative term, and now require implementation and enforcement.

The EU recently updated the **European digital identity framework**, allowing citizens across the EU to identify and authenticate themselves online (through their EU digital identity wallet), share digital documents, and prove a specific identity attribute such as age. The new framework entered into force in May 2024, but Member States and the Commission have various deadlines to apply the new measures. For example, the Commission must adopt implementing acts for the technical

specifications and procedures for the wallet by November 2024, while Member States must provide at least one such wallet within 24 months of the date of entry into force of the implementing acts.

There has been unprecedented progress on the EU cybersecurity framework. For example, the opening of the European Cybersecurity Competence Centre (EECC) in Bucharest and the adoption of the **NIS2 Directive** setting cybersecurity risk-management and reporting obligations for large and medium-sized entities operating in critical sectors in the EU (the directive is to be transposed into national law by 17 October 2024). The **Cyber-Resilience Act** introduced security by design and by default, and duty of care for connected digital products. The text was approved by Parliament as a whole in March 2024 and voted on by the Council in October 2024. However, it still needs to be signed and published in the *Official Journal of the European Union* before it can enter into force. Another related piece of legislation, the **Cyber-Solidarity Act**, aims to strengthen solidarity and capacities in the EU to detect, prepare for and respond to cybersecurity threats and incidents. It was approved by Parliament in April 2024 but awaits formal adoption by the Council.

Finally, the Commission is aware of potential risks linked to the development of **large-scale quantum computers** (e.g. breaking traditional cryptographic systems that secure EU sensitive data) and of the need to make progress towards more resilient and sovereign **EU submarine cable infrastructure**. To address this issue, in April 2024 it recommended that Member States develop and implement a harmonised approach as the EU transitions to post-quantum cryptography. A February 2024 recommendation addressed the need to improve submarine cable security and resilience through improved coordination of governance and funding across the EU.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Stéphane Séjourné

Executive Vice-President for Prosperity and Industrial Strategy

Confirmation hearing due to be held on Tuesday 12 November, at 14.30.

European Parliament committees responsible: Industry, Research and Energy (ITRE), Internal Market and Consumer Protection (IMCO), Environment, Public Health and Food Safety (ENVI), Economic and Monetary Affairs (ECON)

Before being nominated as Commissioner-designate, Stéphane Séjourné had been serving as French Minister for Europe and Foreign Affairs since January 2024. In July 2024, he was elected to the French Parliament for the ninth constituency of Hauts-de-Seine (Boulogne-Billancourt). He has also been secretary-general of the Renaissance party since 2022.

From 2019 to 2024, Séjourné was a Member of the European Parliament, and President of the Renew Europe group (2021-2024). Before that, he was a political adviser to the President of the French Republic from 2017 to 2019, and an adviser to the Minister for Economic Affairs, Industry and Digital Affairs from 2014 to 2016, responsible for relations with elected representatives.

Séjourné was previously a member of the cabinet of the President of the Île-de-France Regional Council (2012-2014). Prior to that, he worked for a federation of grocery and specialised nutrition products from 2011 to 2012.

Born in 1985, Séjourné graduated from the University of Poitiers with a double masters in law. He was also an Erasmus student at the University of Granada in international and EU law.



Stéphane Séjourné, France.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priority issues for the vice-president
- Main projects
- Parliament's priorities
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- Priorities and challenges
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This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Guillaume Ragonnaud
Members' Research Service

PE 762.454 – October 2024

Fundamentals of the portfolio

Proposed for the role of Executive Vice-President for Prosperity and Industrial Strategy, Séjourné will have to contribute actively to launching 'a new era of productivity, innovation and competitiveness' that will determine the EU's ability to achieve its strategic goals. Strengthening the EU economy in the face of rising global economic and political competition and managing the twin digital and green transitions is a key challenge for the new term. While 'EU competitiveness' is not clearly defined, there is broad agreement that it entails a range of policies, including the single market, energy, competition, research and innovation, investment, and industrial policies.

The International Energy Agency (IEA) has warned that the world is facing a pivotal moment for clean energy transitions, and is entering a new 'clean energy technology manufacturing industrial age'. The scale of clean energy technology deployment needed to support achievement of the EU's 2030 and 2050 climate targets is considerable. The EU is largely dependent on imports for these technologies, and – like many third countries – is stepping up efforts to expand its clean energy manufacturing capacity to reduce strategic dependencies for key products. The rapid transformation of the economy and the need to secure the supply of key technologies and reduce strategic dependencies has led to widespread calls for greater government involvement in the economy and the 'rebirth' of industrial policies globally. Today, nearly all countries, not least China and the United States (US), have established forms of industrial policy, and the EU has recently embraced a more active industrial policy agenda.

The April 2024 Letta report on the future of the single market and the September 2024 Draghi report on the future of European competitiveness have fuelled the debate on these issues over the past few months. The reports converge on many points, not least on the need to take rapid action to deepen the single market. They clearly demonstrate that the single market remains highly fragmented, limiting EU companies' ability to scale up and compete internationally. This prevents EU citizens from reaping the full benefits of a well-functioning single market. Draghi stresses that single market fragmentation has cascading effects on competitiveness, for instance pushing high-growth companies overseas. He expresses strong concern about slow growth in the EU and the wide gross domestic product (GDP) gap with the US, driven mainly by the slowdown in productivity growth in Europe. Therefore, increasing productivity growth should be the key priority for the EU and is an 'existential challenge'). Draghi's report lays out a new industrial strategy for Europe, to accelerate technological and scientific innovation, ensure that its decarbonisation plans are matched by leadership on the required technologies, and implement a genuine 'foreign economic policy' to increase security and reduce dependencies. Estimated investment needs are considerable.

Priority issues for the vice-president

Making Europe more prosperous and competitive is one of the priorities of the 2024-2029 Strategic Agenda adopted by the European Council in June 2024. It calls for action to enhance the EU's competitiveness and make Europe a technological and industrial powerhouse based on a well-functioning single market, to promote an innovation and business-friendly environment to achieve industrial strength in key sectors, and to extend the benefits of economic growth to all citizens.

In her July 2024 political guidelines for 2024-2029, the Commission President-elect announced a new plan for Europe's prosperity and competitiveness, to make business easier, deepen the single market, build a clean industrial deal to decarbonise and lower energy prices, promote R&I, boost productivity with digital technology diffusion, invest massively in the EU's sustainable competitiveness, and tackle the skills and labour gap.

The Draghi report highlights the urgent and immense amount of investment needed for the EU to enhance its competitiveness: a minimum annual additional investment of between €750 billion and €800 billion, to be met by both the public and private sectors. The report repeatedly warns that the effectiveness of industrial policy interventions in the EU is hindered by a lack of coordination at three

levels: between Member States, among financing instruments, and across policies. To strengthen EU governance, Draghi suggests setting up a new 'competitiveness coordination framework', to improve EU-wide coordination in priority areas. Both the Letta and Draghi reports pinpoint key sectors (e.g. finance, energy, telecommunications, defence, space) where the single market should be deepened as a priority. They also discuss in detail the EU's long-standing weaknesses in terms of innovation. They agree that it would be necessary to adjust EU competition rules, ensuring better coordination of State aid, while preserving the integrity of the single market. Common borrowing is mentioned in both reports as a possible way to finance EU public goods such as defence, energy and digital infrastructure. Furthermore, they both point to the need to reform EU governance and enhance EU decision-making, improve coordination between the EU's and Member States' efforts, reduce administrative burden for companies, and improve the impact assessments of future EU laws. Finally, they both argue that the EU's economic interests should be protected from external actors, while preserving openness to trade.

The EU's industrial ambitions rely heavily on securing supply of specific critical raw materials (CRMs). Demand for CRMs is projected to skyrocket in the coming years but it remains uncertain whether supply will keep up with the expected needs. CRM supply chains are global, complex and fragile, and thus vulnerable to a wide range of risks. The EU's reliance on CRM imports is extremely high.

Looking further downstream in the supply chain, most of the mass-manufacturing capacity for several key clean energy technologies is located in China and the Asia–Pacific region. China is the leading global supplier for and a net exporter of many clean energy technologies. The EU is a major importer of clean energy technologies, such as electric vehicles, batteries, fuel cells and solar photovoltaics. Barriers to the increase of net-zero technologies production are linked to the global supply chains situation, investment needs, long lead times to set up new manufacturing capacity, and a lack of skilled workers. Furthermore, promoting a more circular economy is intended to maintain the value of products, materials and resources for as long as possible, minimising waste. It also helps reduce dependencies on imports. Despite several new circularity policies at EU level, the EU has made little progress in its transition to a circular economy. Further action in this field is therefore needed. Both the Letta and Draghi reports propose establishing a single market for waste and recycling, to promote a more circular economy.

Main projects

The mission letter sent by von der Leyen to Stéphane Séjourné asks him to develop a clean industrial deal within the first 100 days of his mandate, together with the Commissioner for Climate, Net Zero and Clean Growth. The proposal should focus on three issues – decarbonisation, clean technologies and promoting investment – and put forward, in particular, specific solutions for each of the value chains concerned. Séjourné must also propose an industrial decarbonisation accelerator act to support the clean tech industry. He will lead work on the implementation of the net-zero industry act, which entered into force in June 2024. He should also work on a competitiveness coordination tool, to improve coordination at all levels. In addition, Séjourné should develop a European competitiveness fund to channel investment towards innovation and the technologies that will be key for the EU in the future. In particular, he should ensure that capital markets invest in innovation.

Regarding the external dimension of competitiveness, Séjourné will help ensure that the EU's trade and economic security policies support EU companies. He should also help guide the work on the reform of the customs system and on the implementation of the carbon border adjustment mechanism. He should revise the Public Procurement Directives, simplifying them and enabling preference for European products in public procurement for key sectors and technologies.

One of Séjourné's tasks will be to design a horizontal strategy to deepen the single market, promoting the cross-border provision of services and movement of goods, ensuring current rules are properly implemented, and removing existing barriers. He should consider the development of a single market barriers prevention act to improve ex-ante instruments. On small and medium-sized

enterprises (SMEs), he should explore the development of an SME passport to lower administrative burden for this category of companies. He should also lead the work to set up a new definition of small midcaps. He should reinforce the single digital gateway to support Europeans wanting to work, study or do business in another Member State. Furthermore, he will be in charge of the EU's supply of CRMs. He should establish a European CRMs platform to support joint purchasing of CRMs and manage strategic stockpiles, and to implement the CRM Act, which entered into force in May 2024.

Séjourné will work with the Commissioner for Environment, Water Resilience and a Competitive Circular Economy to present a circular economy act, with the aim of creating market demand for secondary materials and a single market for waste, particularly addressing CRMs. With the same Commissioner, he will work on a new chemicals industry package, simplifying REACH and addressing per- and polyfluoroalkyl substances (PFAS) ('forever chemicals'). He must contribute to the European biotech act supporting the development of biotechnologies. He should also present an action plan on steel and metals. Séjourné will also be responsible for intellectual property policy.

Working with Commissioners

Teresa Ribera Rodríguez (Executive Vice-President): Clean, Just and Competitive Transition

Valdis Dombrovskis: Economy and Productivity, Implementation and Simplification

Wopke Hoekstra: Climate, Net Zero and Clean Growth

Jessika Roswall: Environment, Water Resilience and a Competitive Circular Economy

Parliament's priorities

The 2023 EPRS study on mapping the cost of non-Europe (2022-2032) finds that completing the single market could yield significant benefits for EU citizens, amounting to €644 billion collectively by 2032. In a resolution adopted in January 2023 on the occasion of the 30th anniversary of the single market, Parliament stressed that none of the four freedoms should be left behind, and that it is the Member States' key responsibility to implement and enforce single market legislation correctly. Parliament urged the Commission to address unjustified barriers hampering realisation of the single market's full potential. The resolution calls for the renewal of the promise of the single market by updating it, supporting companies and consumers in the twin transitions, protecting people and the environment, and increasing funding for single market policies. Furthermore, while reaffirming Parliament's readiness to play its role in the process, the text demands renewed commitment from the Member States and the other EU institutions, as well as a specific agenda for action towards 2030 and beyond, to strengthen and develop further the single market, particularly in areas such as services, energy, telecommunications and the digital single market. Parliament has repeatedly supported the integration of capital markets by completing the capital markets union.

In its February 2023 resolution on an EU strategy to boost industrial competitiveness, trade and quality jobs, Parliament stressed that the EU's industrial strategy should enable EU industry to promote the green and digital transitions and ensure its open strategic autonomy, preserve its competitiveness on the global market, foster employment, and strengthen innovation and production capacities in Europe. It called for: a predictable and simplified regulatory environment; access to affordable, secure and clean energy supplies; less red tape for companies – especially SMEs and start-ups; faster access to sufficient funding; and a European sovereignty fund. It also stressed the importance of the State aid rules, and the need to create quality jobs and ensure the necessary skills are available. It noted that open and fair trade is key for resilient supply chains.

In the same resolution, Parliament asked the Commission to set up a strategy to redeploy, relocate and reshore industries in the EU, diversifying supply chains, and reducing greenhouse gas emissions. It stresses the need to ensure fast permitting procedures and predictability for new projects concerning clean and renewable energy sources. Parliament also calls for faster access to sufficient funding to boost competitiveness, and insists that any new fund should be established using the ordinary legislative procedure and be incorporated into the multiannual financial framework (MFF),

thereby ensuring full oversight by Parliament. In its October 2023 resolution on the proposal for a mid-term revision of the 2021-2027 multiannual financial framework, Parliament regretted that the Commission had not kept its promise to push for a new European sovereignty fund. For Parliament, the Strategic Technologies for Europe Platform should be a testbed for a fully fledged sovereignty fund in the next MFF period.

In a 2020 resolution, Parliament called for the adoption of an SME action plan, setting objectives, milestones and a timeline, and envisaging regular monitoring, reporting and evaluations. It asked the Commission to set ambitious and binding quantitative and qualitative EU targets for the reduction of administrative burdens. It requested the development of a binding test capable of assessing the costs and benefits for SMEs of all legislative proposals put forward by the Commission. In its resolution of July 2023 on the state of the SME Union, Parliament called on the Commission to carry out an overall assessment of the cumulative effect of EU legislation on SMEs in the EU, and to propose simplifications where needed. It also pointed to the need to prevent excessive bureaucracy and gold-plating, and to reduce the regulatory burden for SMEs to the absolute minimum, while maintaining the highest standards for consumers, workers, health and environmental protection.

Executive responsibilities

Séjourné will be responsible for the industry, SME and single market portfolios. The single market, established on 1 January 1993, now numbers 447 million consumers and 31 million companies. In addition to the 27 EU Member States, Iceland, Liechtenstein and Norway belong to the single market under the European Economic Area Agreement, and Switzerland has partial access by means of bilateral agreements. As of 1 January 2021, the United Kingdom left the EU single market.

Often considered the cornerstone of European integration, the single market is a strong asset for the EU. It has been praised for stimulating growth, creating jobs, and providing opportunities both for EU citizens – who can live, shop, study, work and retire in any EU country, and buy products and services from all over Europe – and for companies, which can benefit from economies of scale and reduced transaction and trade costs. Today, the EU is among the largest trading blocs in the world – measured in purchasing power parity it represents 15 % of world GDP (US: 16 %, China: 19 %). It has been estimated that trade within the single market accounts for 56 million European jobs, and that the economic benefits of the single market range between 8 % and 9 % of EU GDP. Although the single market has generally been a success, several recent analyses have shown that it remains highly fragmented. This limits EU companies' ability to scale up and compete internationally, and prevents EU citizens from reaping its full benefits.

A well-functioning single market that is fit for the green and digital transitions, new technological developments and changing geopolitical realities is also an essential element of the EU's industrial policy. At EU level, industrial policy seeks to promote advantageous framework conditions, and to support, coordinate or supplement Member State-level policies and action. Moreover, many sector- and product-specific rules have been developed over the years. EU industrial policy covers a range of policies, such as trade, internal market, R&I, competition, intellectual property rights, and energy.

The EU's 25.8 million SMEs are its economic backbone. They represent 99.8 % of all companies in the non-financial business sector, and employ 88.7 million people. More than half of SMEs point to regulatory obstacles and red tape as their greatest challenge. In 2023, the number of SMEs rose by 2.6 %, and bankruptcies by 13 %. The Letta report calls for future laws to be simplified, and designed with SMEs in mind and in a spirit of subsidiarity, with a new SME and competitiveness check.

Priorities and challenges

In May 2022, the plenary of the Conference on the Future of Europe proposed to deepen the single market further. It recommended ensuring that EU and national measures and initiatives are not detrimental to the single market but contribute to the free flow of people, goods, services and capital. It also stressed the need to enhance the digital single market for companies of all sizes.

In March 2023, the Commission put forward a communication on the single market at 30, in which it stresses that further efforts are needed to enforce existing rules, remove obstacles, and explore areas for further integration. It discusses possible ways forward towards further integration of the single market. It proposes to address barriers in the sectors most relevant for the economy, such as services, capital, energy, digital and data markets. The Commission also highlights the need to improve rules enforcement in the sectors with the highest untapped potential, such as business services, retail, construction and tourism. Moreover, it points to the need to improve transposition and implementation of EU rules, cut red tape, and create an 'enabling' business environment.

Several recent reports have shown that the single market has not yet fully materialised, both pointing to the remaining obstacles and putting forward multiple proposals to revitalise the single market. The Letta and Draghi reports have already been mentioned above. In its 10-point plan to revive and deepen the single market, the CEPS think-tank proposes two parallel action programmes for services under the 2006 Services Directive, and services under dedicated sector regulation (such as rail freight, banking and larger, competitive capital markets, and stepping up investment in cross-border interconnectors). According to CEPS, the single market should be deepened in some areas that remain highly fragmented, such as the telecoms market and spectrum frequencies. There should also be a fully fledged shift from national to EU copyright regulation. CEPS suggests that Parliament's Committee on Internal Market and Consumer Protection (IMCO) hold yearly specific sessions on enforcement, giving citizens and businesses a voice, and holding the Commission and Council to account.

In its memos to the EU leadership 2024-2029, think-tank Bruegel highlights the key challenge of reconciling industrial policies with competition and the single market. Bruegel suggests that the new Commissioner in charge of the single market should propose new EU legislation to improve the rules – and not only centre on better enforcing existing rules – focusing on the elimination of sector-specific barriers to services trade, recognition of professional qualifications, transferability of social security entitlements and the creation of a '28th regulatory regime'. The new Commissioner should also promote a 'single market-friendly industrial policy', including by using EU funds to top up important projects of common European interest (IPCEIs) that have benefits spreading beyond the participating countries.

European Parliament

Treaty basis and European Parliament competence

The main relevant provisions in the Treaty on the Functioning of the European Union (TFEU) include: Articles 4(2)(a) (the internal market is a shared competence between the EU and the Member States); 20-21 (right to move and reside freely within the territory of the Member States); 26-27 and 114-115 (internal market); 28-29 (free movement of goods); 30-33 (customs); 34-37 (prohibition of quantitative restrictions between Member States); 45-48 (free movement of workers); 49-55 (right of establishment); 56-62 (freedom to provide services); and 63-66 (capital and payments). The European Parliament is generally involved through the ordinary legislative procedure in all these policy areas.

The legal basis for the EU's industrial policy is Article 173 TFEU. The main thrust of the policy is to build framework conditions favourable to industrial competitiveness. Article 173 TFEU provides for use of the ordinary legislative procedure.

Historically, Parliament has been a driving force behind the process that led to the creation of the internal market. Through its role as co-legislator, it has over many years used its legislative and budgetary powers to that effect. It has also contributed systematically to the policy debate on the completion of the single market. During its ninth term, Parliament was very active in adopting resolutions on specific issues linked to the development of the single market, including on: the future of free movement of services (January 2021); removing barriers to the functioning of the digital single market and improving the use of AI for European consumers (May 2021); tackling non-tariff and non-tax barriers in the single market (February 2022); a standardisation strategy for the single

market (May 2023); eGovernment (April 2023); and virtual worlds – opportunities, risks and policy implications for the single market (January 2024).

Recent developments

The Commission adopted a new industrial strategy for Europe in 2020, seeking to make EU industry greener, more digital and more competitive globally, and to reinforce Europe's industrial and strategic autonomy. The strategy's 2021 update put forward additional actions in order to address strategic dependencies that could lead to EU vulnerabilities because of a strong concentration of global production in third countries, with limited options for supply diversification. As highlighted by the IEA report mentioned earlier, around 90 % of mass-manufacturing capacity for several key clean energy technologies is located in China and the Asia-Pacific region. The EU remains a large importer of clean energy technologies such as batteries and electric vehicles.

During the last term, EU legislators adopted several specific regulatory frameworks targeting key industries in the net-zero industrial age. These concern batteries, semiconductors (Chips Act) and CRMs (CRMs Act), and support the production of strategic technologies (Net-zero Industry Act – NZIA) and a Strategic Technologies for Europe Platform – STEP). Regarding chips, for example, the Commission recently stressed that the launch of the Chips Act had already attracted public and private investment commitments of €115 billion. The Commission has supported European industrial alliances (e.g. on clean hydrogen) to help develop Europe's strategic capacities and facilitate the identification of investment projects. IPCEIs – a State aid tool designed to overcome serious market failures in breakthrough innovation and key infrastructure – have also gained in importance as a way to support strategic industrial projects (e.g. concerning the battery value chain). To support SMEs more effectively, the Commission presented a dedicated SME strategy in 2020, and in 2023, an SME relief package aimed at fostering an SME-friendly business environment.

The modernisation and deepening of the single market has been an ongoing priority during the 2019-2024 period, taking into account, not least, the challenges posed by the green and digital transitions, technological developments and changing geopolitical realities. Advancing the single market requires action in multiple policy fields, its digital dimension having become vitally important in recent years. Efforts at EU level have mainly been aimed at removing technical, legal and bureaucratic barriers, and modernising the internal market in order to unleash its full potential. The Commission identified the top 13 barriers to cross-border activity (such as complex administrative procedures) and their main root causes (such as inadequate enforcement of EU legislation).

Taking these findings into account, the Commission and the Member States have taken measures under the long-term action plan for better implementation and enforcement of the single market. In particular, the Commission set up a Single Market Enforcement Taskforce (SMET), to improve the implementation and enforcement of single market freedoms. The SMET supplements other enforcement instruments, such as infringement procedures and SOLVIT. The EU industrial strategy's 2021 update focused on strengthening single market resilience. Recent shocks, including the pandemic and Russia's war on Ukraine, resulted in restrictions to free movement, shortages of goods and services, and rising energy prices. This has shown how vulnerable the single market can be to crises, and the extent to which the EU economy relies on a well-functioning single market.

With these considerations in mind, the co-legislators agreed on a new Internal Market Emergency and Resilience Act (IMERA) in February 2024 – a new framework of measures to anticipate, prepare for and respond to the impact of future crises on the internal market. The co-legislators also agreed on several new regulations designed to improve the functioning of the single market for machinery (Regulation (EU) 2023/1230), non-road mobile machinery circulating on public roads (such as forklifts), and construction products. Following the agreement reached in June 2022 on Directive (EU) 2022/2380 (the Common Charger Directive), as of 2024, a range of new electronic devices (such as handheld mobile phones, tablets, digital cameras, handheld videogame consoles or earbuds) will have to be equipped with a USB-C charging port (for laptops, the deadline is 2026).

Furthermore, consumers will be able to purchase a new electronic device without a new charger. The objective of this directive is to improve consumer convenience, reduce electronic waste, and avoid fragmentation of the market for charging devices.

On consumer protection, in November 2022, the co-legislators agreed on a new General Product Safety Regulation (Regulation (EU) 2023/988), which will apply from December 2024. It modernises the EU general product safety framework, particularly addressing the new challenges the digital transition (such as online sales) pose to product safety. In March 2024, Parliament adopted its first-reading position on the proposal for a regulation on the safety of toys. The co-legislators agreed on new directives that were announced in the 2020 new consumer agenda and the circular economy action plan: a directive on common rules promoting the repair of goods (Directive (EU) 2024/1799), introducing a new 'right to repair' for consumers, to be transposed by Member States by 31 July 2026; and a directive empowering consumers for the green transition (Directive (EU) 2024/825), aimed at providing better information on the durability and reparability of goods at the point of sale, to be transposed by 27 March 2026. It prohibits the making of generic environmental claims without recognised excellent environmental performance. Parliament has also adopted its first-reading position on the proposal for a green claims directive, which would set detailed rules on substantiating and communicating explicit environmental claims about products.

In 2023, the co-legislators agreed on a new directive (Directive (EU) 2023/2225) to offer more protection to consumers applying for credit. They also agreed on a new directive (Directive (EU) 2023/2673) modernising the rules on financial services contracts concluded at a distance, to improve consumer protection in the digital age. In April 2024, Parliament adopted its first-reading position on the proposal for a regulation on combating late payments in commercial transactions. The co-legislators agreed on a new regulation on the transparency and targeting of political advertising (Regulation (EU) 2024/900), setting up a common regulatory framework to enhance the transparency of online and offline sponsored political advertising. The co-legislators also agreed in March 2024 on a new regulation banning products made with forced labour.

Concerning the digital sector, recent relevant EU law including the Digital Markets Act (DMA), the Digital Services Act (DSA), the data act and the Artificial Intelligence Act (AI Act).

FURTHER READING

Boehm L. et al, EU competitiveness: Issues and challenges, EPRS, European Parliament, September 2024.

European Parliament, Stéphane Séjourné hearing documents and CV, 2024.

Mainardi E. and Martinello B., EU Mapping: Overview of Internal Market and Consumer Protection related legislation, Policy Department for Economic, Scientific and Quality of Life Policies, European Parliament, July 2024.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Kaja Kallas

High Representative of the Union for Foreign Affairs and Security Policy and Vice-President of the European Commission

Confirmation hearing due to be held on Tuesday 12 November, at 9.00.

European Parliament committee responsible: Foreign Affairs (AFET)

Kaja Kallas served as the prime minister of Estonia from 2021 to 2024. In 2024, she was awarded the Walther Rathenau Prize in recognition of outstanding lifetime achievement in foreign policy.

Having joined the Estonian Reform Party in 2011, Kallas has been its leader since April 2018. From 2011 to 2014, she was a member of the Estonian Parliament (12th Riigikogu) and served as chair of its Economic Affairs Committee (2011). She was also a member of the 14th Riigikogu (2019 to 2021).

As a Member of the European Parliament from 2014 to 2018, Kallas belonged to the Alliance of Liberals and Democrats for Europe (ALDE, now Renew Europe) political group. During this term, Kallas was Vice-Chair of Parliament's Delegation to the EU-Ukraine Parliamentary Association Committee.

Kallas was born in 1977 in Tallinn. She graduated from the University of Tartu in 1999 with a degree in law and pursued postgraduate studies at the Estonian Business School in 2007. Before entering politics, Kallas worked as an attorney at law.



Kaja Kallas, Estonia.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

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Members' Research Service

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EN

Fundamentals of the portfolio

Since 2009, when the Lisbon Treaty entered into force, the High Representative of the Union for Foreign Affairs and Security Policy (HR) has also been Vice-President of the European Commission (VP). This facilitates coordination and ensures coherence in EU foreign policy, as the Commission has key international responsibilities in areas such as trade, development, EU enlargement and neighbourhood policy, humanitarian aid, security and defence. The external dimensions of internal EU policies (such as environment, industrial and energy policy) are also gaining importance in the EU's external action. As part of her new mandate as HR/VP, as described in the mission letter from Commission president-elect Ursula von der Leyen, Kaja Kallas has been asked to prepare regular College of Commissioners' debates on foreign policy issues.

The legal basis of the portfolio is Article 17 of the Treaty on European Union (TEU) – which refers to the HR as a member of the European Commission – and Article 18 TEU, which refers to the post, role and appointment of the HR. Title V TEU (Articles 21-46) sets out general provisions on the EU's external action and specific provisions on common foreign and security policy (CFSP), and provisions on common security and defence policy (CSDP). Declarations 13 and 14 annexed to the Treaty maintain that the CFSP and CSDP provisions do not affect 'the responsibilities of Member States for formulation and conduct of their foreign policy'. The Treaty gave the EU legal personality, but unanimous decision-making and the limited roles of the Commission and the European Parliament reflect the continuing intergovernmental nature of the CSFP and CSDP.

As outlined in the political guidelines for the 2024-2029 European Commission, ensuring EU security, prosperity and democracy will be the key priority of the new College. Amidst increased geostrategic rivalries and instability, Kaja Kallas's mission as HR/VP will be wide-ranging and challenging. It will include overseeing foreign and security policy on behalf of the EU, building consensus among the Member States, shaping a strategic approach towards the EU's neighbours, and coordinating the work on a European defence union. Among her tasks is to develop, together with the Commissioners in the relevant thematic areas, a new pact for the Mediterranean, a comprehensive EU Middle East strategy, a new partnership with Africa, a renewed approach to the Sahel, and cooperation with the Indo-Pacific region, Latin America and the Caribbean. Kallas will also head the European Defence Agency and the EU Institute for Security Studies, and represent the EU at international forums such as the United Nations (UN) and the North Atlantic Treaty Organization (NATO). Kallas will supervise the Commission services related to the CSFP and the CSDP, as well as the European External Action Service (EEAS) and some 145 EU delegations around the world. Kallas will also chair the Foreign Affairs Council.

Priorities and challenges

Expectations/public opinion

Responding to an April 2024 Eurobarometer survey, EU citizens wanted to see greater EU involvement in all policy areas relating to foreign affairs, peace and security. Respondents set great store by the values of peace and democracy. Looking to the future, they put defence and security (37 %) among their top priorities for reinforcing the EU's global position, followed by energy issues and food security (both at 30 %). While 40 % of respondents considered that the EU's role in the world had increased in importance, 35 % thought it had stayed the same and 22 % that it had diminished. Just over half of respondents supported EU enlargement. Russia's invasion of Ukraine was seen as a threat to EU security by 79 % of respondents, and 75 % agreed that by standing against Russia's invasion of Ukraine, the EU was defending its intrinsic values. That said, 81 % of respondents considered that the war in Ukraine had serious financial consequences.

Forging a common foreign and security policy

The HR/VP mission letter also notes the need for decisions to be taken 'in a faster and more efficient way' and suggested more frequent use of qualified majority voting (QMV) on matters related to the CFSP. Currently, the Council votes unanimously on such matters, except for certain clearly defined cases that allow for a qualified majority. Unanimous decision-making has limitations, as seen in crucial decisions regarding EU support for Ukraine, because they require Member States to negotiate a deal at every stage of the decision-making process. At its Sibiu meeting in May 2019, the European Council endorsed the idea of broadening the scope of QMV in CFSP by using Article 31(3) TEU (the 'passerelle clause', which allows the European Council to authorise by unanimity the Council to use QMV for CFSP). A 2023 EPRS cost of non-Europe report identified challenges, such as a return to national power politics or 'strategic vetoes', and also outlined alternative policy options, ranging from constructive abstention to progressive use of the 'passerelle clause'.

Facing budgetary challenges

Increased external policy engagement requires a broad range of instruments and appropriate budgetary resources. However, the mid-term review of the multiannual financial framework (MFF), along with the challenging task of raising funds in support of Ukraine, has stretched the EU's 2021-2027 budget to its limits. The Commission has proposed additional contributions from Member States or other sources, such as income from/backed by frozen Russian assets. Furthermore, the annual reports of the European Court of Auditors (ECA) regularly note high margins of error in the spending of EU funds in third countries, or, as in the case of the Facility for Refugees in Turkey, 'delayed implementation and insufficient measurement of impact'. The 2023 ECA annual report, published on 10 October 2024, specifically mentioned challenges of 'increased financial exposure [of the EU], and growing financial risks due to Russia's war of aggression against Ukraine'.

Some of the new priorities for the future, such as security and defence, along with enlargement, will require a significant increase in funding. The auditors also warn of the growing financial risks the EU budget is facing due to a record amount of debt. Finally, a challenge for the HR/VP and the Commission will be to fully respect Parliament's oversight capacity. Parliament has often been critical of the Commission's actions. For instance, it has asked the Commission to provide clarifications on the disbursement of EU funds to third countries whenever it applies the urgent procedure under Article 213 TFEU, which does not require proper parliamentary scrutiny or the application of the comitology process.

Supporting Ukraine's security and reconstruction

Together with the Commissioner for Enlargement, Kallas will coordinate support for Ukraine's EU accession, security and reconstruction. The 3rd Rapid damage and needs assessment report released in February 2024 estimates that as of 31 December 2023, the total cost of reconstruction and recovery in Ukraine would be US$486 billion over the next decade. Agreed funds made available by the EU include the Ukraine Facility, which mobilises €50 billion to ensure support in 2024-2027. Some €13.8 billion has already been disbursed, leaving €36.2 billion available.

On 21 May 2024, the Council gave the go-ahead to direct 'extraordinary revenues' (interest gained on principal) sourced from immobilised ('frozen') Russian state assets held under EU jurisdiction to the Ukraine Assistance Fund and the Ukraine Facility. Some 90 % of these revenues will be used to support Ukraine's self-defence through the European Peace Facility, and 10 % to support its reconstruction through the Ukraine Facility. Furthermore, new loans worth some US$50 billion to Ukraine were agreed upon at the June 2024 G7 meeting in Puglia. These loans would be secured by revenue stemming from interest earned from immobilised Russian assets held in the G7 jurisdictions (some US$260 billion are held in the EU's jurisdiction, mostly by the Belgian securities custodian Euroclear). The G7 agreement is not yet fully implemented, as the US is unwilling to join the initiative before the presidential elections of 5 November.

Commission President-elect Ursula von der Leyen has announced that the EU will move ahead alone, by providing a €35 billion macro-financial assistance (MFA) in the form of a loan to Ukraine, secured with revenue from frozen Russian assets. This MFA loan was approved by the Council on 9 October, and is being discussed by Parliament's Committee on International Trade (INTA) under the co-decision procedure.

The HR/VP will also work with the Commissioner for Financial Services and the Commissioner for Trade and Economic Security, to strengthen the strategic nature of financial and trade sanctions. Nevertheless, legal and political debates about the use of immobilised sovereign assets continue, as the 2004 UN Convention on Jurisdictional Immunities of States and their Property (UNCSI) in its Article 21(1)(c) provides that the property of the central bank or other monetary authority of the state is deemed to be 'immune from all measures of constraint'.

Strengthening the EU's security and defence

The EU has committed to stand with Ukraine for as long as it takes. According to the Office of the UN High Commissioner for Human Rights (OHCHR), as of 31 July 2024, Russia's war of aggression against Ukraine had claimed a total of 35 160 civilian casualties. Once a new Member State joins the EU, it benefits from the EU's mutual defence clause, set out in Article 42(7) TEU, and this holds true for Ukraine as well. This article commits Member States to aid fellow Member States that fall victim to armed aggression 'by all the means in their power'. Some analysts suggest that Article 42(7) TEU carries a higher degree of legal obligation than its equivalent, Article 5 of the Washington Treaty (NATO), under which each party has an obligation of mutual defence 'as it deems necessary, including the use of armed force'. However, it is not clear how the activation of Article 42(7) TEU would work in practice, especially in the case of kinetic warfare. Furthermore, the joint security commitments of the EU and Ukraine, signed on 27 June 2024, include an extraordinary consultations mechanism in the event of future aggression. Territorial disputes in Transnistria, Abkhazia and South Ossetia will undoubtedly encumber Moldova's and Georgia's efforts to join the EU and create further constraints in the case of their EU accession.

To remain an influential global power, the EU needs to do more to enhance its military operations and capabilities. This includes the implementation of the decisions on the rapid deployment battlegroups, a flagship initiative proposed by the Strategic compass for security and defence approved in March 2022, in alignment with the military integration proposed in the global strategy for security and foreign policy. Maritime security and naval operations remain crucial instrument for a successful EU foreign policy, especially in regions such as the Middle East and the Red Sea, where the situation remains fragile. A significant challenge will be to ensure coherent development and synergies between the external aspects of the CSDP and recent internal policy initiatives such as the European defence industrial strategy (EDIS). Some experts also question the adequacy of the proposed funding and the feasibility of meeting non-binding targets such as the goal of having 50 % of procurement come from the European defence technological and industrial base (EDTIB) by 2030. Fragmentation and limited collaboration within the EDTIB are exacerbated by EU Member States' reliance on non-EU defence equipment.

Promoting peace in the Middle East and North Africa region

The situation in the broader Middle East and North Africa (MENA) region is very volatile, given the complex, inter-related challenges with regard to political stability, economic development, migration and security. In addition to perennial conflicts in Libya, Somalia and Syria, a terror attack by Hamas and Hezbollah on Israel launched on 7 October 2023 killed over 1 200 people in Israel. Israel's military response is disproportionately affecting the civilian Palestinian population, further disrupting the distribution of humanitarian aid in Gaza, and leading to more internal displacement, exposure to famine and human suffering. According to August 2024 estimates by the UN High Commissioner for Human Rights, some 40 000 Palestinian civilians have lost their lives in Gaza.

With a broadening war threatening to engulf the MENA region, the EU, along with international partners, can continue to support multilateral security, economic and social initiatives in line with recent UN positions, such as the resolution on Israeli actions in occupied East Jerusalem and the rest of the Occupied Palestinian Territory, and the internationally agreed two-State solution. Together with the Commissioner for the Mediterranean, the HR/VP will also have to coordinate a new pact for the Mediterranean, and a comprehensive EU Middle East strategy. Finally, the EU could develop further bilateral agreements and partnerships similar to the strategic partnership with Egypt, signed in 2024, and the memorandum of understanding with Tunisia, signed in 2023. Radical Islam remains a challenge for both the EU and the MENA region's security and could be tackled in close association with the MENA partners, fostering reconciliation and peaceful coexistence.

Redefining EU-Russia relations and trade

The Strategic Compass identifies Russia as 'a long-term and direct threat for European security', a perception further underpinned in the NATO Strategic Concept (June 2022). Russia's war of aggression in Ukraine has been met with a resolute EU response. As a result, the June 1994 Partnership and Cooperation Agreement – the legal basis for EU-Russia relations – has been suspended. Nevertheless, the EU continues to support civil society, human rights defenders and independent media in Russia and to maintain trade relations. Despite the fact that between the first quarter of 2022 and the second quarter of 2024, the value of EU imports from Russia fell by 87 %, EU strategic autonomy is challenged by (inter-)dependence on Russian products and commodities, such as oil, gas, uranium and fertilisers. Russia is the EU's second largest supplier of liquefied natural gas (LNG) with 17 % of total supplies, second only to the United States (47%). Despite restrictions and sanctions, the EU doubled its purchases of Russian nuclear fuel in 2023 compared with 2022 (from €280 million in 2022 to €686 million in 2023). In physical terms this represents an increase from 314 tonnes of nuclear fuel to 573 tonnes. These trade relations are nevertheless conditional, as on 11 September 2024, Russian President Vladimir Putin threatened to limit exports of uranium, titanium and nickel in retaliation for Western sanctions.

Maintaining the transatlantic community of values and interests

In a fragile geopolitical context marked by internal and external divisions, the transatlantic community, based on common values and interests, risks being pressured following the US presidential elections on 5 November. The first Harris–Trump presidential debate on 11 September revealed differing views on geopolitical issues, which will also affect US–EU relations. These differences include the resolution of the war in Ukraine and the situation in the Middle East, relations with China, the international regulation of emerging technologies such as AI and social platforms, and trade-related matters. Presidential candidate Donald Trump favours an isolationist foreign policy and opposes aid for Ukraine. Republican vice-presidential nominee J-D Vance suggested that the peaceful settlement of war in Ukraine could include establishing a demilitarised zone in Ukraine and the effective secession of territories currently controlled by the Russian Federation. Presidential candidate Kamala Harris's policy manifesto suggests continuation of the current administration's approach. Regardless of the outcome, an update of the 2020 new bilateral agenda proposed by the Commission after Joe Biden's election will need to be revisited in light of subsequent developments.

Working with Commissioners

Key to the EU's CFSP approach is the requirement for the HR/VP to coordinate and work together with a range of other relevant members of the College. Kallas will have to work with the Commissioners for Enlargement; the Mediterranean; Preparedness and Crisis Management; Defence and Space; Trade and Economic Security and International Partnerships. Kallas will also have to work with the Executive Vice-President for Prosperity and Industrial Strategy on matters such as economic security and statecraft and the conceptualisation of a new economic security doctrine. A challenge for Kallas will therefore be to ensure smooth cooperation within the College and across the institutional architecture of the EU's external action.

European Parliament

Treaty basis and European Parliament competence

The Lisbon Treaty states that Parliament must be consulted on the main aspects of and decisions related to the CFSP and kept informed about the evolution of policies. Parliament can address questions or make recommendations to the Council or the HR/VP and is required to hold a debate twice a year on progress on implementing the CFSP and CSDP (Article 36 TEU). The exclusion of legislative acts from the CFSP rules out any formal power for Parliament in the adoption of CFSP decisions. However, Parliament can influence the conduct of CFSP through its budgetary powers, including its right to amend the draft CFSP budget.

CFSP-related international agreements concluded by the EU require Parliament's consultation and consent (Article 218 TEU). The Treaties also require that Parliament be immediately and fully informed at all stages of international negotiation processes in which the EU participates, including trade negotiations (Article 207(3) TFEU). Parliament not only has veto power over association and cooperation agreements with third countries and regions but also over financial protocols with third countries, trade agreements and the ratification of international agreements on issues that are internally regulated through the ordinary legislative procedure, such as environmental issues.

Parliament adopts annual reports on the CFSP and the CSDP, and on a wide range of bilateral and multilateral issues. It acts as co-legislator on foreign policy financial instruments such as the Instrument for Pre-accession Assistance (IPA), the Neighbourhood, Development and International Cooperation Instrument, and the Guarantee Fund for External Action (GFEA). The GFEA also contributes to the European external investment plan, which addresses the root causes of migration and security-related issues. Implementation of the interinstitutional agreement on budgetary discipline (2013/C 373/01) improved CFSP consultation procedures concerning financial aspects.

Parliament is also co-legislator with the Council in the area of defence industrial policy (initiatives in this area include the adoption of the Act in Support of Ammunition Production and the recently proposed European defence industry programme) and economic security (examples of these efforts include the Anti-Coercion Instrument, the Foreign Direct Investment Regulation and the Foreign Subsidies Regulation).

The 2010 Declaration on Political Accountability, sought to ensure that in the relationship between the HR/VP and Parliament, the HR would build on existing consultation, information and reporting engagements. In its most recent annual resolution on the CFSP, Parliament highlighted the need to update the 2010 Declaration on Political Accountability 'as the framework for relations between the EEAS and Parliament', pointing not least to Parliament's 'complementary role' in EU diplomacy.

Although Parliament's formal role in foreign policy is limited, it has major powers over the adoption of international agreements, and budgetary powers. Parliament has inter-parliamentary delegations for relations with parliamentary assemblies from third countries, regions and international organisations. Together, these constitute the tools of parliamentary diplomacy. Along with institutional partners such as the Organization for Security and Co-operation in Europe (OSCE), Parliament also takes part in international election observation missions.

Since 2010, Parliament has had budgetary oversight of the European diplomatic service and influenced its activities, in particular by requiring more systematic attention to human rights and action to promote democracy. Parliament has defended the universality and indivisibility of human rights and fundamental freedoms, and respect for human dignity, as part of the guiding principles of its foreign policy. Parliament has also supported some new EEAS initiatives, such as the European Diplomatic Academy, launched in 2023-2024 to provide training for young diplomats from the EU Member States, Ukraine, Georgia, Moldova, Türkiye and the Western Balkan countries. Parliament has also expressed its strong position on the rule of law and human rights through the Sakharov Prize for Freedom of Thought, which has been crucial in supporting human rights activists since 1988.

Recent developments

Supporting Ukraine in its defence against Russia's aggression has been a key geopolitical goal of the EU in recent years. In its conclusions of 27 June 2024, the European Council reconfirmed its support for Ukraine's independence, sovereignty and territorial integrity within its internationally recognised borders. On 24 June, the Council adopted its 14th package of sanctions against Russia. The introduction of this package was initially delayed due to disagreements between Member States on the scope of certain measures, particularly anti-circumvention efforts. The package amends Council Regulation (EU) 269/2014 on individual sanctions and Council Regulation (EU) 833/2014 on sectoral sanctions. On 12 September, the Council decided to prolong sanctions until 15 March 2025. On 8 October, the Council adopted a new sanctions regime in response to hybrid threats from Russia.

Between 2022 and 2024, the mobilisation of funds under the EPF to support the Ukrainian armed forces reached €6.1 billion; military assistance by the EU and Member States totalled around €28 billion. In November 2022, the EU launched its military assistance mission in Ukraine (EUMAM) for a period of two years. It also allocated €860 million from its budget to address the humanitarian consequences of the war, both for those within the country and for refugees. The EU also activated the temporary protection mechanism, which not only gave refugees a secure status and access to education, medical care and work in EU Member States but also effected temporary trade liberalisation under the EU-Ukraine association agreement. As mentioned above, a document on joint security commitments between the EU and Ukraine was signed in June 2024.

On **enlargement**, the Commission adopted a revised methodology for accession negotiations in February 2020. In its conclusions of June 2022, the European Council retained a gradual approach to accession, giving countries access to some EU single market benefits before formal accession. The Commission's November 2023 growth plan for the Western Balkans included a proposal for a €6 billion Reform and Growth Facility for 2024-2027. The Council adopted the plan in May 2024.

Accession negotiations with Montenegro and Serbia are well under way. While the EU agreed in principle to open negotiations with Albania and North Macedonia in 2022, on 25 September 2024, EU ambassadors agreed to start negotiations with Albania on 15 October, while postponing the decision on North Macedonia. In March 2024, the European Council decided to open accession negotiations with Bosnia and Herzegovina 'once the necessary degree of compliance with the membership criteria is achieved'. At present, the most critical task in the region is to complete the comprehensive agreement within the Belgrade-Pristina dialogue, which held its 11th high level meeting in Brussels on 26 June 2024. Türkiye, still a candidate country, remains a 'key partner' eligible for EU financial support. However, falling democratic standards and a very low alignment rate of 10 % with the EU positions on foreign and security policy (2023), compared with 8 % in 2022, have put accession negotiations on ice.

On 28 February 2022, Ukrainian President Volodymyr Zelenskyy announced Ukraine's request for 'immediate accession through a new special procedure'. Moldova and Georgia later made the same request. After receiving 'positive opinions from the Commission, on 23 June 2022 EU leaders decided to grant Ukraine and Moldova 'candidate country' status, and Georgia 'pre-candidate country' status. Ukraine qualified for EU candidate country status, and the first intergovernmental conference took place on 25 June 2024, officially kicking off accession negotiations. In December 2023, EU leaders agreed to open accession negotiations with Moldova. Georgia received 'candidate country' status, but its adoption of the 'foreign agents' law prevented the opening of accession negotiations. On 20 October, presidential elections and an EU referendum are expected in Moldova.

In the **MENA region**, following the terrorist attacks against Israel on 7 October 2023, the EU adopted sanctions against Hamas, Hezbollah and Islamic Jihad in January 2024 The EU increased its humanitarian aid to Gaza and activated a maritime corridor to facilitate its delivery. As announced in von der Leyen's 2023 State of the Union address, partnership with Africa remains a key priority for

the EU. Following the adoption of the Joint Vision for 2023, which included a global gateway Africa-Europe investment package, support for the green and digital transition, security, as well as partnerships on migration, are key Commission objectives. In July 2023, the Council gave its green light to move towards the signature of the Post-Cotonou Agreement. In December 2023, the EU and Kenya signed an economic partnership agreement including binding provisions on trade and sustainable development. The EU-Angola Agreement was signed in November of the same year.

In the context of **security and defence** the gradual building of a true European defence union is central. Following the adoption of a new EU maritime security strategy and European space strategy for security and defence in March 2023, the Commission also adopted a European defence industrial strategy (EDIS) and proposed a European defence industry programme (EDIP) to ensure the timely availability and supply of defence products. EDIS complements NATO, which continues to serve as the foundation of collective defence for its members. It builds on the defence investment gap analysis and on the experience in managing the European Defence Fund and other instruments. The Commission has proposed allocating €1.5 billion to the EDIP over the 2025-2027 period.

On **trade**, in 2021, the EU-US Trade and Technology Council was established as a forum for the two parties to coordinate approaches to trade and technology issues. The EU and India resumed trade negotiations and in 2023 launched the EU-India Trade and Technology Council. In March 2023, the EU resumed trade negotiations with Thailand. In April 2023, the Commission initiated negotiations for digital trade agreements with Singapore and South Korea. In June 2023, the Commission adopted a new agenda for relations between the EU and Latin America and the Caribbean. In July 2023, it presented the modernised EU-Chile agreement to the Council for its signature. Again in July that year, the EU and New Zealand signed a comprehensive trade deal. Several economic partnership agreements with Global South countries were signed and are awaiting the ratification process, among them the Mercosur Free Trade Agreement between the EU and Argentina, Brazil, Paraguay and Uruguay, agreed upon in principle in June 2019. The ratification process of the Mercosur Free Trade Agreement is still blocked at EU Member State level, dashing hopes of finalising the deal at the upcoming G20 summit in Brazil in November 2024.

FURTHER READING

Bassot E., The six policy priorities of the von der Leyen Commission: An end-of-term assessment, EPRS, European Parliament, April 2024.

European Parliament, Kaja Kallas hearing documents and CV, 2024.

Ioannides I., Jančová L. and Navarra C., Qualified majority voting in common foreign and security policy. A cost of non-Europe report, EPRS, European Parliament, August 2023.

Lazarou E. and Stanicek B., Mapping threats to peace and democracy worldwide: Normandy Index 2024, EPRS, European Parliament, September 2024.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Roxana Mînzatu

Executive Vice-President: People, Skills and Preparedness

Confirmation hearing due to be held on Tuesday 12 November, at 14.30.

European Parliament committees responsible: Employment and Social Affairs (EMPL), Culture and Education (CULT)

Roxana Mînzatu became a Member of the European Parliament in July 2024. She belongs to the Social Democratic Party in Romania, which is affiliated with the Socialists and Democrats Group in the European Parliament.

Mînzatu served as secretary of state in Bucharest, first at the Ministry of European Investments and Projects, then at the government's General Secretariat, where she had been coordinator for the Department for the integrated evaluation and monitoring of programmes financed from public and EU funds.

Mînzatu was a member of the Romanian Parliament from 2016 to 2020 and served as secretary of state at the Ministry of European Funds, and later as minister for European funds. She was also the president of the National Agency for Public Procurement. Mînzatu had previously served as Deputy Prefect in Brașov County.

Born in 1980, Mînzatu has a master's degree in European Integration from the Christian University Dimitrie Cantemir in Bucharest. Before entering politics, she gained professional experience in various roles, including within the Romanian Business School Foundation of the Chambers of Commerce and Industry.



IN THIS BRIEFING

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- Priority issues for the Vice-President
- Main projects
- Parliament's priorities
- Executive responsibilities
- Priorities and challenges
- European Parliament
- Recent developments

Roxana Mînzatu, Romania.

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

EPRS | European Parliamentary Research Service

Authors: Marketa Pape and Krisztina Binder
Members' Research Service
PE 762.449 – October 2024

Fundamentals of the portfolio

As the Treaties grant the EU limited competence in the areas of education, employment and social policy, Mînzatu's portfolio will focus on supporting Member States' reform and investment efforts to adapt to an evolving economic, industrial and demographic situation, to ensure overall prosperity and productivity, and to advance the digital and green transitions.

The European Pillar of Social Rights, although legally non-binding, has become a guiding compass for the EU in its policies aimed at strengthening its social foundations. The related 2021 action plan sets out concrete initiatives. EU lawmakers committed to achieving three headline targets by 2030: ensuring that: (i) at least 78 % of people aged 20-64 are employed; (ii) at least 60 % of adults are engaged in training; and (iii) the number of people at risk of poverty or social exclusion is reduced by at least 15 million, including 5 million children.

The social pillar is implemented in three ways. The first is through legislative and non-legislative measures focused on scrutinising and reinforcing the existing EU social *acquis*. The second is through specific funding mechanisms, such as the European Social Fund Plus (ESF+), supporting initiatives that directly contribute to the realisation of the social pillar's objectives. The third is through the integration of the social pillar's monitoring into the European Semester, a key instrument of the EU's economic governance framework. The scope of the Semester has progressively expanded from economic and fiscal policies to include some social aspects. Delivering on the social pillar is a responsibility shared by EU institutions, Member States' national, regional and local authorities, social partners and civil society.

Having adequate skills sets is crucial for succeeding in a rapidly changing labour market and especially in the context of the green and digital transitions. However, the underachievement rate in basic skills has increased, and the quality and effectiveness of vocational training vary widely across the EU. At the same time, education and training policies have gained momentum at EU level, with efforts to make the European education area (EEA) a reality by 2025, implement the 2020 European skills agenda and the 2021-2027 digital education action plan, with the Erasmus+ programme serving as a key building tool. Despite these efforts, much more needs to be done to achieve the EU headline target of adults in learning.

Priority issues for the Vice-President

In her role as Executive Vice-President for People, Skills and Preparedness, Roxana Mînzatu will be responsible for the areas of skills and education, quality jobs and social rights. She must steer the overall work on strengthening the EU's human capital and, along with other Commissioners, seek to support people, strengthen EU societies and uphold the EU's social model.

In her political guidelines for the new Commission, President-elect Ursula von der Leyen recognised that the implementation of the European Pillar of Social Rights needed new impetus in several areas, to be jointly addressed with a new action plan. This plan should deal with the impact of digitalisation on the world of work and on people's mental health, but also address the related right to disconnect and advance equality.

To ensure a just transition for all, a roadmap for quality jobs will be prepared with social partners, and supported with increased funding and a renewed focus on the European social dialogue. Von der Leyen wants the EU to take a coordinated approach to poverty and the scarcity of affordable housing, which will be addressed by a plan and supported by a pan-European investment platform that would attract more private and public investment. To reunite EU societies through education, von der Leyen wants to strengthen the Erasmus+ programme.

Main projects

As set out in von der Leyen's mission letter, Mînzatu will need to steer the work towards achieving the EU's 2030 social headline targets, and take forward a **new action plan to implement the European Pillar of Social Rights**, in 2025.

In order to ensure a just transition for all, she will need to work with the social partners to develop a **roadmap for quality jobs**. By increasing collective bargaining coverage, the roadmap should support fair wages, uphold high health and safety standards, improve working conditions and provide training for both workers and the self-employed.

This renewed commitment to social dialogue will be anchored in a **new pact for European social dialogue**, in 2025. Mînzatu is also expected to further improve EU standards for **health and safety at work**, with a focus on the impact of digitalisation on the world of work, and propose a **right to disconnect** as well as an initiative on algorithmic management.

To address the need for **long-term care workers** and the related challenges, Mînzatu is to develop a coherent framework for the recognition of skills and qualifications, making career progression easier and improving working conditions. Supported by the European Labour Authority, she should also seek to further facilitate **labour mobility** and modernise social security coordination.

Mînzatu should prepare the first EU **anti-poverty strategy** to address the root causes of poverty, and contribute to the drafting of an **affordable housing plan**. She is to pursue EU efforts addressing poverty and social exclusion of children (through the EU **child guarantee** scheme) and oversee the implementation of EU **social funding**, notably the European Social Fund Plus (ESF+) and the Social Climate Fund.

Another key task will be to build and develop a **union of skills**. Based on a strategy developed with stakeholders, this union should focus on investment, adult and lifelong learning, vocational education and training, skill recognition and retention, and on enhancing skills intelligence. This common approach should also be reflected in further work on the **European education area**, the **European degree** and **European universities alliances** and a **strengthened Erasmus+**. To ensure the recognition of qualifications acquired in another country, Mînzatu will prepare an initiative on **skills portability**. She should also contribute to EU efforts to attract people with the right skills for the EU labour market through legal migration (the **talent pool**).

Mînzatu should lead EU efforts to improve education and training, which should translate into a **European strategy for vocational education and training**, an **action plan on basic skills** and a **STEM education strategic plan** (STEM stands for science, technology, engineering and mathematics). She should build upon the large-scale partnerships established through the **pact for skills**, to ensure the upskilling and reskilling of more workers in key industries.

She should also work to improve the working conditions of teachers across the EU, and their training and career prospects (the EU **teachers' agenda**) and encourage better cross-border cooperation and mobility between schools across Europe, by setting up a **European schools alliance**.

Mînzatu should also ensure that social, education and employment policies are adequately reflected in the European Semester.

Working with Commissioners

Glenn Micallef: Intergenerational Fairness, Youth, Culture and Sport

Hadja Lahbib: Preparedness and Crisis Management, and Equality

Dan Jørgensen: Energy and Housing

Olivér Várhelyi: Health and Animal Welfare

Dubravka Šuica: Mediterranean, and Demography

Parliament's priorities

Parliament considers that the EU could play a more active role in protecting citizens and ensuring social cohesion, in particular in the area of minimum wages, and in providing social services and supporting non-profit organisations that are essential for representing the interests of civil society. Furthermore, Parliament has proposed measures to ensure the free movement of workers, promote pathways for legal migration and improve access to employment, among other initiatives.

To fight poverty and inequality, Parliament has sought to ensure adequate support to those in need and negotiated improvements to the relevant EU funds. For instance, during the negotiations on the long-term EU budget (2021-2027 multiannual financial framework (MFF)), it obtained a significant reinforcement for the flagship education programme Erasmus+. In order to combat child poverty and exclusion, it has insisted that the EU child guarantee scheme be supported with sufficient resources while also monitoring its implementation and keeping it on the political agenda. Parliament has insisted that expenditure to cover the Next Generation EU borrowing costs should not come at the expense of funding for existing programmes, and has also called for improvements to the use of EU structural and investment funds.

Parliament has stressed the importance of quality and inclusive education for all. To meet the job market's skills needs, it has called for more inclusive and lifelong education and training while also promoting modernised education and training systems to supply the required green and digital skills. It has also advocated increased digital literacy, and repeatedly called for supporting teachers and improving the recognition of their profession.

Parliament has put forward a number of resolutions demanding legislative action. To advance the issues of health and safety at work, it has called for a comprehensive strategy for asbestos removal and, in the context of workers' representation in multinational firms, for a revision of the European Works Councils Directive, to ensure that EU employees of large multinationals receive information and have timely and meaningful dialogue with central management on key decisions that concern them. Considering the right to disconnect to be a fundamental right, Parliament has called for a directive setting minimum standards and conditions for workers. Parliament has further called for a directive on minimum requirements for quality standards and adequate remuneration for traineeships and for the establishment of an EU framework on the social and professional situation of artists and other professionals in the cultural and creative sectors (CCS).

Executive responsibilities

Roxana Mînzatu is tasked with coordinating the work that is primarily covered by several other Commissioners as a specific part of their portfolio. She should cooperate with the **Commissioner for Intergenerational Fairness, Youth, Culture and Sport** in order to promote fairness between generations and support young people by giving them greater freedom. Jointly, they should support the mental health of children and young people and work on strengthening the EU sports model.

Mînzatu and the **Commissioner for Preparedness and Crisis Management, as well as Equality** should work together to establish a new culture of preparedness that can help people in EU societies adapt to changes and risks , whether they be related to security, health or emergency threats. In this work, they should rely on strategic foresight and future-oriented policymaking. On another front, they should continue the efforts to build a union of equality that promotes a fairer social order.

Mînzatu is expected to contribute to the European affordable housing plan, which will be prepared by the **Commissioner for Energy and Housing.** Her cooperation with the **Commissioner for Health and Animal Welfare** should focus on matters of occupational health and safety. Her joint work with the **Commissioner responsible for demography** should help advance the implementation of the demography toolbox and seek to increase the participation of women, young people and other underrepresented groups in the EU labour market.

Priorities and challenges

Expectations/public opinion

In a 2024 Eurobarometer survey, 88 % of respondents considered a socially oriented EU personally important to them. Respondents agreed that living standards (45 %), fair working conditions (44 %) and access to quality health care (44 %) were key to the EU's social and economic development. Participants felt that future EU action should target health care (38 %), wages (34 %), and old age income and pensions (30 %). At national level, they considered their countries' main priority should be the high cost of living (48 %), followed by wage adjustment (35 %).

In a separate survey focused on young people, respondents were asked about their expectations of the EU. Some 34 % expected the EU to fight poverty, and economic and social inequalities, while 28 % said they expected it to increase job opportunities for young people.

In the context of the EU's continued support for Ukraine, fast-moving international developments with uncertain outcomes, worsening climate issues, a cost of living crisis and slowing EU economic growth, the need to secure adequate **funding for EU policies without slowing down the implementation of the EU social *acquis*** is key.

The European Pillar of Social Rights action plan is to be reviewed in 2025, amid discussions on the next long-term EU budget (MFF), the insufficiency of EU own resources and the beginning of repayments for the EU's economic recovery debt under the Next Generation EU instrument in 2028. The EU's revised economic governance framework, with its set of restrictive debt rules and tighter fiscal room for manoeuvre agreed upon by EU leaders in the spring of 2024, may lead to cuts in the social sector and a slow-down in public investment.

When EU leaders were asked to **renew their commitment to the European social model** through the La Hulpe Declaration of June 2024, not all supported this legally non-binding document. However, in the European Council's 2024-2029 Strategic Agenda of June 2024 (also not legally binding), EU leaders committed to **upholding the EU's social dimension**. They affirmed the importance of investing in people's skills, training and education throughout their lives, as well as promoting talent mobility within the EU and beyond. They stated their wish for the EU and Member States to strengthen social dialogue, promote equal opportunities, reduce inequalities, increase labour market participation and promote youth employment. To improve economic and social wellbeing, they pledged to increase citizens' purchasing power, create good jobs and assure the quality of goods and services, thus enhancing economic and social cohesion.

In his September 2024 report, Mario Draghi took a different approach to the EU's competitiveness, arguing that the **regulatory burden** on EU businesses is one of the obstacles standing in its way. Noting that this burden is high and continues to grow, the report points to a lack of a common methodology to assess it, and proposes ways to reduce and simplify existing regulations, as well as decrease the reporting obligations for businesses. Finding a coherent path between better regulation and deregulation may nevertheless prove challenging.

The Draghi report also identifies the causes of existing **skills shortages**, among them the deteriorating performance of the education system, a shrinking active labour population, limited adult learning, low labour mobility and poor working conditions. While education and training are in the remit of Member States, the report recommends a more strategic and future-oriented approach. Member States should better use the available 'granular' data to understand existing skills gaps and adapt their education and training systems with revised curricula. Particular attention should be given to adult learning and a reform of vocational training. Acute skills shortages in technical and STEM skills should be addressed with specific interventions. The report argues for a common EU system of certification for acquired skills and a redesign of the EU programmes dedicated to education and skills. EU funding should be linked to stricter accountability and impact evaluation.

In this respect, Draghi's recommendations confirm other findings, such as those of the State of the Digital Decade 2024 report, which makes specific recommendations related to the digital transition.

For instance, to increase the unprecedented shortage of ICT professionals, the EU's digital targets seek to increase women's participation in ICT and the tech sector.

Among the initiatives in the area of **education**, the Commission is preparing to evaluate progress in the European education area in 2025, as a basis for its further development up to 2030.

While the EU has no direct competence in **housing**, its fiscal, competition, State aid and energy rules affect housing provision. For instance, the revised Energy Performance of Buildings Directive, transposing the EU Climate Law, set new targets for achieving a net-zero housing stock by 2050. Significant public and private investment is needed to reach these targets. As housing affordability has become a problem for many EU citizens and is also seen as a risk for the sound functioning of the single market, the Commission is taking steps towards a coordinated EU approach to housing. The Commissioner for Energy and Housing will focus on the strategy, planning (with Mînzatu) and opening a path to investment, while the Vice-President for a Clean, Just and Competitive Transition must revise State aid rules to enable Member States to provide broader housing support measures.

Given the increased life expectancy, paralleled by a trend of declining birth rates and below-replacement fertility rates, the EU's population is decreasing and ageing, with growth only sustained by immigration from third countries. The shrinking working-age group puts labour markets and welfare states under pressure, raising the burden of the public debt. While mitigating and managing the impacts of **demographic change** is the task of national governments, the 2023 recommendations of the High-Level Group on the Future of Social Protection and of the Welfare State in the EU call for welfare state modernisation and reform. In his April 2024 report, Enrico Letta meanwhile warns against the long-term impact of a shrinking and ageing population on the EU single market. As the population ages, demand for social care and **long-term care** also rises. Both issues are the Member States' responsibility. However, the EU has been offering insights into the implications of demographic change on health and long-term care needs. Mînzatu's tasks include creating a more coherent EU framework to address the shortage of long-term care workers.

In the new Commission, a common EU approach to demography-related issues will be dealt with by the Commissioner for the Mediterranean and guided by Mînzatu, who should also seek to facilitate **labour mobility**. This entails a review of the mandate of the European Labour Authority (ELA). Founded in 2019, the ELA contributes to ensuring that EU rules on labour mobility and social security coordination are enforced in a fair, simple and effective way. The ELA only reached full operational capacity in 2023, and the inspections carried out have revealed many violations involving both EU and third-country nationals as victims. However, to make a real difference, the ELA would need to conduct many more inspections a year. As part of **legal migration** and to attract third-country nationals with the right skills, the Commission has proposed the establishment of an EU talent pool, an IT platform based on voluntary participation, to allow third-country nationals to express their interest in and apply for work, while also enabling employers to search for potential employees.

European Parliament

Treaty basis and European Parliament competence

Article 3(3) of the Treaty on European Union (TEU) and Articles 8-10, 19, 45-48, 145-166 of the Treaty on the Functioning of the European Union (TFEU). The common objectives of the EU and its Member States in the social and employment area are the promotion of employment, improved living and working conditions, proper social protection, dialogue between management and other members of staff, the development of human resources to ensure lasting high employment and the combating of exclusion (Article 151 TFEU).

Article 153 TFEU specifies the areas in which the EU can adopt directives through the ordinary legislative procedure, where Parliament acts as co-legislator. The Council can also adopt recommendations, but Parliament has no involvement in this process.

Policies in the area of education and vocational training are decided and implemented by the Member States (Articles 165-166 TFEU). The EU's role is one of support and coordination, with harmonisation of laws and regulations being specifically excluded. The Council can adopt recommendations, Parliament is not involved.

To Parliament, ensuring **adequate funding for EU programmes** to support employment and social policies in the next long-term EU budget is vital. Taking stock of the progress achieved since the Porto Social Summit of May 2021, Parliament called on the Commission to do more to dovetail the European Pillar of Social Rights action plan with the relevant EU strategies and to present a legal framework to anticipate and manage changes related to the green and digital transitions in the world of work. In its annual European Semester monitoring, Parliament advocated improvements to employment and social priorities. A key step related to the **world of work** was the adoption of the Directive on Minimum Wages in 2022. It establishes procedures to ensure the adequacy of statutory minimum wages (in countries where these exist) and improve access to minimum wage protection for workers entitled to a minimum wage under national law. It also promotes collective bargaining on wage setting. Further Parliament initiatives have focused on the areas mentioned below.

In terms of **health and safety at work**, the existing EU legal framework has been updated with the fourth set of rules to protect workers from the risks related to exposure to carcinogens or mutagens at work to which reprotoxic substances have been added. Despite being banned in the EU since 2005, asbestos still presents risks to workers, which were highlighted by the Green Deal renovation wave. Following Parliament's call for action in 2021, new rules were proposed and adopted in 2023 to ensure more robust protection of workers from asbestos by reducing the exposure limits and providing for more accurate ways to measure exposure levels. New limit values for lead and diisocyanates were adopted as part of the fifth update of EU rules on carcinogens, mutagens or reprotoxic substances and of the EU rules on chemical agents.

Major steps towards **equality between men and women** in the EU include the 2019 Directive on work-life balance for parents and carers, which aims to increase the participation of women in the labour market, the take-up of family-related leave and flexible working arrangements. It also provides opportunities for workers to take leave to care for relatives who need support. The 2022 Directive on women on boards addresses the imbalance between women and men in economic decision-making at the highest levels of companies. The principle of 'equal pay for equal work or work of equal value' – an EU right since 1958 – has been strengthened with the 2023 Directive on pay transparency. The new rules oblige EU companies to share information on salaries and take action if their gender pay gap exceeds 5 %. The directive includes provisions on compensation for victims of pay discrimination and penalties, including fines, for employers who break the rules.

Following the Parliament's 2021 call for action on **legal migration policy and law**, the Commission proposed the establishment of an EU talent pool. To help better enforce EU labour law, Parliament called for the European Labour Authority's mandate to be substantially strengthened to ensure its added value to national enforcement authorities. Both these initiatives will require further attention.

The Commission proposed to revise the coordination of social security systems in 2016 (Regulation 883/2004). Following difficult negotiations and two failed provisional agreements, most Member States seemed to support the Belgian Council Presidency's idea of splitting the regulation, and only concluding the four chapters where consensus already existed. As Parliament rejected this approach as 'selective', the fate of the file remains unclear. Related to the (national) rules on **social security**, and in line with one of the EU headline targets under the European Pillar of Social Rights to reduce the risk of poverty and social exclusion, is the idea of a coordinated EU approach to **minimum income**. Building on the initiative first formulated in a 2023 Council recommendation, Parliament called on the Commission to consider a directive on adequate minimum income.

Recent developments

To strengthen the role of national equality bodies (organisations that offer assistance in cases of discrimination), the Commission proposed two directives setting new standards in 2022. Identical in terms of their substance, one concerns equality between men and women in employment, the other concerns equality in terms of sex, racial or ethnic origin, religion or belief, disability, age and sexual orientation. Both proposals were adopted in the spring of 2024 and signed into law.

Following a pilot project conducted in eight EU countries, the Commission proposed a directive establishing a European Disability Card and the European Parking Card for persons with disabilities. New rules are to be finalised shortly, to facilitate travel in the EU for persons with disabilities. An extension to third-country nationals has also seen progress.

In the post-COVID-19 context, Parliament called for a directive to set minimum standards for telework, (initiative on the right to disconnect). European social dialogue negotiations were launched in June 2022 and failed a year later, following which the Commission promised to initiate legislative action. This outcome makes the Commission's intention to further strengthen EU social dialogue very topical, in particular as regards the introduction of new technologies.

The directive on improving working conditions of digital platform workers, soon to be finalised, will set rules to facilitate the correct determination of platform workers' employment status and improve transparency, fairness and accountability in algorithmic management in the workplace. These new rules on algorithmic management join broader EU efforts to address the risks related to artificial intelligence in the workplace (the General Data Protection Regulation applied since May 2018 and the Artificial Intelligence Act adopted in May 2024). This first-ever set of AI-related legislation will require monitoring, evaluation and adjustments, while trade unions already call for an EU directive to define minimum standards for the design and use of algorithmic systems in the workplace.

To improve social dialogue in the EU further, this time in the context of large multinationals and in response to Parliament's call for action, the Commission put forward a revised directive on European Works Councils in January 2024. The work on the file having progressed, the new Parliament is expected to confirm formally shortly whether the file will be carried forward.

In response to Parliament's call for a stronger EU legal framework for traineeships, the Commission proposed a directive and revised recommendation. Work on both files is expected to resume soon.

Recent accomplishments in the area of education include the Commission presenting a blueprint for a European degree in March 2024, and the Council adopting a recommendation on learning mobility in May 2024. Currently, 64 European Universities alliances gather more than 560 higher education institutions from across Europe. Further steps will build on the ongoing interim evaluation of the European Education Area and the review of the digital education action plan launched in April 2024.

FURTHER READING

Bassot E., The six policy priorities of the von der Leyen Commission: An end-of-term assessment, EPRS, European Parliament, 2024.

Committee on Employment and Social Affairs, 2019-2024 activity report, European Parliament, 2024.

European Parliament, Roxana Mînzatu hearing documents and CV, 2024.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Raffaele Fitto

Executive Vice-President for Cohesion and Reforms

Confirmation hearing due to be held on Tuesday 12 November, at 9.00.

European Parliament committee responsible: Regional Affairs (REGI)

Raffaele Fitto is an Italian politician, and has been minister for European affairs, Southern Italy, cohesion policy and the national recovery and resilience plan since 2022.

A former Member of the European Parliament (from 1999-2000 and 2014-2022), Fitto was co-chair of the European Conservatives and Reformists (ECR) group from 2019 to 2022, and was thus a member of the Conference of Presidents. He served on the Committee on Budgetary Control, the Committee on Economic and Monetary Affairs and the Committee on Regional Development.

A long-serving Member of the Italian Parliament (Camera dei Deputati), Fitto's terms of office ran between 2006 and 2014 and from 2022 to the present day. Fitto was Italian minister for regional affairs from 2008 to 2010 and minister for territorial cohesion from 2010 to 2011.

During his earlier career, Fitto was President of the Apulia region (2000-2005) and served repeatedly as Councillor for the Apulia region (1990-1994 and 2005-2006). Fitto was Regional Councillor for Tourism for Apulia from 1994 to 1995, and Vice-President of the Regional Council with responsibility for the budget from 1995 to 1999.

Born in 1969, Fitto holds a degree in law from the University of Bari (1994).



Raffaele Fitto, Italy.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priority issues for the vice-president
- Main projects
- European Parliament priorities
- Executive responsibilities
- Priorities and challenges
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Vasilis Margaras
Members' Research Service

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EN

Fundamentals of the portfolio

The mission letter describing the portfolio for the role of Executive Vice-President for Cohesion and Reforms sets out two main pillars of activity: cohesion (focusing on cohesion policy and related policy areas) and the 'reforms' pillar, which relates to strengthening structural reform and reducing current weaknesses across a number of EU policies. Ursula von der Leyen's stated ambition for this Commission is to be an 'Investment Commission'. In terms of reform, this means the main task for the vice-president will be to ensure that the EU boosts durable reform and investment contributing directly to strengthening EU economic growth. Cohesion policy and regional development also seek to achieve economic and social convergence across the EU so that, as the letter mentions, all EU citizens have the resources they need to thrive in the place they call home. The portfolio also includes cross-cutting responsibilities with other members of the College of Commissioners (see below).

Priority issues for the vice-president

According to the mission letter, Fitto should drive the EU's commitment to promote economic, social and territorial cohesion, and support the development of thriving, sustainable and inclusive regions and cities, to achieve upward economic and social convergence. One of the main priorities for the vice-president is to frame a stronger and more modern cohesion and growth policy (in cooperation with national and regional authorities), aligned with the EU's wider priorities, more focused, simpler and more impactful in mobilising further reform and investment.

Perennial regional disparities should be tackled by providing tailor-made solutions to regional and local challenges, helping left-behind regions to catch up and improving Europeans' quality of life. This latter is an urgent requirement, as Europe recovers from the pandemic, lockdowns and other crises that deepened divergences between citizens, regions, territories and different economic sectors. A particular focus of the mission letter is the need for support measures to enable European citizens who wish to remain in their home areas to do so.

The vice-president should help European economies and societies become sustainable, resilient and better prepared for future challenges. Considerable attention is to be paid to the different geographical areas and their special needs. People in Europe's regions – whether in cities, coastal communities or rural areas – should have real opportunities to help drive growth and productivity across Europe.

The stated intention of this Commission is to be more present on the ground, more often and in more regions. Given the 'local/regional' nature of the portfolio, the vice-president has a vital role to play. He will also be expected to communicate actively on the Commission's actions and decisions and help tackle disinformation, notably by providing clear and accurate information at all times.

An important element of the post – ensuring support for long-lasting reform and investment that strengthens European growth – is nevertheless not singled out. Instead, it is woven throughout the EU's cohesion policy and related policies that the vice-president will be able to influence, including sustainable mobility, tourism, farming and fisheries. Through cohesion policy instruments that cover non-EU countries, the vice-president will also have a role to play in the future enlargement process.

Main projects

The vice-president's principal projects relate to the policy issues mentioned above. According to the mission letter, Fitto should focus on supporting all EU regions by shaping a stronger, modern and effective cohesion policy. The vice-president is responsible for 'the delivery of policy targets and objectives' within his portfolio, in particular an 'effective implementation' of cohesion policy, including through European Regional Development Fund, Cohesion Fund and Just Transition Fund spending.

An ambitious policy agenda for cities should be put in place, which should seek out solutions to issues close to citizens' needs, such as housing, climate action, digitalisation, mobility, social inclusion and equality. The specific economic and social challenges facing islands (housing, transport, water and waste management) and the EU's outermost regions are also mentioned as issues to be tackled. The vice-president should tackle regional disparities by providing tailor-made solutions and strive to achieve an 'effective right to stay' in the place they call home for all EU citizens, by helping to provide what each community needs: public services, education opportunities and skills, health, transport and digital connectivity.

Measures are expected to be taken on a number of structural policies – although these are not detailed in the mission letter. The vice-president will also help to guide the work on sustainable mobility and tourism and to ensure that the fisheries sector becomes more resilient, sustainable and competitive, as well as to guide the work on boosting a competitive and sustainable blue economy. The vice-president also has a role to play in ensuring the competitiveness, resilience and sustainability of the food and farming sector. This is intended to 'promote positive environmental and social outcomes' and adequate support for farmers and rural communities.

Working with the Commissioner for Economy and Productivity, the vice-president should focus on successful and full implementation of Next Generation EU funding. Furthermore, particular attention is to be paid to creating a dialogue with stakeholders and involving regional and local authorities – 'speaking to people on the ground' being a priority for the entire Commission. Delivering on reforms and investments set out in the Member States' recovery and resilience plans by the 2026 expenditure deadline, is expected to be a significant challenge, requiring the vice-president to encourage a solid effort from all Member States and the Commission itself.

In terms of EU citizens' quality of life, the portfolio also includes contributing to the European affordable housing plan, seeking to inject liquidity into the housing market and helping Member States to double cohesion policy investment in affordable housing. Contributions are also expected to the new European Bauhaus, climate adaptation plan and the European water resilience strategy.

To facilitate Cyprus's reunification, the vice-president should seek to improve economic and social conditions for the Turkish Cypriot community through the current aid programme, while also monitoring the Green Line Regulation. Work should also take place on supporting the EU's eastern border regions, particularly those Member States affected by Russia's aggression and where assistance is necessary to re-orientate local economies. A reflection on the future of cohesion policy in a larger EU, and the acceleration of institutional convergence for candidate countries by contributing to pre-enlargement policy reviews is also part of the vice-president's mission.

To bring the EU closer to its citizens, the vice-president is encouraged to 'go local', visit regions and cities, to meet Europeans from across the Union, including in rural and sparsely populated areas. The vice-president will be expected to engage with representatives from regional or local areas, and to connect with the network of EU Local Councillors to give more visibility to EU projects.

Working with Commissioners
Valdis Dombrovskis: Economy and Productivity
Marta Kos: Enlargement
Costas Kadis: Oceans and Fisheries
Apostolos Tzitzikostas: Sustainable Transport and Tourism
Christophe Hansen: Agriculture and Food

European Parliament priorities

Treaty basis and European Parliament competence

The rules and objectives relating to cohesion policy are set out in Articles 174 to 178 of the Treaty on the Functioning of the European Union (TFEU). Article 174 establishes the overall objective of strengthening the Union's economic, social and territorial cohesion, stipulating that the EU must aim to reduce regional disparities and the backwardness of the least-favoured regions. Among the regions concerned, particular attention is to be paid to rural areas, areas affected by industrial transition, and regions that suffer from severe and permanent natural or demographic handicaps such as the northernmost regions with very low population density, and island, cross-border and mountain regions. Regarding support for structural reform, Article 175 TFEU (third paragraph) states that the European Parliament and the Council may adopt specific actions outside the funds, if they prove necessary, and without prejudice to the measures decided upon within the framework of other Union policies.

Parliament's Committee on Regional Development (REGI) played an influential role in preparing a number of pieces of legislation that were adopted during the previous (2019-2024) term. The first major achievement at the beginning of that legislative period was the adoption of the legislative package on cohesion policy (2021-2027), which allowed EU cohesion legislation to enter into force from 1 July 2021, at the onset of the COVID-19 pandemic.

Parliament also played a major role and responded quickly and efficiently in mobilising funds to respond to numerous emerging crises (i.e. COVID-19, the Russian invasion of Ukraine and subsequent refugee crisis, energy prices, high inflation, climate change mitigation, and natural disasters). It adopted several emergency regulations, ensuring crucial and timely support for EU citizens impacted by these crises. Measures included the Coronavirus Response Investment Initiative (CRII) and Recovery Assistance for Cohesion and the Territories of Europe (REACT EU), as part of the EU's recovery package aimed at helping communities mitigate the effects of the pandemic and to build a more resilient and sustainable future.

Parliament also adopted the Cohesion's Action for Refugees in Europe (CARE), Flexible Assistance to Territories (FAST-CARE), Supporting Affordable Energy for people and SMEs (SAFE), and re-industrialisation (STEP) measures, as well as an amended legislative proposal on the European Cross-Border Mechanism. Furthermore, REGI pleaded for the creation of an ambitious EU strategy for the islands, as well as the need for adapted and dedicated EU policies for the outermost regions.

The REGI committee's own-initiative reports during the term dealt with issues including the role of cohesion policy in the fight against climate change, EU border regions, challenges of cross-border cooperation, reshaping structural funds to support regions affected by challenges related to automotive, green and digital transition, harnessing talent in European regions, cohesion policy in promoting smart transformation and ICT connectivity, and demographic challenges.

In its resolution on 2014-2020 EU cohesion policy and its implementation and outcomes in the Member States, the Parliament gave an overview of cohesion policy achievements, insisting that cohesion policy should remain the EU's main investment instrument for reducing disparities, ensuring economic, social and territorial cohesion, and stimulating regional and local sustainable growth. It regretted the reduction in the share of the 2021-2027 multiannual financial framework (MMF) dedicated to cohesion, compared with the previous programming period. Parliament insisted that cohesion investment should remain under shared management for programming and implementation, to allow a response to Member State, regional, urban, rural and remote areas' needs. It was disappointed that delays in the MFF negotiations led to considerable delays in funding during the 2021-2027 programming period, and called on the Commission to assess the legal possibility of creating a distinct division within the Common Provisions Regulation, between the content-related part (political) and the MFF-related part (financial resources), for the post-2027 programming period.

Parliament's resolution called on the Commission, the Member States and regional authorities to use and enhance existing mechanisms to detect and fight irregularities, fraud and corruption in cohesion policy funding. It acknowledged the need for built-in crisis flexibility and proposes the creation of a dedicated axis for local and regional authorities to address emerging priorities. Parliament called for the post-2027 cohesion policy regulations to take 'rule of law' aspects fully into consideration when approving partnership agreements and cohesion policy programmes and to introduce strict criteria to improve the application of the 'do no significant harm' principle. It called on the Commission to continue to prioritise tackling climate change mitigation and adaptation, biodiversity loss and protection of the environment, including better water and waste management, resource and energy efficiency, disaster resilience and risk prevention and management. Another demand was to guarantee better access to funding for local and regional authorities, and for cross-border and less-developed regions, as well as to ensure that every new Commission initiative is accompanied by a corresponding budgetary top-up.

Executive responsibilities

Fitto will be in charge of the Directorate-General for EU Regional and Urban Policy (DG REGIO) which has around 700 staff. DG REGIO is primarily responsible for European action on economic and social development in the EU's least-developed regions. The DG supports these regions with policies and structural programmes aimed at enhancing competitiveness and economic growth. DG REGIO also manages programmes financed under the European Regional Development Fund (ERDF) supporting the Investment for Jobs and Growth and European Territorial Cooperation goals, the Cohesion Fund (CF), the Just Transition Fund (JTF) and the European Union Solidarity Fund (EUSF).

The vice-president will also be responsible for the Directorate-General for Structural Reform Support (DG REFORM), which coordinates and provides tailored technical support to EU Member States, in cooperation with the relevant Commission services. The DG's task is to support Member States in designing and implementing resilience-enhancing reforms, thereby contributing to the EU's recovery from the COVID-19 crisis, improving the quality of public services and returning to the path of sustainable and inclusive growth.

Priorities and challenges

Expectations/public opinion

According to an October 2023 Eurobarometer survey, general public awareness of EU-funded projects is at 39 %, which represents an increase of 5 percentage points compared to 12 years ago. Of those respondents who are aware of EU-funded projects, 79 % think they have a positive impact on the regions. Some 46 % of respondents have heard about the European Regional Development Fund (ERDF) and/or the Cohesion Fund, and 45 % have heard about the European Social Fund, while 29 % of respondents have heard about REACT-EU. Some 63 % of respondents say that the EU should invest in all its regions, while 33 % consider the EU should only invest in its poorer regions. However, awareness of EU-funded projects varies significantly by country, ranging from 15 % in Denmark to 80 % in Poland.

The European Commission's Ninth Cohesion Report (2024) provides an overview of some of the important issues facing EU cohesion policy and dominating the current debate on its future. It mentions that lessons learned from past implementation periods underline the need to further improve cohesion policy design, to modernise and strengthen EU action. The report states that considerable economic disparities persist across the continent. More than 1 in4 people in the EU (28 %) live in a region with GDP per capita below 75 % of the EU average. A centre/periphery dichotomy prevails in many economic and social indicators. Economic development in many Member States continues to be driven by the competitiveness of capital regions and major agglomerations. Several EU regions are still struggling with challenges that do not necessarily fit a single, uniform category. EU cohesion policy therefore needs to provide more, and more specific, 'place-based' approaches to EU regions and municipalities that can address their unique problems.

Nevertheless, according to the report, EU cohesion policy has, over time, also acted as an economic stabiliser, a source of support and investment during the financial crisis, and, more recently, during the pandemic and Russia's war of aggression against Ukraine. However, while cohesion policy's contribution to the EU's response to the socio-economic fallout of the pandemic and of the war in Ukraine was crucial, its main focus must remain on achieving the EU's long-term structural objectives.

Demographic decline is another major issue affecting EU regions. All European regions are affected by population change (e.g. rapid ageing, declining birth rates). However, demographic decline has a more direct impact on certain regions. Many border, remote, rural, insular and mountainous regions continue to lose considerable portions of their population, in particular seeing many of their younger and highly educated inhabitants moving away for a better future. The demographic decline that is currently evident in many European regions is expected to further exacerbate labour shortages. Labour and skills shortages have become a major challenge in a variety of occupations and sectors across all skills levels. Many EU regions suffer from 'brain drain', thus losing the most dynamic sections of their population to big cities and vibrant urban areas.

The Ninth Cohesion Report states that the green and digital transitions bring new opportunities and are necessary to maintain EU competitiveness in the future. However, both require structural change, which needs to be accompanied by supporting policies and measures. A number of EU regions still lag behind when it comes to implementing green transition measures. Furthermore, levels of digital connectivity, IT skills, resources and personnel vary widely from region to region, hindering further economic and social development. Both transitions also have a social impact that needs to be taken into account. For instance, certain sectors that are heavily dependent on fossil fuels are likely to be affected by job losses or restructuring. All sectors of the population need to be able to reap the benefits from this twin transition and provide assistance for communities to make the shift to a new economic reality.

Climate change and its dire consequences is another topic covered in the report. The frequency and severity of weather-related disasters – extreme temperatures, storms, inland and coastal flooding, droughts and wildfires – are increasing. These weather phenomena contribute to major natural disasters that have devastating consequences for considerable areas, causing severe environmental as well as human, social and economic problems. Climate change therefore also risks increasing regional inequalities. Mitigating climate change and improving the quality of the environment demands a rapid reduction in greenhouse gas and air pollutant emissions in all sectors, including through the circular economy and restoring ecosystems.

The new geopolitical landscape also impacts EU regions. Russia's war on Ukraine, as well as the long-running war in Syria, have seen a number of border regions exposed to considerable waves of immigration. Some southern peripheral and outermost regions, exposed to particular migratory pressure or experiencing an increase in irregular arrivals, require targeted and continuous support.

The report highlights the need for respect for the rule of law, and quality administrative capacity in maximising the return on public and private investment for citizens. Good governance is a precondition for effective and efficient design and implementation of any development strategy, and more generally for regional economic and social progress. Further EU structural reform is needed to remove obstacles to regional development – whether specific investment barriers, regulatory obstacles or measures to improve the functioning of the labour market and the business environment.

The report also mentions that delays in programming and implementation of cohesion policy programmes (e.g. back-loading of financial implementation, coupled with administrative shortcomings in some Member States and regions) show that the cohesion policy delivery mode requires improvement. This could be done by ensuring further simplification for administrations and beneficiaries. In this respect, the Recovery and Resilience Facility (RRF) experience has also provided invaluable lessons for the future design of EU funding instruments. The mid-term

evaluation of the RRF has also provided useful input. The associated consultations show broad support for performance-based funding instruments at EU level, such as the RRF. In addition, the EU Member States' recovery and resilience plans, a centrepiece of Next Generation EU, set up plans with clear deliverables, addressing both EU policy priorities and country-specific challenges. However, local and regional authorities have raised the issue of insufficient involvement.

Finally, to further stimulate regional growth and convergence the report mentions the need to explore how the link between investment and reform could be strengthened to maximise cohesion policy impact. Reflections should cover the scope of the reforms needed, the role of the European Semester, and the coordination between European, and national and regional policies.

Recent developments

The Council's conclusions on the Ninth Cohesion Report welcome the findings and provide an account of the added value of cohesion policy in policy fields where it has an impact. The conclusions mention a number of emerging challenges (e.g. the green/digital transitions, climate change, migration, global competition, competitiveness, connectivity, supporting EU strategic autonomy, and geopolitical instability). They express concern regarding the demographic challenges that are exacerbating skill and labour shortages and youth unemployment, especially in rural and remote regions and those exposed to severe natural disadvantages, which suffer from depopulation and brain drain as well as the over-concentration of activity in urban areas. The Council also highlights the importance of a polycentric development model and building on urban-rural linkages. The Council considers that any future EU enlargement will have implications for cohesion policy, and invites the Commission to consider appropriate ways for post-2027 cohesion policy to provide tailored support for regions to successfully manage those challenges, with particular focus on the green, digital, industrial and demographic questions and the uneven levels of socio-economic development.

The Council conclusions underline that cohesion policy is one of the most important tools fostering development in all European regions, especially in regions that face persisting structural challenges. They reaffirm that cohesion policy, as a place-based policy underpinned by shared management, must be tailored to regions' needs, specific challenges and vulnerabilities, enabling them to carry out investment and reform at the most appropriate level. The increased role of cohesion policy in contributing to the European Semester is also acknowledged. The structural and economic situation of the outermost regions (Article 349 TFEU) is underlined, as well as the European Territorial Cooperation (Interreg) programme's contribution to achieving more balanced territorial development through better cooperation across regions and borders.

The Council stresses the need for cohesion policy to work together with other relevant policies and initiatives, including at national and regional levels, beginning with the design phase, and emphasises the importance of simplifying cohesion policy for beneficiaries and programme authorities. It recalls the need for harmonisation and proportionality in controls and audits, while maintaining high standards for the prevention of and the fight against fraud and corruption at all levels, as well as the need to strengthen the application of the principle of single audit.

The Council stresses that good governance, strong institutions, respect for the rule of law and strong administrative capacity are important for the effective and efficient design and implementation of cohesion policy. It underlines the opportunity of reflecting on ways to make cohesion policy more performance-based, with a view to enhancing efficiency, building on experience and lessons learned from other EU instruments. Finally, it asks the Commission to develop proposals aimed at adapting cohesion policy in line with its role as the long-term framework for regional development, underpinning the EU growth model and building on its distinctive strengths – shared management, multi-level governance, a place-based approach and the partnership principle.

DG REGIO's Annual Activity Report 2023 states that cohesion policy has invested in reducing disparities between Member States and helped to contribute stability to Europe's crisis response in

recent years. Without cohesion policy, existing disparities would have been further exacerbated. In a separate report on the Geography of Discontent, DG REGIO underlines that regional development 'traps' lead to reduced citizen support for European integration and values. The 2014-2020 absorption rate in terms of net payments for the European Regional and Development Fund and the Cohesion Fund was even higher than in the previous period at the same time. Despite the late start, the 2021-2027 cohesion policy programmes are up and running. The coordination carried out between cohesion policy and the RRF continues to address issues related to risks of fraud, corruption, conflicts of interest and double funding.

In its 2023 opinion on the future of cohesion policy post-2027, the European Committee of the Regions (CoR) considers that the priorities for cohesion policy should evolve to cement its position as the main EU investment tool to achieve economic, social and territorial cohesion. The CoR stresses that all European regions should remain eligible for funding in the future and advocates that the shared-management model, multi-level governance and the partnership principle remain the policy's guiding principles. It also stresses the need for the 'do no harm to cohesion' principle to apply to all EU policies.

The CoR highlights the importance of measuring the benefits of cohesion policy, combining both qualitative and quantitative indicators (apart from GDP), and that a territorial vulnerability scoreboard is crucial to starting a policy debate on how to use cohesion policy to respond to such vulnerabilities. It claims that the cohesion policy budget in the post-2027 period should be at least equivalent to that of 2021-2027. It argues that cohesion policy should operate under a single strategic framework, with guarantees regarding local and regional authority participation. The CoR stresses that the next programming period must be guided by the principles of 'just transition', bearing in mind the structural challenges associated with the twin green and digital transitions and their uneven impact on EU regions.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Maroš Šefčovič

Trade and Economic Security; Interinstitutional Relations and Transparency

Confirmation hearing due to be held on Monday 4 November, at 14.30.

European Parliament committees responsible: International Trade (INTA), Constitutional Affairs (AFCO)

Maroš Šefčovič has served as the European Commission's Executive Vice-President for the European Green Deal, Interinstitutional Relations and Foresight since August 2023. This portfolio included overseeing the EU's relations with the United Kingdom, Andorra, Iceland, Monaco, Norway, Liechtenstein, San Marino and Switzerland.

A long-serving member of the European Commission, from 2019 to 2023, Šefčovič was the Commission's Vice-President for Interinstitutional Relations and Foresight. From 2014 to 2019, he was its Vice-President for Energy Union. From 2010 to 2014, he was the Commissioner and Vice-President for Interinstitutional Relations and Administration; and from 2009 to 2010, he was the Commissioner for Education, Training, Culture and Youth.

Born in Bratislava in 1966, Šefčovič enrolled in the University of Economics in his home town in 1984, but from 1985 to 1990 pursued his studies at the Moscow State Institute of International Relations. In 2000, he earned a PhD in international law at Comenius University in Bratislava. Šefčovič is a former diplomat, who served from 1991 to 1992 as Consul at the Czech and Slovak Federal Embassy in Zimbabwe. From 1992 to 1995, he was Deputy Head of the Czech and Slovak Federal Embassy to Canada. He served as Ambassador to Israel from 1999 to 2002 and was the Slovak Permanent Representative to the European Union from 2004 to 2009.



Maroš Šefčovič, Slovakia.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Gisela Grieger
Members' Research Service

PE 762.445 – October 2024

EN

Fundamentals of the portfolio

Since the 1957 Treaty of Rome established the European Economic Community's customs union with a common external tariff, the common commercial policy (CCP) has expanded in scope through several Treaty changes. The 2009 Lisbon Treaty, for instance, brought parts of investment policy under the CCP's exclusive competence.

The CCP is a foreign policy area in which the EU is best placed to speak with one voice. This is particularly true at a time when EU trade policy is facing a challenging global trade environment marked by a weakened rules-based multilateral trading system centred on the World Trade Organization (WTO), growing fragmentation of trade and trade rules, and the weaponisation of trade interdependencies for political gain. Additional challenges have been the post-COVID-19 pandemic reconfiguration of global supply chains, shifting away from efficiency considerations towards security and resilience, and the re-emergence of industrial policies amid rising geopolitical tensions.

In addition to trade and economic security, the portfolio will include overseeing interinstitutional relations and transparency. This is mainly about enhancing the Commission's dialogue with the Parliament and Council, ensuring adherence to rules on transparency. Šefčovič will be a Member of the Interinstitutional Ethics Body, developing common minimum standards for ethical conduct.

Priorities and challenges

Expectations/public opinion

In a June 2024 Eurobarometer survey more than six in ten respondents perceived international trade as beneficial, agreeing that it broadened consumer choice and made products more affordable. Moreover, more than seven in ten respondents considered that the EU was more effective in defending the trade interests of Member States than Member States pursuing their interests on their own. Eight in ten respondents believed in the need for international trade rules, and half of respondents were convinced that these rules helped create a level playing-field for countries and businesses.

The new Commission will draw on two major reports, one by Enrico Letta and the other by Mario Draghi. The Letta report recommends that, in applying its trade policy, the EU should 'move away from a logic of imposing regulations that harm partners' and the EU's ability to negotiate strategic partnerships'. Instead, it should use 'evidence-based policies that consider the costs/benefits of action and inaction, the EU's external competitiveness, and other external impacts', as well as policies that address the concerns of its trade partners. The Draghi report recommends that the EU's trade policy should be flexible and targeted, and governed by a clear set of principles. For instance, it should be 'pragmatic and aligned with the overarching goal of raising the EU's productivity growth' under a new European industrial strategy.

In her July 2024 political guidelines, Commission President-elect Ursula von der Leyen stated that the new Commission would 'prioritise advancing Europe's economic security and economic statecraft'. She called for a 'new economic foreign policy' with three pillars: economic security, trade, and investment in partnerships. She announced the development of a new range of Global Gateway-supported clean trade and investment partnerships, deeper relationships on critical raw materials and 'more ambitious' enforcement of EU trade agreements and autonomous trade policy tools.

The mission letter to Šefčovič states that the new Commission will continue prioritising initiatives aimed at boosting the WTO's central role in global trade and expanding the EU's network of 47 preferential trade agreements with 74 partners, covering close to 44 % of total EU trade. This will involve the conclusion of bilateral trade and investment deals to give EU companies access to markets in third countries and ensure reciprocity and a level playing-field. The Commission will double down on efforts to implement and enforce existing trade agreements, finalise the political agreements on trade deals reached with Mexico (2018) and Mercosur (2019), and continue trade negotiations with India, Indonesia, the Philippines and Thailand. Efforts will also be made to revive suspended trade talks with Australia. In this context, the question raised during the 2024 farmer

protests as to whether 'mirror clauses' should be inserted into EU trade deals may reappear. The Commission could explore ways to enhance trade relations with Malaysia and the Gulf Cooperation Council, suspended since 2012 and 2008 respectively.

Navigating relations with the US and China, and their geopolitical rivalry, will be another priority. While the EU-US Trade and Technology Council saw unprecedented levels of engagement, it failed to live up to the expectations of significant, immediate economic benefits. Merely temporary solutions have been found for legacy trade irritants. Negotiations on a critical minerals agreement to tackle some of the adverse implications for the EU of the US Inflation Reduction Act have stalled. Trade relations with China remain strained due to trade imbalances and China's investment-driven growth model, which fuels overcapacity and the risk of oversupply in the EU market. Efforts to combat customs fraud will continue, to protect the budgets of both the Member States and the EU.

Šefčovič will also work on the revision of the Framework Agreement on relations between the Parliament and the Commission, and oversee implementation of common minimum standards within the newly created Interinstitutional Body for Ethical Standards and the transparency register. He will also lead activities following up requests for legislative proposals by Parliament (Article 225 TFEU). His remit will also take in citizens' participation in shaping EU policies, for instance the first-ever annual youth policy dialogues.

European Parliament

Treaty basis and European Parliament competence

Article 3(1) of the Treaty on the Functioning of the European Union (TFEU) establishes common commercial policy as an exclusive EU competence. Article 207 TFEU contains specific rules on EU trade policy, making Parliament a fully fledged co-legislator for all trade and investment-related EU legislation, under the ordinary legislative procedure. Article 218 TFEU outlines how international agreements with non-EU countries are to be negotiated and concluded. EU trade agreements are also subject to this procedure, which requires Parliament's consent. Parliament has to be regularly informed at all stages of the negotiation. The customs union is also an exclusive EU competence, subject to the ordinary legislative procedure (Article 33 TFEU).

During the previous legislative term, ahead of WTO ministerial conferences, Parliament issued its position on multilateral/plurilateral negotiations and the WTO reform agenda, including on reviving the paralysed Appellate Body. It gave its consent to a range of bilateral trade deals, and called for progress towards the signature and ratification of the political deal reached in the trade negotiations between the EU and Mexico and the EU and Mercosur. Beyond the official EU trade agenda, Parliament suggested that the EU explore ways to join the Comprehensive and Progressive Agreement for Trans-Pacific Partnership and link existing EU trade deals with partners, e.g. through their rules of origin protocols, to increase their preference utilisation rate. As for autonomous trade measures, it stressed that the legislative proposal on mandatory due diligence should not add an extra burden on small and medium-sized enterprises or lower their competitiveness.

Parliament called on the Commission, during its review of the FDI Screening Regulation, to evaluate whether other sectors could be considered strategic. It urged Member States without an FDI screening mechanism to establish one, to ensure effective EU cooperation. Reiterating its earlier calls to bolster the FDI screening framework, Parliament proposed to empower the Commission, 'subject to supervision by the Council', to block FDI, specifically FDI that 'might be detrimental or contrary to EU projects and programmes or other EU interests'. Parliament awaits the Council's position on establishing an EU customs data hub to begin trilogue negotiations. This reform, broadly supported by Parliament, would create a more efficient, digitalised, and fraud-resistant customs system.

Recent developments

The 2021 review of the EU's 2015 trade strategy entitled Trade for All. Towards a more responsible trade and investment policy applied the EU's strategic autonomy concept to international trade, and

integrated the EU's ambitious digital and green transition objectives into the strategy. EU trade policy was complemented by an economic security dimension, when, in June 2023, the Commission adopted the European economic security strategy and, in January 2024, issued a package of five initiatives, including a legislative proposal for the revision of the 2019 EU framework for FDI screening and two white papers – one on outbound investment and one on export controls.

At multilateral level, the EU supported multilateral negotiations at the WTO, such as on a fisheries subsidies agreement and plurilateral talks on investment facilitation and e-commerce, while also backing WTO reform. After the WTO's Appellate Body ground to a halt in 2019, the EU initiated the multi-party interim appeal arbitration arrangement as a temporary solution to uphold the two-tier WTO litigation system.

At bilateral level, the EU expanded its network of trade agreements by concluding a trade and cooperation agreement with the UK. A 'gold standard' free trade agreement (FTA) with New Zealand, allows for the imposition of trade sanctions – the first ever in an EU FTA – for non-compliance with commitments under the Paris Agreement and International Labour Organization conventions. This was reaffirmed in the FTA's trade and sustainable development (TSD) chapter, and was in line with the Commission's 2022 TSD chapter review. The EU also concluded an interim FTA with Chile that for the first time includes provisions on gender and trade.

In 2023, the EU and the members of the Organisation of African, Caribbean, and Pacific States signed a 'post-Cotonou' partnership agreement. The EU concluded an economic partnership agreement with Kenya in May 2024 and its first sustainable investment facilitation agreement with Angola in March 2024. Since 2022, the EU has signed digital partnerships with Canada, Japan, Singapore and South Korea.

Lastly, autonomous EU trade measures seek to: level the playing field with trade partners (e.g. the International procurement instrument and Regulation on distortive foreign anti-subsidies); foster sustainable trade under the Green Deal (e.g. the carbon border adjustment mechanism, the Deforestation Regulation and the Directive on corporate sustainability due diligence); respond to the challenges of enforcing global trade rules through the WTO (Enforcement Regulation review); address economic coercion (Anti-coercion instrument); and enhance European security (Dual-use Regulation).

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Valdis Dombrovskis

Economy and Productivity; Implementation and Simplification

Confirmation hearing due to be held on Thursday 7 November, at 14.30.

European Parliament committees responsible: Economic and Monetary Affairs (ECON), Legal Affairs (JURI)

Valdis Dombrovskis is European Commission Executive Vice-President and currently holds an economic and social portfolio, which since 2020 also includes trade. After becoming Commission Vice-President for the Euro and Social Dialogue in 2014, since 2016 he also oversaw Financial Stability, Financial Services and the Capital Markets Union. In 2019, he was promoted to Executive Vice-President for An Economy that Works for People and took over as Trade Commissioner in 2020.

In 2014, Dombrovskis was elected a Member of the European Parliament, sitting in the European Paople's Party (EPP) group, a post he had already held from 2004 to 2009. He was a member of the Committee on Budgets and a substitute member of the Economic and Monetary Affairs and Budgetary Control committees.

Dombrovskis served as Latvia's prime minister from 2009 to 2014. Prior to this, from 2002 to 2004, he served as the country's finance minister.

Born in 1971 in Riga, Latvia, Dombrovskis earned a master's degree in physics from the University of Latvia. He later obtained a professional master's degree in customs and tax administration from Riga Technical University.



Valdis Dombrovskis, Latvia.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

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Author: Martin Höflmayr
Members' Research Service

PE 762.444 – October 2024

Fundamentals of the portfolio

European economic and monetary union (EMU), outlined in the Maastricht Treaty, has seen several major economic crises since its inception. One of them was the global financial crisis (2007-2009) and another was the subsequent sovereign debt crisis, which triggered an overhaul of the economic governance framework, the creation of the European Semester cycle and the birth of banking union. More recently, the economic fallout caused by the pandemic led to the introduction of a new EU fiscal tool, Next Generation EU. Its main spending instrument is the Recovery and Resilience Facility (RRF), which finances Member States' ambitious reform and investment measures through grants and loans.

With gross domestic product (GDP) of €17 trillion in 2023, the EU is the third-largest economy in the world. It accounts for almost one sixth of global trade, and the euro is the second most traded currency globally. The EU has exclusive competence in international trade agreements, competition rules, the customs union, and monetary policy (through the European Central Bank). EU-level economic policies concerning the single market, employment, economic and social cohesion, primarily focus on coordination and support for Member States' policies. The European Semester is an annual process for Member States to coordinate economic and fiscal policies. Fiscal rules have seen a significant overhaul as part of the reform of the economic governance framework currently being rolled out. However, by far the largest part of public budgets and taxation remains under the control of the Member States themselves.

Priorities and challenges

Expectations/public opinion

Ahead of the European Parliament elections in 2024, a Eurobarometer survey found that supporting the economy and creating new jobs were the most crucial topics in the electoral campaign in 15 EU countries. At the same time, 45 % of the EU citizens polled reported a decline in their standard of living compared with 5 years previously. In another Eurobarometer survey, conducted in 2024 in six EU countries that have not yet adopted the euro, 58 % of respondents expressed support for introducing the euro in their country.

For the new Commission, crucial questions are likely to revolve around how the EU can transition to a sustainable and competitive economic growth model. For this to happen, the EU's future economic policy needs to perform a difficult balancing act. On the one hand, investment to bring about the green and digital transitions as well as potential defence spending require additional public and private resources. Propelling growth and ensuring cohesion in light of lacklustre productivity adds to the investment challenge, as structural issues such as a declining working-age population, skills shortages, high energy prices and slow adoption of digital technology keep the EU growth trajectory muted. On the other hand, after several years of large discretionary fiscal support measures, fiscal space is strained, as the EU is transitioning to new fiscal rules, including investment and reform incentives that are to be tested.

Amongst the topics Valdis Dombrovskis will have to address are the challenge to drive economic competitiveness and growth, implementing the new fiscal rules to ensure fiscal sustainability and productivity-focused investment, while supporting reform through the European Semester and effectively disbursing RRF funds until 2026. In addition, he is tasked with streamlining regulations and simplifying implementation. This includes reducing administrative burden, streamlining EU regulations to foster a predictable business environment (particularly for SMEs) and ensuring that EU laws are efficiently enforced without compromising policy goals.

In response to the rapid changes on the global playing-field, the EU has been developing its own industrial policy plan, which will be funded through EU-level facilities or State aid. A recent report from former Italian prime minister Enrico Letta reaffirmed the importance of energy, telecommunications and financial markets. It also proposed the introduction of a 'fifth freedom' focusing on research, innovation, knowledge and education. Another report, written under the guidance of Mario Draghi, focuses on increasing the EU's productivity and improving overall

industrial competitiveness. This report advocates a strong innovation and trade-focused policy, as well as a new industrial policy to take into account the need to decarbonise and digitalise the economy while aligning various policy areas. Mobilising investment in an environment with high savings rates highlights the importance of having a functioning capital markets union. Completing the banking union by addressing missing elements such as crisis management and resolution are crucial steps towards creating more resilient financial markets.

Enforcing the new fiscal rules will be a significant part of Dombrovskis's work. His mission letter tasks him with developing a new competitiveness coordination tool based on a proposal outlined in the Draghi report.

Coordinating efforts on the simplification and effective implementation of EU law will be another core task. This includes presenting annual plans for fitness checks of existing legislation, conducting 'reality checks' with stakeholders to identify hurdles in implementing EU law, and checks on the impact on small and medium-sized enterprises (SMEs) and on competitiveness, to strengthen the one-in-one-out rule when proposing new laws. The overarching goal is to simplify legislation and cut red tape by reducing reporting requirements by at least 25 % (35 % for SMEs).

European Parliament

Treaty basis and European Parliament competence

The legal basis for EU economic policy is Article 3 of the Treaty on European Union, which assigns the EU the task of establishing an economic and monetary union.

Monetary policy: the Treaty on the Functioning of the European Union (TFEU) sets clear parameters for the independence of the European Central Bank (ECB), its accountability to Parliament and its advisory role in the EU's legislative process. Parliament holds the ECB accountable for its conduct of monetary policy (Article 284(3) TFEU). In 2023, the ECB and Parliament formalised the existing accountability practices through an exchange of letters.

Economic policy: Article 119 TFEU establishes the basis for economic policy coordination. Articles 120-126 lay out the broad guidelines and grant Parliament the authority to co-legislate with the Council through the ordinary legislative procedure, in order to ensure the coordination of Member States' economic policies and multilateral budgetary surveillance.

In the context of EMU, Parliament has crucial legislative and scrutiny roles, distributed across two pillars: i) supervision of the ECB's monetary policy; and ii) EU economic governance, including co-legislating on the governance framework, adopting resolutions on economic priorities, and carrying out regular scrutiny exercises.

Interaction between Parliament and the ECB centres around the ECB's annual report, which includes detailed feedback from the ECB on Parliament's resolution on the ECB's annual report from the previous year. The ECB President appears before Parliament's Committee on Economic and Monetary Affairs (ECON) for quarterly hearings. Ad-hoc interactions with ECB Executive Board members also take place, as has been the case for the legislative work on the digital euro.

Parliament co-legislates on matters relating to the economic governance of the EU, as illustrated by a recent update of the governance framework. As part of this framework, which is applied throughout the European Semester cycle, regular scrutiny hearings take place (economic dialogues between the Parliament and other EU institutions, at both committee and plenary level).

Furthermore, Parliament discusses and takes positions on economic policy priorities and coordination through hearings and resolutions. It has a memorandum of cooperation with the European Stability Mechanism, an intergovernmental organisation established by the Member States of the euro area in 2012. The Parliament also holds recovery and resilience dialogues to discuss the overall state of the economic recovery, the suitability of national recovery and resilience plans, and details within these, such as milestones, targets, payments and suspensions. Since NGEU is a temporary instrument set to expire at the end of 2026, the Parliament has been vocal about the need to accelerate implementation of these plans and utilise the remaining NGEU resources.

Recent developments

Economic developments in the previous legislative term were dominated by several consecutive shocks, from the pandemic to the energy shock caused by Russia's war on Ukraine, which in turn led to a surge in inflation. This had a significant impact on economic policies, as various emergency measures had to be taken to mitigate the economic and social impact of those shocks.

The primary focus of the previous legislative term was deepening economic and monetary union. With the new EU economic governance framework, the EU put in place new fiscal rules to balance national debt sustainability with sustainable and inclusive growth in all Member States. By the autumn of 2024, Member Sates need to submit national medium-term fiscal–structural plans to the Commission. In the context of economic dialogue, the Parliament can regularly scrutinise this new multilateral budgetary surveillance process at both committee and plenary levels.

In the mid-term review of the 2021-2027 multiannual financial framework, the co-legislators agreed on a Ukraine Facility (€50 billion), a reinforced and more flexible EU budget, the Strategic Technologies for Europe Platform (STEP), and a mechanism to address the higher NGEU funding costs due to the interest rate surge. The Recovery and Resilience Facility is designed in part to augment the digital and green transitions. These efforts are supported by the InvestEU programme, which provides guarantees, advisory support and targeted financial instruments. New own resources, seeking to increase the EU budget without increasing the Member States' contributions based on gross national income, are still to be negotiated. An adjusted package for the next generation of own resources, including an increased European emissions trading scheme call rate and a new temporary statistical own resource based on company profits, remains pending in Council.

In the context of the EU's digital transition, the potential introduction of a digital euro can be understood as central bank money offered in digital form – an electronic equivalent to cash. While the legal tender status of the physical form of central bank money would also be ensured.

With regard to burden reduction and with the aim of improving the competitiveness of EU businesses, the Commission committed in its 2023 communication on the SME relief package to reduce reporting requirements by 25 %. With regard to the Better Regulation Toolbox, in July 2023 the Commission complemented its SME test with guidance on a competitiveness check.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Dubravka Šuica

Mediterranean

Confirmation hearing due to be held on Tuesday 5 November, at 14.30.

European Parliament committee responsible: Foreign Affairs (AFET)

Dubravka Šuica has served as a Member of the European Commission and Vice-President for Demography and Democracy since 2019. She was also the co-chair of the Conference on the Future of Europe. From 2013 to 2019, Šuica was a Member of the European Parliament, where she focused on issues relating to the environment, public health and food safety, and foreign affairs. In 2019, she was a vice-chair of the European People's Party Group in the European Parliament.

As a member of the Croatian Democratic Union (HDZ), Šuica served three terms in the Croatian Parliament, from 2000 until 2011, also holding the position of vice-chair of the EU Integration Committee.

From 2001 to 2009, Šuica served two terms as the first female mayor of Dubrovnik, her hometown. In 2006, she was honoured with the World Mayor Award.

From 2004 to 2009, Šuica was a board member of the Union of the Association of Towns and Municipalities of Croatia. She later served as a councillor on the Dubrovnik-Neretva County Assembly. She also served as the president of the Croatian Delegation to the Congress of Local and Regional Authorities of the Council of Europe for a decade. Since 2012, she has chaired the HDZ Committee on Foreign Affairs and European Affairs, and has been the vice-president of EPP Women.

Born in 1957, Šuica graduated in English and German language and literature. She started her career in education, first as a teacher and later as director of Dubrovnik High School.



Dubravka Šuica, Croatia

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

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EPRS | European Parliamentary Research Service

Author: Branislav Stanicek
Members' Research Service

PE 762.436 – October 2024

Fundamentals of the portfolio

The Mediterranean is of great importance to the EU, both historically and geographically. In 1972, the relationship between the European Economic Community and the Mediterranean began to take shape under the global Mediterranean policy, followed by the Barcelona process (1995) and the Union for the Mediterranean (2008). The new agenda for the Mediterranean (2021) addresses both internal and external factors for development and regional cooperation, and seeks to relaunch the Barcelona process. The new portfolio decouples Mediterranean policy from EU enlargement.

The mission letter for Šuica outlines the fundamentals of her portfolio: developing a new pact for the Mediterranean and creating new partnerships based on common values and dialogue with partner countries, in cooperation with the High Representative/Vice President of the Commission. Trade and investment, including cooperative standard-setting aiming at an integrated Euro-Mediterranean market, will also be important. The Mediterranean has tremendous trade and industrial potential for both extraction of energy (natural gas reserves) and production of clean energy (solar electricity, hydrogen). Despite having relatively large reserves of some 125 trillion cubic feet (tcf) in estimated gas reserves, eastern Mediterranean countries' reserves are 'dwarfed', however, by Russia's (1 230 tcf), Iran's (1 170 tcf) and Qatar's (880 tcf).

Šuica will be involved in setting up a trans-Mediterranean energy and clean tech cooperation initiative, including by furthering links through the Global Gateway strategy for green and smart investment in infrastructure, education and research. As regards external aspects of migration policy, these have become more salient since 2019. Aiming for a more holistic approach to the southern Mediterranean, Šuica will also have to develop an EU Middle East strategy, identifying steps towards a two-state solution and building strategic partnerships in the region; taking forward the multi-year support programme for the Palestinian Authority and implementing the Gulf strategy. The portfolio also envisages a strategic communication plan to be developed with local communities.

The mission letter also attributes responsibility to Šuica for Demography, which she held during the Commission's previous term. The Commission's 2020 report on the impact of demographic change and the 2021 Green paper on ageing launched a broad policy debate, followed by major reports linked to ageing: The 2021 Ageing report with economic and budgetary projections, the Pension adequacy report, and the Long-term care report. The Commission also launched the Atlas of Demography, an interactive tool for dealing with demographic transition, which maps national demographic challenges and policy responses in the EU. Building on the Commission's care strategy, 2022 saw the adoption of two related Council recommendations: on early childhood education and care and on long-term care. In response to the European Council's invitation, the Commission assembled a set of existing EU regulatory, policy and funding tools in its communication Demographic change in Europe: a toolbox for action. In the European Council's Strategic Agenda 2024-2029, adopted in June 2024, EU leaders pledged to address demographic challenges and their impact on competitiveness, human capital and equality in a comprehensive way. In this area Šuica will work under the guidance of the Executive Vice President for People, Skills and Preparedness.

Priorities and challenges

Expectations/public opinion

According to an April 2024 Eurobarometer survey, the majority of European citizens polled would like to see increased EU involvement in all policy areas relating to foreign affairs, peace and security. The survey reveals respondents' strong attachment to peace and democratic values. Looking to the future, respondents put defence and security, which they see as a condition for reinforcing the EU's global position (37 %), as the top priority, and energy issues (30 %) as the second priority. While 4 in 10 citizens say the role of the EU in the world has become more important, 35 % think it has stayed the same and 22 % that it has diminished. Since 2015, integration of migrants became an important factor for public opinion. The Eurobarometer shows that 70 % see integration of immigrants as a two-way process where immigrants and society are both responsible for its success; 47 % believe that integration is unsuccessful at national level.

Fostering a common EU policy

The EU's priorities in the Mediterranean – security, migration, resolution of the Cyprus issue, Türkiye's increasingly aggressive unilateral actions in the eastern Mediterranean, the external dimension of migration, and the Israel-Palestine conflict – are wide-ranging. It can prove difficult to forge common EU positions and there is often no coherent or comprehensive approach. A 2023 EPRS cost of non-Europe report identified a need to broaden the scope of qualified majority voting in common foreign and security policy (CFSP), using the 'passerelle clause' in Article 31(3) TEU.

A new pact for the Mediterranean

While the Mediterranean has always been of strategic importance for the EU, the Commission has been increasingly involved in the region since 2019, with the declared goals of steering migration, combating human trafficking and promoting partnerships with countries of origin and transit. Following the 1995 pact for the Mediterranean and the 2008 Barcelona process establishing a Union for the Mediterranean, with more than 40 states, economic investment became central to the new agenda for the Mediterranean in 2021. Nevertheless, some crucial aspects, including trade, regional economic cooperation, demographic challenges and discrimination against minority groups, were omitted from the new agenda. It also has a relatively low budget: €7 billion for the 2021-2027 Economic and Investment Plan for the Southern Neighbours. A new pact for the Mediterranean will likely focus on building comprehensive partnerships and deploy an integrated policy approach combining economic and humanitarian aspects, development, as well as peace and security.

Middle East strategy and the war in Gaza

Following the terrorist attacks against Israel on 7 October 2023, sanctions were adopted against Hamas and Islamic Jihad. The EU also increased its humanitarian assistance and activated a maritime corridor to deliver aid to Gaza. With a broadening war also threatening Lebanon and the wider Middle East region, the EU, along with the international community, is promoting the two-state solution for Israel and Palestine on the basis of the 1967 lines and is calling for an immediate end to the unlawful presence of Israel in the Occupied Palestinian Territory.

External dimension of migration policy

Following the 2024 adoption of the new pact on migration and asylum, the Mediterranean requires tailored migration policies that address different types of migration, including labour force migration, political refugees and irregular migration. Mediterranean countries, in particular transit countries such as Tunisia and Türkiye, are increasingly playing a 'gatekeeper' role. However, some authoritarian regimes tend to instrumentalise the migration issue. Human rights concerns are not always easily reconciled with security prerogatives and the urgency of mitigating irregular migratory flows. Finally, migration from and through the Mediterranean highlights the importance of addressing the integration needs of second- and third-generation immigrants in the EU.

European Parliament

Treaty basis and European Parliament competence

According to the Treaty on European Union (TEU), Parliament must be consulted on the main aspects of the common foreign and security policy (CFSP). Twice a year it must hold a debate on progress in implementing the CFSP, including the common security and defence policy (Article 36 TEU). International agreements concluded by the EU require Parliament's consultation and consent (Article 218 TEU). The Treaties also require that Parliament be immediately and fully informed at all stages of international negotiations (Article 207(3) TFEU). Parliament holds veto power not only over association and cooperation agreements with third countries and regions but also over financial protocols and instruments with third countries, trade agreements and ratification of international agreements. Parliament has approved several financial instruments, including the Neighbourhood, Development and International Cooperation Instrument, crucial for the Mediterranean. Parliament's President is a member of the Presidency of the Parliamentary Assembly of the Union for the Mediterranean.

Parliament supported the Barcelona process and subsequent initiatives in the Mediterranean. In 2022, it endorsed the renewed partnership with the Southern Neighbourhood. For many years, it has endorsed the two-state solution for Israel and Palestine. In January 2024, it reiterated Israel's right to defend itself but highlighted the risks of regional escalation. In March 2024, MEPs criticised the Commission for bypassing parliamentary budgetary oversight, when it disbursed €150 million to the Tunisian authorities as a special measure under the EU-Tunisia Memorandum of Understanding.

Recent developments

The EU's policy towards the Mediterranean countries and broader Middle East and North Africa (MENA) region seeks to encourage political and economic reforms through the European Neighbourhood policy (ENP, launched in 2004) and through regional cooperation among the countries of the region themselves and with the EU (Union for the Mediterranean). Following a review in 2015, the ENP now supports economic development for stabilisation, security, and migration and mobility. The May 2017 Valletta Declaration focused on research into the root causes of migration, a partnership for research and innovation in the Mediterranean (PRIMA) and research and innovation to create 'blue jobs' and growth in the Mediterranean (BLUEMED initiative).

Since 2019, irregular migration policy has become increasingly important and challenging. The new agenda for the Mediterranean was presented in February 2021. The Commission presented its EU action plan for the eastern Mediterranean in October 2023 and concluded several bilateral agreements, including the July 2023 EU-Tunisia Memorandum of Understanding and the March 2024 EU-Egypt Strategic and Comprehensive Partnership, which have been criticised for not providing sufficient human rights conditionality. A network of Euro-Mediterranean association agreements established free trade areas between the EU and most of its southern neighbours (with the exception of Syria and Libya), and essentially cover trade in goods. Negotiations to create deep and comprehensive free trade areas (DCFTAs) have been launched between the EU and Morocco, and between the EU and Tunisia.

Finally, in 2021, under the new EU trade policy review, the EU announced a new sustainable investment initiative for interested partners in the MENA region.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Olivér Várhelyi

Health and Animal Welfare

Confirmation hearing due to be held on Wednesday 6 November, at 18.30.

European Parliament committees responsible: Environment, Public Health and Food Safety (ENVI); Agriculture and Rural Development (AGRI).

Olivér Várhelyi, the Commissioner-designate for Health and Animal Welfare, has worked on EU-related issues throughout his professional career. He has been serving as Commissioner for Neighbourhood and Enlargement since 2019.

From 2015 to 2019 he held the dual roles of Ambassador and Permanent Representative of Hungary to the EU, having served as Deputy Permanent Representative of Hungary from 2011 to 2015.

From 2008 to 2011, Várhelyi headed the Commission's Unit for Industrial Property Rights in the Directorate General for Internal Market and Services.

Várhelyi was part of the team that negotiated Hungary's accession to the EU: initially, as Head of the Legal Unit at the Hungarian Ministry of Foreign Affairs and Head of the Cabinet of the Deputy Head of the State Secretary for Integration of Hungary (1998-2001), and later in Brussels as Legal Counsellor at the Mission of Hungary to the EU (2001-2003). In 2003, he assumed the post of Head of the Legal Service at the Permanent Representation of Hungary to the EU. In 2006, Várhelyi returned to Budapest to become Head of the EU Law Department in the Ministry of Justice.

Born in 1972, Várhelyi earned a master's degree in European legal studies from Aalborg University and he holds a law degree from the University of Szeged's Faculty of Law and Political Sciences.



Olivér Várhelyi, Hungary.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

EPRS | European Parliamentary Research Service

Authors: Laurence Amand-Eeckhout and Ivana Katsarova
Members' Research Service

PE 762.441 – October 2024

Fundamentals of the portfolio

Public health has taken centre stage in EU policy since the COVID-19 pandemic. EU health policy complements national policies, seeking to achieve a high level of health protection through a stronger European health union. Its goals are to protect EU citizens' health, make national health systems more resilient, help modernise these systems and their infrastructure, and prepare Member States to address future pandemics and safeguard citizens against serious cross-border health threats. Organisation and delivery of healthcare are the responsibility of Member States.

Similarly, EU food safety policy seeks to protect consumers' health and interests by ensuring that consumer foodstuffs and animal feedstuffs are safe and nutritious. Based on the precautionary principle — using risk analysis and traceability – this policy covers all food chain operators, including those involved in the implementation and control of food and feed safety standards, and the prevention of potential contamination risks. The overarching 'One Health' approach seeks to interlink and sustainably balance the health of people, animals and ecosystems.

Priorities and challenges

Expectations/public opinion

According to a 2024 Eurobarometer survey, public health is citizens' third priority area for EU action in the medium term. In a 2023 survey on mental health, some 77 % of respondents felt that mental health patients were judged differently than other patients by society (stigma). On food safety, pesticide residues in food, and antibiotic, hormone and steroid residues in meat were the biggest concerns. Interestingly, a majority of EU respondents (54 %) prioritised cost over taste (51 %) and food safety (46 %) when buying food. In a 2023 EU-wide poll, meanwhile, 84 % of respondents wanted better protection of the welfare of farmed animals in their country. All of these concerns were reflected in the recommendations issued by the Conference on the Future of Europe, which included: organising education on and access to healthy food and healthy lifestyles; redirecting subsidies to farms that are transitioning to comply with new animal welfare standards; reinforcing healthcare systems to respond to future pandemics; and ensuring EU citizens' 'right to health' by guaranteeing them equal and universal access to affordable, preventive, curative and quality health care.

In the health sector, the main 'unfinished business' from the Commission's previous term is the revision of existing pharmaceutical legislation. Addressing shortages of medicines, reducing socioeconomic and geographical health inequalities, ensuring cybersecurity of hospitals, reporting on and responding to new pandemic outbreaks with efficient coordination among Member States, and making health systems robust are among the challenges identified in the European Council's 2024-2029 strategic agenda and in Commission President-elect Ursula von der Leyen's July 2024 political guidelines. Von der Leyen also called for action to address the increasing prevalence of mental health disorders and to protect children and young people, especially online.

Other challenges in the health sector include: combating the growing threat of antimicrobial resistance; ensuring high vaccination coverage to prevent outbreaks of vaccine-preventable diseases; promoting healthy lifestyles; tackling the rising number of cases of chronic non-communicable diseases such as cancer, cardiovascular diseases, diabetes, neurodegenerative diseases and autism; developing digital health tools to assist health professionals and to maintain the viability of healthcare systems; addressing the healthcare needs of an ageing population; creating a smoke-free environment; enhancing EU research; and tackling health risks associated with climate change and environmental factors.

During the Commission's previous term, high hopes were placed on the EU's commitment to lead by example in the transition to sustainable food systems. However, the corresponding legislative proposal did not emerge. The need for an EU food sustainability policy remains urgent and requires that the post-'farm to fork' strategy and the (new) Green Deal offer solutions. Similarly, various proposals related to the 'farm to fork' strategy are long overdue but have been delayed indefinitely. On the 'farm' side, this includes the planned revision of the Feed Additives Regulation, which seeks to facilitate the authorisation of feed additives with positive effects on animal welfare, among other

things, and a complete overhaul of EU animal welfare legislation. Regarding the latter, expected in 2023, so far the Commission has only published a proposal on the protection of animals during transport, new rules on the welfare and traceability of dogs and cats, and a reply to the European citizens' initiative 'Fur Free Europe'. On the 'fork' side, the Commission did not deliver the expected mandatory front-of-pack nutrition labelling or initiatives to stimulate product reformulation, including by setting up nutrient profiles to restrict the promotion of foods high in fat, sugars and salt through nutrition or health claims. Two other proposals – extension of mandatory origin or provenance indications to certain products, and rules on date marking to address food waste caused by consumer confusion stemming from the terms 'use by' and 'best before' – are also still pending.

European Parliament

Treaty basis and European Parliament competence

In accordance with the Treaty on the Functioning of the European Union (TFEU), the EU has supporting competence in health (Article 6). Parliament and Council, as co-legislators, can adopt health legislation under Article 168 (public health); Article 114 (single market); and Article 153 (social policy) TFEU. Food safety, animal health, animal welfare and plant health are governed by Article 43 (agriculture and fisheries), Article 114 (single market), Article 168 (public health) and Article 169 (consumer protection).

Parliament has consistently promoted a coherent EU public health policy with a view to ensuring equal access for patients to innovative, safe, effective and quality medicines. To this end, it adopted resolutions on the European health union and the EU4Health programme. Parliament has set up temporary special committees on the COVID-19 pandemic and on beating cancer, and a new permanent Subcommittee on Public Health. In 2022, it recommended strengthening the EU's efforts in combating cancer. Throughout and following the pandemic, Parliament played a key role in facilitating the adoption of legislative acts defining a coordinated EU response to protect lives and strengthen healthcare systems. With regard to pharmaceuticals, Parliament has long advocated for a comprehensive EU policy that takes both public health and industrial interests into account. In several resolutions Parliament has expressed concern over inequities, medicines shortages, antimicrobial resistance, non-communicable diseases and mental health.

In the area of food safety, Parliament revised some aspects of the directives on food products (the 'breakfast' directives) by introducing rules on stricter origin labelling for honey, increased fruit content in jams and reduced sugar in fruit juice. MEPs concluded the long-awaited revision of the Drinking Water Directive, launched in response to the first-ever successful European citizens' initiative Right2Water. Parliament also adopted its first-reading position on the highly topical new genomic techniques (NGT) regulation supporting a total ban on patents for all NGT plants and plant material.

During Parliament's 2019-2024 term, MEPs objected to 29 Commission implementing decisions renewing authorisation for the placement on the market of products containing, consisting of or produced from genetically modified crops. Committed to reaching the UN Sustainable Development Goal target of halving per capita food waste at retail and consumer levels by 2030, Parliament delivered its first-reading position on the revision of the EU Waste Framework Directive.

Importantly, helping to improve animal welfare was central to the creation of a parliamentary Committee of Inquiry on the Protection of Animals during Transport, which delivered its report in 2021.

Recent developments

In the 2019-2024 term, the Commission achieved results in a number of areas included in the portfolio. The COVID-19 pandemic triggered the ambition to establish a European health union, financed by the EU4Health programme. The health security framework was strengthened through the adoption of a Regulation on serious cross-border threats to health, the creation of the European Health Emergency Preparedness and Response Authority (HERA), and the reinforcement of the mandates of the European Centre for Disease Prevention and Control (ECDC) and the European Medicines Agency

(EMA). In 2024, an agreement was reached on the European health data space – an initiative seeking to bring health systems into the digital age.

As part of the European health union, the Commission adopted the Europe's beating cancer plan, followed by several implementing initiatives, including a Knowledge Centre on Cancer, an EU Inequalities Registry, and recommendations on cancer screening and vaccination. In June 2023, the Commission adopted a communication on mental health to ensure a new, cross-sectoral approach. Furthermore, it updated the rules on quality and safety of substances of human origin to better protect patients and donors, and amended the medical devices legislation to ensure continuity of supply of critical devices. In 2024, it launched the Critical Medicines Alliance cooperation platform to address shortages of medicines. A significant revision of the EU's pharmaceutical legislation is ongoing.

Over 80 % of EU citizens are concerned about the impact of harmful chemicals found in everyday products on their health. It is not surprising that per- and polyfluoroalkyl substances (PFAS) – a large group of synthetic chemicals known as 'forever chemicals' – are becoming increasingly prominent in food safety discussions. In order to safeguard human health, in 2023 the Commission introduced stricter limits on the levels of the four PFAS allowed in eggs, fish, crustaceans, bivalve molluscs, and meat and offal from both farmed and wild animals. Similarly, the recast Drinking Water Directive, which came into effect in 2021, now includes a maximum limit of 0.5 µg/l for all PFAS. Parliament endorsed the action plan to eliminate all non-essential uses of PFAS. Importantly, MEPs obtained a ban on food packaging containing PFAS under the Directive on packaging and packaging waste. The same restriction was initiated on the use of bisphenol A – an endocrine disruptor – in all food packaging and food contact materials. Regarding pesticide residues in food, a record number of samples were collected in 2022 – over 110 000 – with more than 96 % of all samples meeting legally permitted levels. In parallel, the EU scaled up its fight against food fraud and published its first monthly report on agri-food fraud suspicions in February 2024.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Wopke Hoekstra

Climate, Net Zero and Clean Growth

Confirmation hearing due to be held on Thursday 7 November, at 9.00.

European Parliament committees responsible: Environment, Public Health and Food Safety (ENVI); Industry, Research and Energy (ITRE) and Economic and Monetary Affairs (ECON).

Wopke Hoekstra has served as the Commissioner for Climate Action since October 2023. In this role, he represented the European Union at the UN Climate Change Conference (COP28) in Dubai, United Arab Emirates, in November 2023.

Starting in early 2024, Hoekstra, along with the Executive Vice-President in charge of the European Green Deal, Maroš Šefčovič, has been communicating on behalf of the Commission regarding its 2040 climate target and managing climate risks. He has also been representing the Commission in clean transition dialogues with industry.

From 2011 to 2017, Hoekstra was a Member of the Dutch Senate representing Christian Democratic Appeal (the CDA), affiliated to the European People's Party (EPP) group in the European Parliament. In October 2017, he became the minister of finance, a position he held until 2022, also becoming the leader of the CDA in 2020. From January 2022 he served concurrently as deputy prime minister and minister of foreign affairs. Prior to taking on the role of Commissioner, he stepped down from both of those positions in July 2023.

Born in 1975, Hoekstra studied law at Leiden University, from which he graduated in 2001. In 2005, he obtained an INSEAD MBA degree. Early in his career Hoekstra held commercial posts at Shell. In 2006, he joined global consulting company McKinsey, becoming a partner in 2013.



Wopke Hoekstra, The Netherlands.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

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Author: Liselotte Jensen
Members' Research Service
PE 762.448 – October 2024

Fundamentals of the portfolio

Addressing all the Commissioners-designate, Commission President Ursula von der Leyen emphasised that the success of the new Commission would depend on it meeting its targets and objectives, particularly those of the European Green Deal (EGD). Adopted in 2019, the EGD builds on a 2018 communication entitled A clean planet for all. Presented as the EU's new growth strategy, it seeks to make the Europe the first climate-neutral continent and decouple economic growth from resource use. Hoekstra's portfolio is designed to enhance the industrial aspects of the EGD while carving out a pathway to climate neutrality by 2050.

The EU Climate Law, which entered into force in July 2021, was a cornerstone of the EGD, making it a legal requirement to achieve climate neutrality by 2050 and a net greenhouse gas (GHG) emissions reduction of at least 55 % by 2030 compared with 1990. As outlined in von der Leyen's mission letter to Hoekstra, core tasks of the portfolio include overseeing the implementation, evaluation and possible review of the legal framework, to meet the 2030 target. Other tasks include proposing a post-2030 framework and guiding the amendment of the EU Climate Law to include a 90 % emissions reduction target for 2040.

As noted in the EGD, it takes 25 years to transform an industry, and the mission letter asks Hoekstra to engage in the development of a 'clean industrial deal' with a specific focus on clean technologies, mobilising investment and driving industrial decarbonisation. With a dual focus on industrial transformation and climate neutrality, Hoekstra must engage in strategic dialogue with industry to ensure the right enabling conditions and a level playing field, maintaining the EU's competitiveness while ensuring a just transition towards its climate targets.

Hoekstra will also be responsible for taxation policy. Faced with challenges such as climate change, Russia's invasion of Ukraine and demographic shifts, tax systems across the EU must continue to evolve and adapt to meet revenue demands. At the same time, they must also promote investment, prevent fraud, and support key EU goals, such as the green transition.

Priorities and challenges

Expectations/public opinion

In a 2023 Eurobarometer survey on climate change, 77 % of respondents viewed climate change as a very serious problem. More than half agreed that national governments and the EU were responsible for addressing it, while 35 % believed it to be an individual responsibility. Furthermore, 37 % believed they were exposed to environmental and climate change risks and two thirds considered their government's climate action to be insufficient.

In a July 2024 survey on EU challenges and priorities, respondents identified climate change, tied with migration, as the top priorities for the EU to address.

Balancing the green transition with the need to safeguard the competitiveness of EU industry and increase EU strategic autonomy may be one of the biggest challenges or opportunities for the coming decade. With agreements reached on several initiatives under the Green Deal industrial plan, work on these goals is clearly under way. Additionally, Hoekstra's mission letter requests that he, along with the Executive Vice-President for Prosperity and Industrial Strategy, develop the clean industrial deal within the first 100 days of taking office. Other tasks include contributing to the adoption of an industrial decarbonisation accelerator act, and ensuring that the Innovation Fund supports highly innovative clean technologies, and that revenues from emissions trading effectively drive industrial decarbonisation.

Challenges may arise in implementing climate policies due to delays in finalising national energy and climate plans (NECP), legally required by 30 June 2024. By 1 October, only 11 Member States had submitted their final plans. This lack of progress hinders the efficient implementation and proper evaluation of the 2030 climate *acquis*, as well as the follow-up on the initial draft NECP assessments,

which are outlined as key tasks in the mission letter. These delays could potentially weaken the EU's climate diplomacy efforts and its ambitions to take a leading role in international negotiations, where the Commissioner's role is to help develop a global climate and energy vision for COP30 in 2025.

The frequency and intensity of extreme weather events have increased over recent decades. In March 2024, the first European Climate Risk Assessment (EUCRA) identified key climate risks, many of which are already at critical levels. This requires urgent and decisive action to protect the EU's economy, ecosystems and people. Hoekstra will lead the work on a European climate adaptation plan, and assess the need for actions to ensure resilience and preparedness. At the same time, climate disinformation is growing, and Hoekstra is tasked with countering false narratives, and ensuring a social and a just transition. Providing incentives for private decarbonisation investments and showcasing the opportunities provided by the green transition are also core tasks.

To direct financial flows in support of decarbonisation, innovation and clean tech, scaling down and phasing out fossil fuel subsidies is a key priority. This should be accompanied by a tax system that supports green fuels through a revision of the Energy Taxation Directive. In order to ensure that the tax system supports the EU's competitiveness, prosperity and social fairness, Hoekstra must address illegal and abusive tax practices that lead to billions of lost revenue each year. He should also work to remove potential tax barriers to cross-border investment and advance the use of digital tools to simplify tax compliance. Furthermore, several files concerning business taxation, such as the proposal for a common corporate tax base (BEFIT), remain pending in the Council. At the international level, work will continue to finalise the OECD/G20 Inclusive Framework global agreement on a two-pillar solution to reform the international corporate tax framework.

Hoekstra's portfolio also includes developing the single market for CO_2 and collaborating with colleagues to develop the necessary CO_2 transport and storage infrastructure. In the industry sector, carbon capture utilisation and storage (CCUS) technologies and infrastructures have been given special status, and the 2024 industrial carbon management strategy includes a 2030 target for CO_2 storage capacity. The recently agreed carbon removal certification framework focuses solely on atmospheric and biogenic CO_2. The combination of CCUS, carbon removals and a single market for CO_2 aims to unlock the potential of sustainable carbon cycles for both industry and climate. A recent study has estimated the required investments in CO_2 infrastructure. Hoekstra is tasked with amending EU legislation to allow e-fuels, made from hydrogen and CO_2, to contribute to achieving climate neutrality for new cars by 2035.

European Parliament

Treaty basis and European Parliament competence

EU environmental policy is based on Articles 191 to 193 of the Treaty on the Functioning of the European Union (TFEU). Article 191 lists climate action as one of the objectives of EU environmental policy. Article 11 TFEU also requires environmental protection to be taken into account in other EU policies (a process known as 'mainstreaming'). Combating climate change has been an explicit EU objective since the Lisbon Treaty.

Environmental policies are a shared competence between the EU and Member States, and are subject to the ordinary legislative procedure, which involves co-decision by Parliament and Council. However, fiscal matters, town and country planning, land use, quantitative water resources management, choice of energy sources and structure of energy supply require unanimity in the Council. The Parliament must give its consent for the EU to become a party to international agreements.

Taxation is a national competence, with Member States having exclusive power to set and collect taxes. EU tax legislation must be adopted unanimously by the Member States, as stated in Articles 113 and 115 TFEU. The Parliament has the right to be consulted on tax matters and may adopt non-binding opinions.

In 2019, the Parliament declared a climate and environmental emergency, and called for reform across key policy areas to remove inconsistencies with the EU's climate ambitions. In its January 2020 resolution on the European Green Deal Parliament called on the Commission to present a proposal for a European climate law, now a fact.

Parliament's autumn 2023 resolution on COP28 stressed the importance of phasing out fossil fuels and all direct and indirect subsidies for fossil fuel. This call is reiterated in the ENVI committee's draft motion for a resolution on COP29. In its 2022 resolution on extreme weather phenomena, Parliament called for increased EU efforts to fight climate change. Also in 2022, Parliament recalled the need for an efficient energy system, increased resilience and the protection of vulnerable citizens by ensuring an affordable energy supply based on renewables, in line with the EU's climate commitments. A 2024 EPRS 'cost of non-Europe' study confirmed the multiple benefits of accelerating and ensuring a just and inclusive transformation of the energy system.

Despite its limited role in the area of taxation, the Parliament has been determined to influence and shape the debate on tax matters at the EU level. A new Subcommittee on Tax Matters (FISC) was established in 2020, becoming the Parliament's first ever permanent body to deal with taxation.

Recent developments

By the end of Parliament's ninth legislative term, almost all proposals under the 2021 'fit for 55' package had been adopted, with the exception of the review of the Energy Taxation Directive. While the NECP process has been ongoing, the Commission's December 2023 assessment of the draft plans estimated a 4 percentage-point shortfall on the 2030 net 55 % emissions reduction target.

On 15 June 2023, the European Scientific Advisory Board on Climate Change recommended net emissions reductions of 90-95 % by 2040, relative to 1990 levels. As noted above, Hoekstra will present a legislative proposal to amend the EU Climate Law to include the 2040 climate target.

In the area of taxation, the Commission is currently evaluating two directives that are instrumental in combating abusive tax practices (the Directive on Administrative Cooperation (DAC) and the Anti-Tax-Avoidance Directive (ATAD)). These evaluations will take stock of the current rules and their effectiveness. The Commission may then recommend modifications in line with von der Leyen's overall objective to 'simplify, consolidate and codify' EU legislation.

The portfolio is well-aligned with the conclusions and proposals of Mario Draghi's recent report, which focuses in particular on industrial decarbonisation, increased investment and clean tech.

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BRIEFING

Hearings of European Commissioners-designate

European Parliament

Andrius Kubilius

Defence and Space

Confirmation hearing due to be held on Wednesday 6 November, at 18.30.

European Parliament committees responsible: Foreign Affairs (AFET) and Industry, Research and Energy (ITRE)

Andrius Kubilius has been a Member of the European Parliament since 2019, where he sits in the European People's Party (EPP) group. He has served among other things as a member of the AFET and ITRE committees and of the Subcommittee on Human Rights (DROI). He has also served as chair of the delegation to the Euronest Parliamentary Assembly and thus also as a member of the Conference of Delegation Chairs, as well as a member of the delegation to the EU-Ukraine Parliamentary Association Committee.

Prior to his time in the European Parliament, he served two terms as Lithuania's prime minister (from 1999 to 2000 and from 2008 to 2012).

From 2003 to 2015, Kubilius chaired the Homeland Union (Lithuanian Christian Democrats) party.

From 1992 to 2019, he served as a member of the Republic of Lithuania's national parliament, the Seimas. When not in government, he had various periods when he held the position of leader of the opposition or first deputy speaker, and also had a spell as chair of the Committee on European Affairs.

Andrius Kubilius was born in Vilnius, Lithuania, in 1956. He received a degree in physics from Vilnius State University and completed postgraduate studies there too.



Andrius Kubilius, Lithuania.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
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Author: Sebastian Clapp
Members' Research Service

PE 762.437 – October 2024

Fundamentals of the portfolio

Although defence is primarily a competence of the individual EU Member States, they work together within the framework of the EU's common security and defence policy (CSDP), established in 1999. While the European Council sets the overall political direction, and security and defence priorities, the European Commission is responsible, among other things, for increasing the competitiveness of the European defence Industry, strengthening military mobility, addressing vulnerabilities to hybrid and cyber threats and creating a true single market for defence. The High Representative of the Union for Foreign Affairs and Security Policy and Vice President of the Commission (HR/VP) coordinates the CSDP. The HR/VP chairs the Foreign Affairs Council (FAC) of Member States' ministers, which takes CSDP decisions unanimously. The HR/VP also heads the EU's European External Action Service and European Defence Agency. Space policy is a shared competence between the EU and the Member States.

Kubilius's portfolio includes strengthening the European defence technological and industrial base (EDITB), creating a true single market for defence, boosting military mobility, proposing key defence projects, encouraging increased public and private investment, strengthening the EU-NATO partnership, as well as space policy. All this work should be consolidated under a true European defence union.

Priorities and challenges

In a Eurobarometer survey from spring 2024 77 % of respondents were in favour of a common defence and security policy among EU countries, while 71 % agreed that the EU needed to reinforce its capacity to produce military equipment. Additionally, 69 % supported a common foreign policy for EU Member States.

Responding to the 2024 Eurobarometer survey on the digital decade, 84 % of participants viewed building an efficient and secure set of digital infrastructure, including connectivity, as important.

In its 27 June 2024 conclusions, the European Council invited the Commission, Member States and Council to address critical capability gaps and advance work on the European defence industrial strategy (EDIS) and the European defence industry programme (EDIP), aiming for adoption by mid-2025. It also asked the HV/VP and the Commission to propose funding options to strengthen the EU's defence technological and industrial base. Again in 2024, the European Council adopted its Strategic Agenda for 2024-2029, stressing that the EU needs to build its own capacities in defence and space, including by scaling up the European defence industry, creating a more integrated defence market, promoting joint procurement, and improving access to public and private finance.

As set out in the mission letter from the Commission President-elect, Kubilius's main priorities – in close cooperation with the HR/VP – will include presenting a white paper on the future of European defence within the first 100 days of taking office. This paper is expected to discuss ways to strengthen EU defence, the defence industry and cooperative procurement. It will help industry participants fully engage and leaders understand potential areas of agreement and coordination with NATO.

Further priorities for Kubilius will include improving civil and military readiness, boosting military mobility, the implementation of EDIP and EDIS and creating a true single market for defence. He will lead the work on proposing key defence projects of common interest, such as a European air shield and cyber-defence. Kubilius will be expected to work on incentivising public and private defence investment and on strengthening the EU-NATO partnership. He will also have to harness the EU space programme to foster innovation and develop its space assets such as Copernicus, Galileo and IRIS, in cooperation with ESA. He must lead the work on a proposal for an EU space law to ensure security, safety, and sustainability in space. Additionally he will be expected to present a space data economy strategy focused on enhancing the use of space data and services and spurring EU competitiveness. Challenges will include both financial and political buy-in when it comes to implementing these initiatives. Some analysts also expect pushback from Member States on certain initiatives for fear of the Commission over-reaching its competences.

European Parliament

Treaty basis and European Parliament competence

The Lisbon Treaty, which came into effect in 2009, provides the legal basis for CSDP in its Title V. Defence industry legislation is subject to the ordinary legislative procedure under Article 173 TFEU. Parliament scrutinises the CSDP and the budget dedicated to it. Additionally, it co-legislates with the Council on defence industry legislative files. The Treaties allow Parliament to participate fully in shaping the EU's CSDP. Parliament can address the HR/VP and Council, and it holds debates on implementation of CSDP and CFSP twice a year. Importantly, it also draws up annual progress reports on the implementation of the CSDP and the CFSP. Article 189 TFEU requires the EU to draw up a European space policy with the aim of promoting scientific progress and industrial competitiveness. To this end, the EU can support research and technological activities, coordinate the efforts needed for the exploration and exploitation of space, and promote joint initiatives. Article 4(3) TFEU specifies that space policy is a shared competence between the EU and its Member States.

The European Parliament has called for increased defence cooperation and integration. In a February 2024 resolution, Members of the European Parliament stressed that initiatives like EDIS and EDIP should complement existing defence tools, and sufficient funding must be ensured. They also urged greater parliamentary involvement in decisions related to the CSDP and the defence industry. Key priorities include scaling up support for Ukraine, strengthening partnerships, enhancing EU security and defence capabilities, working alongside NATO and promoting European strategic autonomy. As co-legislator on space matters, Parliament also oversees implementation of EU space policy. This oversight is particularly important for IRIS2, the EU secure connectivity constellation, as the concession contract has yet to be finalised. Furthermore, with the upcoming mid-term evaluation of the space programme, Parliament will start preparing for the development of the EU space programme post-2027.

Recent developments

At the Versailles Summit in March 2022, the EU Heads of State or Government agreed to 'develop further incentives to stimulate Member States' collaborative investments in ... joint projects ... [for] defence capabilities' and to 'take measures to strengthen and develop our defence industry, including SMEs'. Their stance was reiterated in the March 2022 Strategic Compass, which charts the path before the EU's security and defence for the next 10 years. In February 2022, EU countries agreed, for the first time ever, to finance the provision of lethal weapons to a country at war (Ukraine). Military support to Ukraine totals €6.1 billion under the European Peace Facility (EPF) (€43.5 billion, including Member States' bilateral commitments). The EPF, an off-budget fund operational since 2021, now stands at €17 billion. Some of the windfall profits that central securities depositories receive from frozen Russian sovereign assets are also to be used to support Ukraine.

A May 2022 joint communication on the defence investment gaps analysis and the way forward, presented by the Commission and HR/VP, identifies gaps in terms of capabilities, industry and investment. After years of under-investment, the combined EU-27 defence budget has substantially increased in recent times: a combined defence budget of €240 `billion was achieved in 2022; an estimated €290 `billion in 2023; and an estimated €350 `billion in 2024. The relatively low levels of investment are worsened by the fact that large amounts of the EU-27 defence investment budgets are spent abroad. In terms of industrial gaps, the EDTIB is highly fragmented on both the demand and supply side. One of the Commission and HR/VP's proposals to address the gaps identified in the defence investment gap analysis was the €310 million European defence industry reinforcement through common procurement act (EDIRPA) aimed at incentivising joint procurement of defence equipment. Other EU funding programmes for the defence industry include the €8 `billion European Defence Fund (EDF) (now at €9.5 `billion) and the 2023 €500 million Act in support of ammunition production (ASAP). On 5 March 2024, the Commission adopted the first-ever EDIS, which sets a long-term goal of achieving EU defence industrial readiness, and proposed a €1.5 `billion EDIP as a first step in delivering the European defence industrial strategy (€1.5 `billion from the EDF). The EU has launched and carried out over 40 operations and missions on three continents since 2003. There

are 24 active CSDP missions and operations. The EU has also deepened its cooperation with partners such as NATO; for example, three EU-NATO declarations have been signed since 2016. The EU is also increasing its capacity to deal with new security threats, such as hybrid threats, and to enhance military mobility. In 2023, the EU introduced its first ever space strategy for security and defence.

Three main trends illustrate the developments in space policies. **The first is the growth of the competitive space economy**. This economy consists of two main sectors: the upstream sector, which involves research, development, manufacturing and launch activities of space assets; and the downstream sector, which focuses on the applications of these assets and technologies on Earth. The private sector is gaining ground in both sectors. Against this background, the availability of competitive EU launchers is crucial to ensuring the EU's autonomous access to space. The **second trend is increasing congestion in the space domain**. The number of operational satellites in orbit doubled between 2020 and 2023, reaching around 9 000. The ESA estimates that more than 12 400 tonnes of space objects are orbiting Earth, raising the risk of collisions that could hamper space services. **The third trend is the fact that the space domain is increasingly contested**. More than 80 countries have registered at least one satellite operational, highlighting the need for international cooperation to mitigate congestion risks and promote the exploration and use of space as a global commons. However, it is essential to ensure the resilience of EU space assets against various threats, including kinetic and cyber-risks. Recent events, such as Russia's illegal anti-satellite strike in 2021 and attack on the Viasat's KA-SAT network in 2022, underscore the importance of cybersecurity in protecting space infrastructure. Space is included as a critical sector in the recent Directive for a high common level of cybersecurity across the Union (NIS 2), covering the ground segment.

Mario Draghi's September 2024 report on EU competitiveness emphasises that the EU space industry is losing market share owing to fragmented investment at both EU and Member State levels. To address this, the report recommends harmonising spatial regulation at the EU level to ensure autonomous access to space and develop an EU infrastructure that supports innovation and dual-use key space applications. The report also provides concrete recommendations for EU defence, including implementing the proposed EDIS and EDIP initiatives; developing a medium-term EU defence industrial policy; aggregating demand for defence assets among EU Member States; incentivising the procurement of EU-made capabilities; making financing more accessible; boosting competitiveness and investing jointly in research and innovation.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Marta Kos

Enlargement

Confirmation hearing due to be held on Thursday 7 November, at 9.00.

European Parliament committee responsible: Foreign Affairs (AFET)

Marta Kos is self-employed, working through Kos Consulting and Coaching (2021-present), and a senior advisor at the Brussels consulting firm Kreab.

From 2017 to 2021, she was Slovenian Ambassador to Switzerland and Liechtenstein, and Ambassador to Germany and Latvia (2013-2017).

As president and co-founder of the Slovenian women's association ONA VE ('she knows'), Kos works to raise the profile of women experts in public debate.

Kos has been engaged in Slovenia's political life as a vice-president of the social-liberal Freedom Movement party. Among the positions she held while employed by the government were director of the Public Relations and Media Office, and government spokesperson.

Between 2003 and 2013, Kos headed Gustav Käser Training International Slovenia, specialising in leadership and sales training.

Until 2003, Kos was vice-president for international relations at the Slovenian Chamber of Commerce and Industry.

Kos earned a bachelor's degree in journalism in 1989 and, in 2001, a master's degree in political science from the University of Ljubljana.



Marta Kos, Slovenia

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Branislav Stanicek
Members' Research Service

PE 762.434 – October 2024

EN

Fundamentals of the portfolio

Two and a half years into the war in Ukraine, the EU and its partners continue to demonstrate their unity, resilience and capacity to develop what Ursula von der Leyen defined as a 'geopolitical Commission', which accelerates enlargement and stabilises its neighbourhood. The accession process and the response to the war against Ukraine will determine the EU's geopolitical status in the coming years, and the nature of its international relations.

The Granada Declaration adopted by EU Heads of State or Government in October 2023 stressed that 'Enlargement is a geo-strategic investment in peace, security, stability and prosperity'. The strategic dimension of the enlargement policy became more pronounced in 2022, when Ukraine, Moldova and Georgia requested to join the EU. Since then, fresh challenges have accelerated reforms of the enlargement policy, including the implementation of a new accession negotiations methodology, and cemented a shift towards a more political process based on merit-based integration. Strategic considerations include security and defence, as well as foreign policy alignment of candidate countries, for instance in terms of relations with strategic competitors or rivals, such as China and Russia.

The main tasks of the Enlargement portfolio as set out in the mission letter from the Commission president-elect to Kos consists of driving enlargement momentum built upon recent reforms. This involves overseeing the accession negotiations process with candidate countries, including maintaining close relations with their political representatives, in order to ensure greater political commitments and support for the candidate countries' reform agenda. Enlargement also presents challenges for other policy areas, such as the EU's institutional decision-making and budget, and reconstruction of Ukraine with the cooperation of international donors and organisations, such as the International Monetary Fund (IMF), World Bank and G7 members. Security and defence, as well as regional cooperation and the resolution of bilateral and territorial disputes meanwhile remain key elements of Kos's portfolio.

Priorities and challenges

Expectations/public opinion

According to Eurobarometer surveys from April 2024, the majority of EU citizens polled would like to see increased EU involvement in all policy areas relating to foreign affairs, peace and security. The surveys depict citizens' continued attachment to peace and democratic values. Looking to the future, EU citizens rank defence and security (37 %) as one of the top priorities in reinforcing the EU's global position, followed by energy issues and food security/agriculture (both at 30 %). While 40 % of citizens believe the EU's role in the world has become more important, others believe it has stayed the same (35 %) or that it has diminished (22 %). Furthermore, 51 % of respondents support EU enlargement in the future. Some 79 % of respondents see Russia's invasion of Ukraine as a threat to EU security, and 75 % believe that by standing against Russia's invasion of Ukraine, the EU is defending EU values. This is despite the fact that 81 % of respondents believe the war in Ukraine has serious financial consequences for their country. In this context, 70 % agree with the financial support given to Ukraine and 60 % support granting Ukraine candidate country status.

Making the EU institutions enlargement-ready

The Commission communication on pre-accession reforms and policy reviews of March 2024 stresses that EU institutional reforms 'become indispensable' with enlargement. The report of the Franco-German working group on EU institutional reform proposes policies and reforms to ensure that the EU institutions are 'enlargement-ready'. Furthermore, future enlargement could spark a debate on whether to move away from unanimity in the Council towards more majority voting (including by rebalancing the qualified majority threshold to benefit smaller EU countries), as suggested in a 2023 EPRS cost of non-Europe paper. The gradual, merit-based integration of candidate countries would also require increased EU expenditure and a budget that is more strictly conditional on rule of law-related reforms.

Budgetary challenges

The accession of new countries suggests that the EU budget will need to grow over the coming budgetary period. The mid-term review of the MFF in 2024 already revealed the extent to which the 2021-2027 budget is stretched beyond its limit, proposing additional contributions from Member States. A 2023 Brueghel report suggests that the pandemic and the ensuing recovery instruments financed through the issuance of EU debt have created additional challenges in terms of increased borrowing costs, as rising interest costs will place additional constraints on the EU budget after 2027 when post-pandemic EU debt reimbursement begins. These challenges augur potential risks in light of enlargement, Ukraine macro-financial assistance (MFA) and reconstruction programmes, as both the MFA programmes and the Ukraine Facility – including the most recent €35 billion MFA – are financed through new EU debt issuance.

Support for Ukraine and reconstruction costs

The third Rapid Damage and Needs Assessment (RDNA3) report, released by the Commission in February 2024, estimated that reconstruction and recovery in Ukraine would cost a total of €452.8 billion over the next decade. So far, the EU and its Member States have supported Ukraine with €118 billion. Agreed funds include the Ukraine Facility – the EU's flagship programme to support Ukraine's recovery, reconstruction and modernisation – which mobilises €50 billion to ensure support over the 2024-2027 period. Of this amount, €13.8 billion has already been disbursed, leaving €36.2 billion available. New extraordinary revenues generated by EU operators were agreed upon in principle on 14 June 2024, at the G7 Apulia meeting, to make an additional US$50 billion in funding available by Euroclear until the end of 2024. However, as no consensus was reached among G7 states regarding the implementation of the commitments made in Apulia, the EU announced its decision to move forward alone with a loan to Ukraine of €35 billion secured by revenues sourced from frozen Russian assets.

Security and defence

Once part of the EU, every Member State would benefit from the EU's mutual defence clause, as set out in Article 42(7) of the Treaty on European Union (TEU). This commitment binds EU countries to aid fellow Member States that fall victim to armed aggression 'by all the means in their power'. Some analysts suggest that Article 42(7) TEU carries a higher degree of legal obligation than the Washington Treaty (NATO) equivalent, Article 5. The latter states that each party has an obligation of mutual defence 'as it deems necessary, including the use of armed force'. However, it is not clear how the activation of Article 42(7) TEU would work in practice. Currently, to address Ukraine's needs in the event of aggression, the joint security commitments between the EU and Ukraine, signed on 27 June 2024, include the activation of an extraordinary consultations mechanism within 24 hours. Finally, territorial disputes and frozen conflicts in Transnistria (Moldova), Abkhazia and South Ossetia (Georgia) will no doubt weigh on those countries' efforts to join the EU.

European Parliament

Treaty basis and European Parliament competence

Parliament's powers and influence in the context of enlargement are considerable. Under Article 49 TEU and Article 218 of the Treaty on the Functioning of the EU (TFEU), its consent is required for any accession to the EU. The EU Treaties mandate that Parliament be immediately and fully informed at all stages of international negotiation processes, including trade negotiations (Article 207(3) TFEU). Parliament not only has a veto power over association and cooperation agreements but also over financial protocols and instruments with third countries. Moreover, the Lisbon Treaty states that the Parliament must be consulted on the main aspects and choices of the common foreign and security policy (CFSP). Twice a year, it must hold a debate on the progress in implementing the CFSP, including the common security and defence policy (CSDP) (Article 36 TEU). Parliament serves as a co-legislator on financial instruments of foreign policy.

Recent developments

In February 2020, the Commission adopted a revised methodology for accession negotiations, marked by setting up negotiation clusters and providing higher political steer to the enlargement process, by organising annual EU-Western Balkans summits. In June 2022, European Council conclusions retained a gradual approach to accession, meaning acceding countries would be able to enjoy some of the EU single market's benefits even before their official accession. In November 2023, the Commission adopted a new growth plan for the Western Balkans, which includes a proposal for a €6 billion reform and growth facility for the region for 2024-2027, adopted by the Council in May 2024.

In the Western Balkans, accession negotiations with Montenegro and Serbia are well under way. While the EU agreed in principle to open negotiations with Albania and North Macedonia in 2022, on 25 September 2024, EU ambassadors agreed to start negotiations with Albania on 15 October, while postponing the decision on North Macedonia. In March 2024, the European Council decided to open accession negotiations with Bosnia and Herzegovina. Subsequently, the most critical task in the region is to complete the comprehensive agreement within the Belgrade-Pristina dialogue, which held its 11th high level meeting in Brussels on 26 June 2024. Türkiye, still a candidate country, remains a 'key partner' eligible for EU financial support. However, falling democratic standards and a very low alignment rate of 10 % with the EU stance on foreign and security policy (2023), compared with 8 % in 2022, have put accession negotiations on ice.

On 28 February 2022, Volodymyr Zelenskyy announced his country's request for 'immediate accession via a new special procedure'. The move was followed by both Moldova and Georgia. Considering the Commission's positive opinions, on 23 June 2022, EU leaders decided to grant Ukraine and Moldova 'candidate country' status. While Georgia received 'candidate country' status in December 2023, its recent backsliding has de facto led to a halt in the accession process. In the case of Ukraine and Moldova, the first intergovernmental conferences took place on 25 June 2024, officially kicking off accession negotiations.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Jozef Síkela

International Partnerships

Confirmation hearing due to be held on Wednesday 6 November, at 14.30.

European Parliament committee responsible: Development (DEVE)

Jozef Síkela (Mayors and Independents Party, STAN) affiliated to the European People's Party (EPP), has served as the Czech minister for industry and trade since December 2021. In this position, his focus has been on reducing his country's reliance on Russian gas, developing the use of renewable energy sources and securing stakes in German and Dutch liquefied natural gas (LNG).

Síkela has served in various banks, notably as the head of the Slovak Savings Bank and as board member of the Austrian Erste Group Bank.

Born in 1967 in Rokycany, Czechia, Síkela studied foreign trade economics at the Prague University of Economics and Business.



IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

Jozef Síkela, Czechia.

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Eric Pichon and Marc Jutten
Members' Research Service

PE 762.439 – October 2024

Fundamentals of the portfolio

The rise of new geopolitical powers, such as China, Russia, India and Turkey, has caused a shift in the EU's key partner role in third countries. In 2019, this prompted a rebranding of the Development Cooperation Commissioner's portfolio to 'International Partnerships'. This reflects the EU's ambition to form balanced relationships, no longer replicating the donor-recipient model with conditionalities but instead resting on **mutually beneficial agreements** in areas such as **critical raw materials, infrastructure, and migration management**. The EU's partnerships with lower-income countries, especially the least developed ones, are guided by the 2017 European consensus on development – a holistic doctrine aligned with the United Nations 2030 Agenda and Sustainable Development Goals (SDGs). While retaining poverty eradication as the main goal of EU development policy, the consensus underlines that addressing the root causes of migration is pivotal to achieving the overall objectives of EU external action. It also reaffirms the EU's commitment to rights-based principles and values, with a specific focus on gender equality.

In her mission letter to Síkela, Commission President-elect Ursula von der Leyen named work on the **Global Gateway** strategy as a key priority. Launched in 2021, this strategy is designed to boost smart, clean and secure connections in the digital, energy and transport sectors, and to strengthen health, education and research systems globally. In this context, Síkela will have to work towards mobilising investment by bringing together the efforts of the EU, its Member States and their financial and development institutions. Síkela's portfolio responsibilities may require that he cooperate with the Commissioner for the Mediterranean, for external aspects of migration, and the Commissioner in charge of humanitarian aid, to improve delivery on short- and longer-term needs.

Priorities and challenges

Expectations/public opinion

In a September 2023 Eurobarometer survey, 75 % of the EU citizens polled supported the idea of the EU engaging with partner countries. Above all, they expressed support for EU cooperation with third countries on peace and security (40 %). Three quarters felt that tackling poverty in third countries should be a major EU' priority, but only a quarter considered the EU successful in this area. The EU is perceived to have had more success in improving transport infrastructure (69 %) and digital connectivity (67 %) around the world.

Priority partnerships

To counterbalance the growing influence of new players, Síkela is tasked with deepening cooperation with like-minded partners. On partnerships with countries from the African continent, the implementation of the 2020 EU-Africa strategy has been hindered by differing views on Russia's invasion of Ukraine, a perceived double standard in EU migration and asylum policies, and the impact of the support for Ukraine on the EU's contribution to African peace operations. Following coups in the Sahel and West Africa, the EU is reassessing its strategic presence in the region. The aim is also to increase involvement in the **Indo-Pacific**. This includes a new partnership with India and stronger ties with Japan, South Korea, Australia and New Zealand. EU engagement with Latin American and Caribbean countries should also be strengthened, following up on commitments made during the 2023 summit of the EU and the Community of **Latin American and Caribbean States**.

Under the Samoa Agreement, the EU aims to simplify its relations with sub-Saharan **African, Caribbean, and Pacific** countries, but is challenged by overlap with other frameworks with the African Union and other regional groupings and concerns about implementation challenges.

Securing the EU's economic needs while ensuring mutual interest

By 2050, it is estimated that four of the world's five largest economies (China, India, Indonesia and Brazil) will come from the Global South. In this context, to foster the EU's international influence, plans under the **Global Gateway** strategy include mobilising investment of up to €300 billion

between 2021 and 2027. Experts are calling for clearer Global Gateway governance and strategies. Síkela will need to align the Global Gateway with the EU's economic objectives of competitiveness and sustainability in the areas of green energy, critical raw materials, connectivity, health and education.

The **Critical Raw Materials** (CRMs) Act seeks to secure a steady supply of CRMs to secure EU autonomy in its green transition while promoting value-added activities in partner countries. Strategic partnerships, for instance with Chile or Mongolia, will involve not only Síkela but also the Commissioners responsible for trade and competitiveness. Here, Síkela must demonstrate EU commitment to relationships of mutual interest with partner countries, to forge lasting alliances at multilateral level. The **policy coherence for development** (PCD) concept must be made a reality. PCD requires that the EU take into account the SDGs and the goal of poverty eradication in all policies likely to affect developing countries. This poses challenges: the EU's demand for CRMs and hydrogen may boost economies but harm the environment and workers' conditions in partner countries. Regulations on deforestation and carbon tax, aimed at achieving sustainability, might harm vulnerable economies unable to adapt. The EU migration policy's increased focus on security, labour shortages, and readmission could lead to a misalignment with partner countries' interests.

European Parliament

Treaty basis and European Parliament competence

EU development policy is a shared competence of the EU and the Member States. Parliament co-legislates with the Council. Parliament has a right of scrutiny over implementation of the policy (Articles 208 to 212 of the Treaty on the Functioning of the European Union).

Parliament strongly supports the policy coherence for development principle and calls for an EU action plan to help mainstream development considerations in all EU policies from the outset. In theprevious term, Parliament had a standing rapporteur on PCD and a PCD network composed of representatives from several committees and delegations. Parliament also calls for the EU to use aid more effectively and efficiently by linking humanitarian, development, migration and security interventions and by strengthening joint EU and Member State programming.

Parliament holds observer status on the Global Gateway Board. In the framework of the future European financial architecture for development, Parliament calls for effective governance of the Global Gateway and demands to be involved in decisions on relevant investments.

Parliament has emphasised the critical importance of addressing food insecurity and biodiversity loss in developing countries. This entails supporting research on, and preserving, local plant genetic resources and diets, promoting sustainable farming and fishing, evaluating trade deals' environmental impact, and combating wildlife trafficking and illegal logging.

Parliament has called for the EU-Africa strategy to prioritise human development and human rights and involve civil society, local authorities and national parliaments. It calls for closer cooperation in key areas such as security, agriculture and health. It suggests that the renewed partnership should help tackle the root causes of migration and deliver an effective legal migration policy.

Parliament approved the Samoa Agreement on 10 April 2024, nevertheless expressing concerns about the agreement's weak provisions on civil society involvement and discrimination based on gender or sexual identity. It hoped that the agreement could scale up security cooperation.

Recent developments

Team Europe and the Global Gateway

Official development assistance (ODA) remains crucial for poorer economies, with the EU and its Member States providing 42 % of global ODA. However, ODA alone is insufficient to address all the challenges faced by developing countries. To complement their efforts, the EU and its Member States have launched Team Europe initiatives, among them the above-mentioned Global Gateway,

to leverage private investment. Team Europe is composed of the EU and its Member States — including their implementing agencies and public development banks — as well as the European Investment Bank (EIB), the European Bank for Reconstruction and Development (EBRD) and the private sector. The 'team' seeks to mobilise up to €300 billion in investment for sustainable and high-quality projects in partner countries by 2027, to narrow the global investment gap.

EU with Africa strategy and Samoa Agreement with ACP states

In June 2020, the Council approved the EU with Africa strategy, focusing on the green transition, digitalisation, economic growth, peace, governance, and migration. The strategy also placed emphasis on strengthened EU-Africa collaboration on the global stage. In November 2022, the African Union (AU) Commission and the European Commission took stock of progress and launched a €750 million programme in support of infrastructure investment in Africa.

Provisional application of the Samoa Agreement with members of the Organisation of African, Caribbean, and Pacific States (OACPS) began on 1 January 2024. The agreement is based on six key priorities: human rights, democracy and governance; peace and security; human and social development; inclusive, sustainable economic growth and development; environmental sustainability and climate change; and migration and mobility. It will enter fully into force after each EU Member State and at least two thirds of OACPS members have ratified it.

Migration partnerships

The Parliament and Council adopted the new pact on migration and asylum in the spring of 2024. The external policy component emphasises the need for collaboration with countries of migration origin and transit. It seeks to build partnerships that include provisions on limiting entry and facilitating the readmission of illegal migrants or asylum-seekers. However, several countries are reluctant to engage in migration partnerships that could hinder transnational or circular migration or reduce remittance flows without improving access to legal migration pathways. The Commission proposed a tougher approach towards third countries' failure to cooperate on readmission, by restricting visa delivery or preferential access to the EU market. However, Parliament's INTA committee rejected this proposal, deeming it incompatible with the SDGs and fundamental rights.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Costas Kadis

Fisheries and Oceans

Confirmation hearing due to be held on Wednesday 6 November, at 14.30.

European Parliament committee responsible: Fisheries (PECH)

Costas (Costantinos) Kadis is a scientist with a solid academic profile who has held ministerial portfolios in health, education and agriculture in various Cypriot governments.

Kadis is professor of biodiversity conservation at Frederick University, where he also heads the Nature Conservation Unit and has been appointed as deputy president of the University Council. Between 2014 and 2023, Kadis served in two successive Cypriot governments without belonging to a political party. He was minister for education and culture (2014-2018), and minister for agriculture, rural development and environment (2018-2023). In the latter position, he was also responsible for fisheries and marine research.

Born in Nicosia in 1967, Kadis graduated and obtained a PhD in biology from the University of Athens. After several research-related positions in Greece and Cyprus, he joined Frederick University in Cyprus in 2005, where he was appointed associate professor, founded the Nature Conservation Unit, and was Dean of the School of Education. He held these positions until 2014, apart from the period from July 2007 to February 2008 when he served as minister of health (as a member of the centre-right Democratic Party (DIKO). Kadis also chaired the Greek Cypriot Environment Committee from 2008 to 2014 as part of the government's (unsuccessful) efforts to reunify Cyprus. This work did lead to important environmental cooperation agreements with the Turkish Cypriot community.



Costas Kadis, Cyprus.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

EPRS | European Parliamentary Research Service

Author: Frederik Scholaert
Members' Research Service

PE 762.435 – October 2024

Fundamentals of the portfolio

As Commissioner for Fisheries and Oceans, Costas Kadis will work under the guidance of the Vice-President for Cohesion and Reforms and will be responsible for the Directorate-General for Maritime Affairs and Fisheries (DG MARE). The main policy in his portfolio is **common fisheries policy** (CFP), last reformed in 2013 to ensure that fisheries and aquaculture are sustainable environmentally, economically and socially. Now, a decade after this reform took place, the policy is being evaluated. In her mission letter to Costas Kadis, European Commission President-elect Ursula von der Leyen requests that he **complete the CFP evaluation**. She emphasises the importance of a **level playing-field** for EU operators, such as protecting them from **unfair competition** and ensuring their access to neighbouring waters. A **European oceans pact** is necessary to ensure coherence between all ocean-related policies.

The 2013 CFP reform focused on sustainable exploitation through a scientific parameter called the **maximum sustainable yield** (MSY). Tools to support this aim include multiannual plans (MAPs) by sea basin, 'regionalised decision-making', and the landing obligation (to end discarding of unwanted catches). The **European Maritime, Fisheries and Aquaculture Fund** (EMFAF), is the main fund dedicated to the CFP. It provides aid to the sector, while also promoting the blue economy and contributing to marine protection and ocean governance.

In addition to the CFP, DG MARE manages **other policies** such as the blue economy agenda (which aims to promote sustainability, skills, innovation and synergies), maritime spatial planning (optimising the use of maritime space), the algae initiative (which aims to unlock the EU's bio-economy potential in seaweed) and the international ocean governance agenda.

Other ocean-related policies are managed by other DGs and will therefore require coordination. Examples include the nature restoration law (aiming to restore 20 % of the EU's marine area by 2030), the offshore renewable energy strategy (setting long-term targets by sea basin), the Marine Strategy Framework Directive (the MSFD, aiming to achieve 'good environmental status' in marine waters), and the 'Restore our Ocean and Waters' mission under the EU's research programme.

Priorities and challenges

In 2023, the Commission published a fisheries and oceans package. Two implementation reports highlighted the positive results achieved since the 2013 reform. The Commission therefore did not propose a new reform but instead focused on **improving the implementation of the CFP**. Recent challenges for the sector include **attracting young people** and **introducing innovation**. Furthermore, two action plans on energy and marine protection have sparked much debate.

Energy is a major cost item for fisheries due to the sector's heavy reliance on fossil fuels. The recent crisis, sparked by Russia's invasion of Ukraine, has even threatened its profitability. To address this issue and link it to the goals of the Green Deal, the Commission published the energy action plan, which aims to increase energy efficiency and switch to renewable and low-carbon energy sources. Two barriers to this transition are funding (the EMFAF is a small fund) and the fleet **capacity ceilings** under the CFP (the weight of a vessel is part of the definition of capacity; as new technologies typically require more weight than conventional diesel engines, this could lead to an increase in vessel capacity and exceed a ceiling). Overcoming these barriers will be challenging.

The marine action plan seeks to enhance the coordinated implementation of **environmental and fisheries policies**. In particular, it aims to make fishing practices more sustainable by improving fishing gear and reducing the impact on vulnerable species and the seabed. Highly controversial is the Commission's call for a ban on **mobile bottom fishing gear** in all marine protected areas (MPAs).

A key legislative initiative will focus on the establishment of the **EMFAF** for the 2028-2034 period. The current EMFAF allows aid, such as engine modernisation, for vessels up to 24 metres in length. In 2022, a World Trade Organization (WTO) agreement was reached to ban certain fisheries

subsidies, including for fisheries targeting **overfished stocks**. This agreement was ratified by the EU in 2023. It remains to be seen whether it will have an impact on the EU's support for fishing vessels.

The Commission reports on the state of play in each sea basin in its annual communication on EU fisheries. In the **Atlantic**, average exploitation is now in line with the MSY. However, a challenge arises in the relationship with northern third countries. The EU-UK Trade and Cooperation Agreement (TCA) guarantees mutual access to waters until mid-2026, after which decisions on mutual access will be taken as part of the annual negotiations on fishing opportunities. It is important to note that fisheries measures should not discriminate against vessels from either party, though there have been disputes over recent UK measures. Relations with other northern countries have also become more complex. For example, the EU and Norway have disagreements over Svalbard cod quotas post-Brexit. Costas Kadis will need to ensure good cooperation in all northern agreements to navigate these challenges.

The **Baltic Sea** is in a dire state, mainly due to **pollution** (such as eutrophication from nutrient inputs) and **climate change**, rather than overfishing. The second Our Baltic conference, hosted in 2023 by the Commissioner for Environment, Oceans and Fisheries, assessed the progress made. Since the environment is no longer in this portfolio, cooperation with the Commissioner responsible will be needed. In fisheries, the **ecosystem-based approach** must be fully implemented. For 2025, further catch reductions have been proposed for most Baltic stocks in accordance with science and the Baltic MAP. Other (future) measures may include spatial or temporal fisheries closures, measures to reduce by-catch, or more tailored solutions (e.g. the Commission has mentioned the use of mussels to reverse eutrophication). Specific aid for cessation of fishing activities may be necessary (as has been decided for Baltic cod and western herring fisheries). A recent report on the Baltic MAP viewed it as a valuable tool, providing a safety net for stocks in difficulty and flexibility for healthy stocks.

In the **Mediterranean**, **overfishing** remains a challenge, although some progress has been made (between 2007 and 2022, overfishing dropped from 90 % to 20 % above MSY). The EU has adopted a western Mediterranean MAP for demersal fisheries, with an implementation report published in July 2024. Although it led to positive results, an NGO found a high risk of missing the 2025 MSY target. Since many other stocks are shared with third countries, Mediterranean and Black Sea countries work together in the General Fisheries Commission for the Mediterranean (GFCM). For example, the GFCM has adopted 11 multiannual plans. As a member, the EU wields significant influence in shaping its decisions and must ensure that they are transposed into EU law (a new proposal has been tabled to this end). The Commission recently proposed the 2025 fishing opportunities (the allowed catches and fishing days) for the Mediterranean and Black Seas.

European Parliament

Treaty basis and European Parliament competence

According to Articles 3 and 4 of the Treaty on the Functioning of the European Union (TFEU), the marine fisheries sector is one of the few exclusive EU competences, while for other areas of the CFP (such as aquaculture and seafood processing), the EU shares competence with Member States. According to Article 43 Parliament and the Council must act in accordance with the ordinary legislative procedure when it comes to fisheries policy, with the exception of the setting of fishing opportunities (where only the Council decides). Under Article 218, international fisheries agreements are concluded by the Council after obtaining consent from Parliament.

The EU's exclusive competence for marine fisheries, combined with the fact that, since the Lisbon Treaty, the Parliament co-legislates most fisheries legislation on an equal footing with the Council, makes the Parliament an important player in fisheries policy.

During its previous term, the Parliament outlined its vision for fisheries and ocean policies in a number of resolutions. Parliament's January 2024 resolution on the state of play of the CFP, served as its contribution to the ongoing **evaluation**. The Parliament emphasised the need for continued CFP implementation but expressed regret that **socio-economic aspects** had not been sufficiently

taken into account. It also reiterated its stance on the **landing obligation**, namely that it should be reviewed, in particular to limit the problem of 'choke species' (i.e. species for which, once the quota is reached, fishers may need to stop fishing entirely to avoid the risk of by-catching them while targeting other species). The resolution also highlighted that MSY is 'impossible to apply' in **mixed fisheries**, where multiple species are targeted simultaneously. Parliament called for **multiannual TACs**, to give more certainty to fishers. It also reiterated its view on the need for a broader definition of **small-scale fisheries** beyond just vessel length. On **capacity ceilings** as an obstacle to the energy transition, Parliament recommended redefining capacity, for example, by excluding the tonnage related to 'social and safety' from the calculation of capacity.

In a resolution on the marine action plan, Parliament criticised the Commission for its **simplistic approach** when proposing to ban mobile bottom fishing in all MPAs by 2030. Parliament called for the involvement of fishers in the implementation of the MPAs. The plan should also prevent conflicts in light of the **growing use of maritime space**, such as for offshore wind energy.

Recent developments

As a follow-up to the fisheries and oceans package and the feedback received, the Commission has launched a new consultation on the CFP. The results will be presented in 2025. Two other consultations, on the current EMFAF for 2021-2027 and the previous fund (for 2014-2020), have just closed and will feed into a mid-term evaluation by the end of 2024. Several initiatives have been launched following the energy action plan, with the latest being a call for an advisory support group.

In Parliament, an overview of the activities of the Committee on Fisheries (PECH) for 2019-2024 has been published (among these, the EMFAF and the fisheries control system were two important legislative files). More recently, a study on recent developments and future challenges in the EU's oceans and fisheries policy was presented to PECH on 23 September 2024. It includes **policy recommendations** on fisheries, aquaculture, the blue economy and ocean governance.

Furthermore, as regards ocean governance, the EU announced, as it does every year, a list of commitments (this year worth €3.5 billion) at the Our Ocean conference in Greece in April 2024.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Maria Luís Albuquerque

Financial Services and the Savings and Investments Union

Confirmation hearing due to be held on Wednesday 6 November, at 9.00.

European Parliament committee responsible: Economic and Monetary Affairs (ECON)

Maria Luís Albuquerque was independent non-executive director and a member of the Audit, Risk, and Nomination committees at Morgan Stanley, and a member of the Operating Team at Horizon Equity Partners. She was a member of the ISCTE University Institute of Lisbon's Executive Education Advisory Board.

Prior to these roles, she was an independent non-executive director (chair of the Sustainability Committee) at the asset management firm Arrow Global Group (2016-2021), and a member of the High-level forum on the capital markets union, an expert group within the European Commission (2019-2020).

In her political career, she has served as an elected member of the Municipal Assembly of Almada (2017-2021), a member of the Portuguese Parliament (2015-2019), minister of state and finance (2013-2015), and deputy minister for the treasury (2011-2013). Before that, she was director of the Department of Financial Management at the Portuguese Rail Infrastructure Company, and head of the Issuing and Markets Department at the Portuguese Debt and Treasury Management Agency.

Born in 1967, Maria-Luís Albuquerque holds a master's degree in financial and monetary economics from the Lisbon School of Financial and Monetary Economics (ISEG), and a degree in economics from the University of Lusíada.



Maria Luís Albuquerque, Portugal.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

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EPRS | European Parliamentary Research Service

Authors: Issam Hallak and Stefano Spinaci
Members' Research Service

PE 762.430 – October 2024

Fundamentals of the portfolio

The European Commission President-elect, Ursula von der Leyen, has identified developing the European savings and investments union as fundamental for the new Commission, as it would bring the ambition of a single market for financial services much closer to fruition. Once in place, this union is expected to leverage substantial amounts of private capital to finance the green, digital and social transitions. This includes the completion of the banking union and the capital markets union (**CMU**), both launched following the global financial crisis. The EU has completed the single supervision and single resolution mechanisms of the banking union – known as Pillar 1 and Pillar 2 – leaving the European deposit insurance scheme (EDIS) – Pillar 3 – at the proposal stage. The CMU is a relatively more complex policy plan involving actions in a wide range of areas, such as securities markets, securitisation, insurance companies and business insolvency law. EU-level policy actions consist mainly of harmonisation of rules to overcome cross-border investment hurdles, and while major steps have been made in this area, more actions are yet to come.

The portfolio also includes financial sector-related components that require coordination among the Member States. For instance, the action plan on sustainable finance presented by the European Commission in 2018 sought to re-orient capital flows towards sustainable investment; to manage financial risks due to environmental, social and governance (**ESG**) risks; and to foster transparency and long-termism. Finally, the portfolio includes measures to enhance retail investment through protection and financial literacy of EU citizens as a way to ensure that they have the knowledge and skills to optimise their savings and investment management. Achieving success in this domain will favour the retail investment enhancement policy.

Priorities and challenges

Expectations/public opinion

A 2022 Eurobarometer survey on retail financial services and products showed that EU citizens care about sustainable finance. More than six in ten respondents did not want their savings and investments to fund economic activities that have a negative impact on the planet. About half of respondents agreed that they were more likely to invest in a financial product if they knew it was sustainable. Moreover, about one in five respondents felt that their rights had been breached when opening a bank account, making payments, taking out a consumer loan or a loan to buy a home, buying an insurance policy or taking out an investment product.

In her mission letter to Albuquerque, von der Leyen identifies unlocking the financing needed for the green, digital and social transitions as a core priority. Policy actions include designing EU-level savings and investment products, working on leveraging the potential of private and occupational pensions, reviewing the regulatory framework to ensure financing for fast-growing innovative start-ups, increasing sustainable finance, improving capital markets supervision, and developing a strategy on financial literacy.

The CMU action plan proposed in 2020 includes several ongoing legislative procedures. Among these, interinstitutional negotiations on the retail investor protection package are set to begin. Ensuring that retail investors further access capital markets thanks to enhanced protection and financial literacy will be among Albuquerque's priorities.

Another major priority will be to support the private financing of fast-growing innovation companies. This has also been identified as a serious issue by the reports on the future of the single market, by former Italian Prime Minister, Enrico Letta, and on EU competitiveness, by former European Central Bank President, Mario Draghi.

However, there are considerable challenges inherent in the harmonisation of financial regulations, which is at the heart of the CMU. These include the fact that Member States have different legal frameworks and cultural backgrounds, and that putting the CMU in place may mean hiring new staff and developing new competences. One priority is thus to ensure that EU laws are adequately enforced and that the supervisory system at EU level is streamlined.

European Parliament

Treaty basis and European Parliament competence

Chapter 4 Article 63 of the Treaty on the Functioning of the EU (TFEU) prohibits all restrictions on the movement of capital between EU Member States, unless they are necessary for legitimate public interests. However, significant technical barriers have remained, and new legislation has been adopted to remove them. The legal basis for policy actions mainly relies on two TFEU articles. The first, Article 114 TFEU on the approximation of law, is the most frequently used. It allows for the adoption of measures to align provisions set by law in EU Member States, which have as their goal the establishment and functioning of the internal market (Article 26 TFEU). The second, Article 53 TFEU, provides that, in order to facilitate individuals in starting and pursuing activities as self-employed, the co-legislators have to issue directives for the mutual recognition of formal qualifications and the coordination of provisions laid down by law in Member States for the activities of the self-employed.

During its last term, the European Parliament consistently supported and voted in favour of completing the banking union and the CMU, highlighting their importance for achieving the EU's strategic goals. In its 2021 report on strengthening the international role of the euro, Parliament emphasised the need to deepen and complete European monetary union, the banking union and the CMU, to boost EU markets' international competitiveness, enhance the stability and attractiveness of the euro and, ultimately, strengthen the EU's strategic autonomy.

In its latest report on banking union, adopted in January 2024, Parliament noted that the banking union was an 'essential complement' to European monetary union and the single market. Parliament also urged the European Commission to prioritise the completion of the banking union and the CMU in its upcoming term. In its September 2020 report on further development of the capital markets union, Parliament listed five areas for action, with the promotion of long-term and cross-border investment identified as a top priority. Parliament also recommended gradually granting the European securities and markets authority (ESMA) direct supervisory powers to improve efficiency, and advocated the establishment of a single EU supervisory authority.

Recent developments

In the previous term, the European Commission initiated significant action in four different areas: CMU, digital finance, sustainable finance and banking, with corresponding action plans. One major action plan, from 2020, focused on preparations for establishing the CMU. Key completed actions under this plan include the adoption of the Listing Act – expected to facilitate the issuance of market securities by medium-sized firms – and the establishment of the European single access point and the consolidated price quotations – known as consolidated tape – to improve the flow of information within the EU.

In the digital finance package, tabled by the Commission in 2020, the Markets in Crypto-Assets Regulation (**MICAR**) was finalised and represents a major step toward a unified regulatory framework for unregulated assets utilising distributed ledger technologies. MiCAR specifically focuses on regulating crypto-assets with a stable value tied to official currencies such as the euro, known as stablecoin. Risks posed by the rapid expansion of information and communication technology (ICT) will be monitored through the adopted Regulation on Digital Operational Resilience. Additionally, the digital finance package includes proposals addressing payment services and open finance.

The package for financial data access and payments comprises three proposals that cover data access and payment services. The first proposal on financial data access seeks to establish a framework for accessing individual and business customer data across a wide range of financial services. The other two proposals centre on amending the payment services regime and establishing a payment services regulation, respectively. Finally, the Commission tabled proposals to introduce a digital euro that would complement the physical euro by offering it in digital form.

A number of legislative acts were implemented in the area of sustainable finance. The Taxonomy Regulation provides a classification system for sustainable activities; the EU Green Bond Standard Regulation sets a uniform definition of green bonds; the Sustainable Finance Disclosure Regulation clarifies the duties of asset managers and institutional investors duties regarding sustainability; and the ESG Rating Regulation improves the reliability and transparency of ESG rating activities. Additionally, sustainability reporting was reinforced through the Corporate Sustainability Reporting Directive and the Corporate Sustainability Due Diligence Directive, both designed to provide more transparency and accountability on sustainability issues related to economic activities that are especially targeted at financial investors.

In banking, the EU adopted new rules on the minimum capital requirement levels applicable to all banks in line with the finalisation of international agreements known as Basel III. The Commission also introduced a proposal to amend the management of banks' recovery and resolution; the European Parliament and the Council have adopted their respective positions.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Hadja Lahbib

Preparedness and Crisis Management; Equality

Confirmation hearing due to be held on Wednesday 6 November, at 9.00.

European Parliament committees responsible: Development (DEVE), Women's Rights and Gender Equality (FEMM), Civil Liberties, Justice and Home Affairs (LIBE), Environment, Public Health and Food Safety (ENVI)

Hadja Lahbib a member of the Mouvement reformateur (MR) party, which sits with the Renew Europe group in the European Parliament, has been serving as Belgian minister for foreign affairs, European affairs and foreign trade, and federal cultural institutions since 2022.

She was elected as a member of the Parliament of the Brussels Capital Region in 2024 but is currently on leave to fulfil her ministerial duties.

Before joining the Belgian government, she co-led the Brussels bid for the title of European Capital of Culture 2030.

Born in Belgium in 1970 to a family of Algerian Kabyle origin, Lahbib obtained a master's degree in journalism and communication from the Université Libre de Bruxelles. She then worked as a journalist and presenter for Belgium's French-speaking public broadcasting company and other broadcasters, where she gained international experience in covering conflict zones, including Afghanistan, Iraq, Israel and the occupied Palestinian territories. She produced several documentaries to highlight injustices, especially those against women in Afghanistan, Kenya and Belgium.



Hadja Lahbib, Belgium.

IN THIS BRIEFING

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EPRS | European Parliamentary Research Service

Authors: Enrico D'Ambrogio, Eric Pichon and Ionel Zamfir
Members' Research Service

PE 762.440 – October 2024

Fundamentals of the portfolio

Preparedness and crisis management. Climate change has increased the frequency and severity of natural disasters in the EU. The European Commission's Directorate-General for European Civil Protection and Humanitarian Aid Operations (ECHO) assesses disaster risks and coordinates **preparedness** actions for natural and human-caused disasters. While EU Member States carry the primary responsibility for civil protection, all of them – plus Iceland, Norway and most candidate countries – contribute to the Union Civil Protection Mechanism (UCPM). This mechanism has significantly enhanced disaster-response capabilities and strengthened cooperation to assist disaster-stricken countries within and beyond the EU (such as Ukraine). The Emergency Response Coordination Centre (ERCC) within ECHO serves as the UCPM operational hub that monitors emergencies in the EU and around the globe. The European Civil Protection Pool (ECPP) brings together resources for the UCPM from Member States and other participating states.

Humanitarian crises are driven mainly by conflict (in 2023, Sudan alone accounted for almost 40 % of global need, while the number of civilians killed in the Occupied Palestinian Territories at the end of 2023 was equivalent to 60 % of the global civilian death toll for 2022), climate emergency and economic factors. Most of these crises are long-standing and entail massive displacement, acute food insecurity and grave disease outbreaks. The number of people worldwide needing humanitarian aid rose to nearly 300 million in 2023, and more than a third of them cannot be helped because of a funding gap. Violations of international humanitarian law have become more frequent, including attacks against aid workers. EU and Member States' humanitarian aid is founded on the international humanitarian principles of humanity, neutrality, impartiality and independence. ECHO has a network in 40 non-EU countries but does not intervene directly on the ground; it funds projects run by around 200 partners. EU humanitarian assistance has an €11.6 billion budget for the 2021-2027 period. In addition, the Solidarity and Emergency Aid Reserve allocates up to €1.2 billion per year for responding to natural disasters and health crises. Together with its Member States, the EU is the largest humanitarian aid donor in the world (providing over a third of global humanitarian assistance); the European Commission alone provides 11.1 % of global humanitarian funding.

Equality is one of the EU's fundamental values. The EU Treaties allow the EU to adopt non-discrimination laws for specific protected grounds (racial or ethnic origin, religion or belief, disability, age, sex and sexual orientation). EU legislation also protects victims of crime and qualifies serious manifestations of racism and xenophobia as criminal offences. To enhance equality and non-discrimination in the Member States, the EU also uses recommendations, funding and exchanges of good practice. Moreover, the Treaties require the EU to mainstream equality and non-discrimination in all its policies. To monitor progress, the EU has established the European Fundamental Rights Agency (FRA) and the European Institute for Gender Equality (EIGE). EIGE's gender equality index and FRA's surveys reveal the extent of discrimination and inequality across the EU.

Priorities and challenges

Expectations/public opinion

Following the COVID-19 pandemic, 9 out of 10 respondents to a Eurobarometer survey conducted in 2023 wanted to see a stronger EU role in crisis management. The same proportion of respondents believed that funding EU humanitarian aid was important and either approved of the current level of spending or wished to see it increased. Seven out of 10 found agreed aid was more efficient when coordinated at the EU level. Participating in another 2023 survey, most respondents considered discrimination to still be widespread in their country, particularly on grounds such as Roma origin (65 %), skin colour (61 %), ethnic origin (60 %), gender identity (being transgender (57 %)) or sexual orientation (54 %). Some 38 % believed discrimination based on sex to be widespread (up 3 % since 2019). Around 20 % had personally experienced discrimination or been harassed because of their age, gender, political opinions, socio-economic situation or appearance.

Preparedness and crisis management. Hadja Lahbib will be responsible for strengthening EU civil preparedness for and resilience to a range of increasing risks, from climate hazard to military threat. The UCPM has shown its ability to adapt to unexpected events, but large-scale crises require better cross-sectoral coordination and awareness, including defence and health aspects. However, ECHO and national authorities are facing resource constraints and a significant workload. At global level, Lahbib will have to harness the EU's humanitarian response. More specifically, this will involve addressing the funding gap, including by leveraging private funding. The funding gap risks further aggravating some crises, which, despite being long-standing and complex, have been forgotten by the media and donors. To address these challenges, Lahbib will have to work towards integrating humanitarian interventions with longer-term development, peace, disaster-risk reduction and climate programmes. Increasing the number of global contributors and finding common ground with other (potential) donors will also be a crucial part of her work.

Equality. According to the 2024 FRA report, discrimination is a pervasive issue disproportionately affecting people of African descent and Roma, and incidents of racism and related forms of intolerance are rising. EIGE's Gender Equality Index indicates that gender gaps exist in most areas of life. Transposing directives adopted during the Commission's last term into national law should help here. However, there is a significant gap in legal protection against discrimination in the EU, as the proposal for a horizontal anti-discrimination directive (outside employment and on protected grounds other than race), initiated in 2008, remains blocked in the Council.

European Parliament

Treaty basis and European Parliament (EP) competence

Article 196 TFEU is the legal basis for civil protection; the EU supports Member States' actions (Article 6) and the 'solidarity clause' applies (Article 222). Article 214 is the legal basis for humanitarian aid. Parliament and the Council co-decide on measures aimed at achieving humanitarian and civil protection goals, although Member States can adopt their own legal provisions in these areas. Parliament oversees the Commission's implementing measures. The Committees on Development (DEVE) and on the Environment, Public Health and Food Safety (ENVI) have responsibilities for humanitarian aid and civil protection, respectively. The ordinary legislative procedure is used for anti-discrimination measures on grounds of sex in employment (Article 157), while for grounds other than sex, Parliament must consent to a unanimous decision by the Council (Article 19).

Preparedness and crisis management. Parliament has called for the establishment of a permanent EU civil protection force and an EU centre of excellence in civil protection. It has highlighted the importance of ensuring adequate EU firefighting capabilities for forest fires in the EU. Since the EU-level firefighting fleet will not be fully operational by the end of 2024, Parliament has agreed that the EU should continue financing the leased aircraft to assist Member States in combating wildfires until 2027. Parliament has also called for increased predictable and flexible funding for humanitarian aid, for the inclusion of IHL violations as a criterion for sanctions, and for a clear humanitarian-development-peace nexus policy. Additionally, it has urged the sharing of knowledge with local stakeholders, and the establishment of an EU centre for humanitarian research.

Equality: Parliament played a key role in recent legislative initiatives on gender equality. In many resolutions, it has called for better integration of gender equality in policy areas such as transport, environment, digital, and budget, with a focus on women in vulnerable situations. Parliament has urged better consideration of intersectional discrimination in both legislative and non-legislative measures. It has called for the adoption of a new 2025-2030 LGBTIQ+ equality strategy and an implementation plan to include consultation with LGBTIQ+ organisations. Parliament has also called for action to combat cyber-violence against women and criminalise the demand for prostitution. It has called for sexual and reproductive rights to be upheld throughout the EU. As hate crimes based on religion are often under-reported and not prosecuted, Parliament has called for the establishment of comprehensive data collection systems on hate crimes and other discriminatory acts against belief- or religious communities. Parliament has also asked for hate speech and crimes to be considered EU crimes, as this would allow the Commission to propose directives on the matter.

Recent developments

Preparedness and crisis management. In April 2020, responding to the pandemic, the EU activated the Emergency Support Instrument (ESI), complemented by a dedicated reserve of **response capacities** at EU level (rescEU). Building on experience from the pandemic, in May 2021 the Council and Parliament strengthened the UCPM to enable the Commission to procure rescEU capacities directly. RescEU has since been extended until the end of 2027. In 2021, the Commission advocated prioritising local humanitarian responders, simplifying needs assessment and implementing flexible funding arrangements, including digital cash transfers. It proposed strengthening coordination with others, such as the military, and highlighted climate change, health, food security and disaster preparedness as priorities. It emphasised the need to address the rise in violations of international humanitarian law globally. Since 2021, a Response Capacity has helped Member States and others coordinate their humanitarian response, and since 2022, young volunteers can join humanitarian aid operations in non-EU countries. An annual European humanitarian forum started in 2022.

Equality. Several important laws have been adopted and comprehensive strategies to fight discrimination proposed recently. Two new directives aim to empower women economically. The first, the 2022 Women on Boards Directive, addresses the under-representation of women at the highest level of economic decision-making. The second, the 2023 Equal Pay Directive, requires companies to share information on salaries and compensate victims of pay discrimination. To do more against **gender-based violence**, the EU ratified the Istanbul Convention in 2023 and adopted a directive in May 2024 setting minimum EU-level standards for several gender-based crimes and cybercrimes, and enhancing access to justice, protection of victims and prevention measures. Another two new directives adopted in May 2024 propose EU standards to strengthen the role of national equality bodies. In 2020, to protect **LGBTIQ+ people**'s rights, the Commission tabled the 2020-2025 LGBTIQ equality strategy – the first comprehensive EU strategy in this area. The Court of Justice ruled on several cases concerning LGBTIQ+ rights during previous terms. Other cases are pending, including an infringement case against Hungary concerning a propaganda law.

The EU has enhanced the fundamental rights of the **most vulnerable groups**, in particular persons with disabilities, and children. A draft directive establishing an EU-wide disability card and improving the existing European parking card seeks to enhance recognition of disability status and facilitate the free movement of persons with disabilities. In September 2020, the Commission adopted the EU **anti-racism** action plan 2020-2025, and in 2021 appointed its first Anti-Racism Coordinator. An evaluation of the Racial Equality Directive found that there is significant under-reporting and that data collection on discrimination cases still needs improvement.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Magnus Brunner

Internal Affairs and Migration

Confirmation hearing due to be held on Tuesday 5 November, at 18.30.

European Parliament committee responsible: Civil Liberties, Justice and Home Affairs (LIBE)

Magnus Brunner has been Austria's federal minister for finance since December 2021. Prior to this role, he served as a state secretary in the Federal Ministry of Climate Protection, Environment, Energy, Mobility, Innovation and Technology from 2020 to 2021.

From 2018 to 2020, Brunner was vice-president of the Federal Council of Austria, after having served as a member of this institution from 2009 to 2020. Additionally, he served on the Municipal Council of the Höchst Municipality from 2000 to 2004.

From 2009 to 2020 Brunner was a member of the Federal Council of the Austrian People's Party (ÖVP), affiliated to the European People's Party (EPP) group in the European Parliament.

Brunner's earlier professional experience includes serving as the political director of the Austrian Economic Association (2002-2005), as well as holding the position of head of corporate development, communication and strategic development at the Austrian energy company Illwerke VKw Group (2006). He was also on the Board of the Austrian energy company OeMAG (2007-2020).

Born in 1972, Brunner is a graduate of King's College London (LLM), the University of Innsbruck and the University of Vienna (where he obtained a PhD in law).



Magnus Brunner, Austria.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

EPRS | European Parliamentary Research Service

Author: Martina Prpic
Members' Research Service

PE 762.429 – October 2024

Fundamentals of the portfolio

The Internal Affairs and Migration portfolio encompasses a number of areas, including: internal security; migration and asylum; law enforcement cooperation; Schengen; borders and visa policy; dialogue under Article 17 of the Treaty on the Functioning of the European Union (TFEU) with churches, religious associations or communities, and philosophical and non-confessional organisations; and the fight against antisemitism and anti-Muslim hatred.

Work in recent years in the area of EU migration policy brought about the adoption in spring 2024 of the new pact on migration and asylum, seeking chiefly to alleviate the pressure placed on the EU by the consequences of Russia's war on Ukraine. Legal migration has been another area of concern.

Recurrent terrorist attacks in the EU, as well as the evolving nature of organised crime, have highlighted the need for better cooperation on internal security issues. Priority areas for EU action include fighting organised crime, human trafficking, cybercrime, terrorism and radicalisation.

The protection of the EU's external borders and the maintenance of the Schengen area of free movement are significant aspects of this portfolio. In March 2024, the Schengen area expanded to include air travel to and from Bulgaria and Romania. However, the previous legislative term also brought several challenges in maintaining open borders, including the impact of the COVID-19 pandemic and the influx of migrants and asylum-seekers into the EU.

Designated coordinators, who help the Commissioners responsible, work on countering antisemitism and anti-Muslim hatred, and maintaining dialogue with churches, religious associations or communities and philosophical and non-confessional organisations. A surge in hate speech and hate crime in Europe, targeting the Jewish and Muslim communities in the wake of the terrorist attacks by Hamas in Israel, followed by Israel's military response in Gaza, has prompted a new call for action.

Priorities and challenges

Expectations/public opinion

In the July 2024 Eurobarometer survey on EU challenges and priorities irregular migration ranked as the most pressing issue that the EU should address for 33 % of respondents. It was chosen by 41 % of respondents as the EU's second biggest challenge. Terrorism and security rank fifth among EU challenges (29 %). In the European Parliament's spring 2024 Eurobarometer survey respondents considered migration and asylum to be the seventh most important topic to be discussed as a matter of priority during the European Parliament election campaign, and the fight against terrorism and organised crime the tenth. The standard Eurobarometer 101 survey, also published in the spring of 2024, revealed that two in three respondents (67 %) support a common migration policy, and less than half (46 %) view immigration from outside the EU positively.

According to Commission President-elect Ursula von der Leyen's political guidelines for the next European Commission, security and migration will receive significant attention in the next 5 years. Her mission letter to Magnus Brunner, entrusted with the Internal Affairs and Migration portfolio, offers greater detail on his specific tasks. For instance, he will be responsible for drafting a new **European internal security strategy** to ensure that security is built into EU laws and policies, and addresses all threats, whether online or offline. The current rules on **organised crime** will be revised **Europol**'s capacity is to be bolstered and its oversight and mandate strengthened. Other tasks include developing a new European plan against **drug trafficking**, an EU action plan on **firearms** and further efforts to combat **cybercrime**. Work will continue on protecting **children** against **sexual abuse** online and offline. A new **counter-terrorism** agenda will address new and emerging threats, especially online, and take a stronger approach to terrorist financing and anti-radicalisation. A new European critical communication system is also planned, to be used by public authorities in charge of security and safety. Plans also include ensuring appropriate tools to combat **antisemitism and anti-Muslim hatred**, as well as continuing the **Article 17 TFEU dialogue** with churches, religious associations or communities and philosophical and non-confessional organisations.

The political guidelines also stress the need to make EU **borders** more secure and efficient, with the goal of establishing a fully functional EU digital border management system. Brunner will promote an integrated approach to border management, which includes strengthening the European Border and Coast Guard Agency (Frontex) and tripling the number of its border guards. Increased efforts will be invested in cooperation with non-EU countries on border security through the development of an EU visa policy strategy. Hybrid attacks and the instrumentalisation of migrants are highlighted as an area of concern, as is the task of ensuring a fully functioning **Schengen area** of free movement.

The Commission has announced plans to step up implementation of the **pact on migration and asylum**, guided by a migration and asylum strategy. A fresh common approach to **returns** will include a new legal framework to expedite and simplify the process. The fight against **smugglers and human traffickers** will be intensified, as will initiatives to prevent the exploitation of workers with irregular status. Strategic partnerships on migration and security with non-EU countries will continue to be developed, including through a new pact for the Mediterranean. The Commission also intends to address irregular migration and support **legal migration** based on the skills needed within the EU.

European Parliament

Treaty basis and European Parliament competence

The EU and its Member States share competence on migration as part of justice and home affairs. Article 78 of the Treaty on the Functioning of the European Union (TFEU) sets out the role of the European Parliament and the Council as co-legislators when adopting measures for a common European asylum system. In the event of a sudden influx of third-country nationals into one or more Member States, the Council can adopt temporary measures based on a Commission proposal and after consulting the European Parliament. Migration policy is governed by Articles 67(2), 79 and 80 TFEU; management of the external border by Articles 67(2) and 77 TFEU; and asylum policy by Articles 67(2) and 78 TFEU. The right to asylum is enshrined in Article 18 of the EU Charter of Fundamental Rights. Moreover, EU asylum legislation must align with the international refugee law framework established by the 1951 Geneva Convention and its Protocol, which have been incorporated into EU law under Article 78(1) TFEU.

Most migration and home affairs issues fall under the ordinary legislative procedure. However, Article 4(2) TEU provides that ensuring territorial integrity, maintaining law and order and safeguarding national security are essential state functions to be respected by the EU, with only the latter of these being the sole responsibility of each Member State. Article 83(1) TFEU provides an exception to this principle, allowing for the adoption of directives related to minimum rules on serious crimes with a cross-border dimension under the ordinary legislative procedure. The list of crimes eligible for this procedure may be expanded, as seen with the recent inclusion of the violation of EU sanctions. Denmark and Ireland have specific opt-outs as provided for in Protocols 21 (for Ireland) and 22 (for Denmark) annexed to the EU Treaties. Article 17 TFEU serves as the legal basis for an open, transparent and regular dialogue between the EU institutions and churches, religious associations, and philosophical and non-confessional organisations.

Parliament has been very active, both in finalising Commission proposals and setting new ambitious targets for future work. For example, in January 2024 the Parliament adopted a resolution to extend the list of EU crimes to include hate speech and hate crime. The resolution urged the Council to adopt a decision to include these crimes on the list covered by Article 83(1) TFEU. Parliament has also repeatedly expressed concern for children's safety, especially online, calling for urgent action. Additionally, it has shown concern at the rise of antisemitism and anti-Muslim hatred in the EU. The Parliament strongly supported Romania and Bulgaria's accession to the Schengen area.

Legal migration has also been the topic of several resolutions, with the Parliament advocating more legislation in this area to fulfil the EU's goal of a comprehensive approach to migration policy. The Parliament has advocated the establishment of a talent pool. It welcomed the revised Blue Card Directive but noted that it does not address the need for low and medium-skilled workers. In this connection, Parliament has stressed the need to attract more self-employed persons and entrepreneurs. In a June 2023 resolution, Members also voiced concerns over the instrumentalisation of migrants as part of hybrid foreign interference strategies, including disinformation campaigns aimed at polarising societies and undermining fundamental rights.

Recent developments

In spring 2024, the Council and Parliament agreed on a new pact on migration and asylum, proposed by the Commission in September 2020. The texts adopted cover asylum and migration management, asylum procedures, the screening of third-country nationals at national borders, Eurodac, and the Crisis and Force Majeure Regulation. The revised Schengen Borders Code, the revised Schengen evaluation mechanism and a new Regulation as regards the Digitalisation of the EU Visa Procedure were also adopted. Work is under way on a package of legislative proposals from November 2023, to prevent and combat migrant smuggling. The package consists of a proposal for a directive on preventing and countering the facilitation of unauthorised entry and stay in the EU, as well as a regulation to strengthen Europol's role in combating migrant smuggling and human trafficking. Additionally, work needs to continue on the recast of the Directive on common standards and procedures in Member States for returning illegally staying third-country nationals, which was proposed in 2018. The Council reached its position in 2019, but the Parliament has not yet done so.

Work on the package of measures on legal migration, tabled in April 2022, will also continue in the new term. While the revised Single Permit Directive was adopted in the spring of 2024, interinstitutional negotiations are ongoing for the Long-term Residents Directive. The proposal to establish an EU talent pool from November 2023 has also not been agreed upon yet. Work on the revision of the visa suspension mechanism, proposed in October 2023, will also continue in the next term. The Council adopted its position on this mechanism in March 2024.

Work on internal security in the EU has been mapped out in the 2020-2025 EU security union strategy. Much progress has been made in recent years, including strengthening the mandates of Europol and the EU Drugs Agency. The EU police cooperation code package has also been adopted, along with the revised Directive on Combating Human Trafficking and the revised Directive on Asset Recovery and Confiscation. However, some major files are still pending, such as the proposal for permanent rules to combat child sexual abuse online. Parliament adopted its position on these rules in November 2023.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Jessika Roswall

Environment, Water Resilience and a Competitive Circular Economy

Confirmation hearing due to be held on Tuesday 5 November, at 18.30.

European Parliament committee responsible: Environment, Public Health and Food Safety (ENVI)

Jessika Roswall is a politician from the Moderate Party in Sweden, affiliated to the European People's Party (EPP).

Prior to her nomination for the post of Commissioner, Roswall was Sweden's minister for European affairs, from October 2022 to September 2024.

Between 2010 and 2022, she served as a member of the Swedish Parliament, holding the position of second vice-president of its EU affairs committee from 2019 to 2022.

Roswall was also a member of the 'transparency councils' of the Swedish Consumer Agency (2015-2018), the County Administrative Board of Uppsala (2016-2022), and the Authority for Work Environment Expertise (2018-2019).

Born in 1972 in the county of Uppsala, Jessika Roswall holds a law degree from Uppsala University. After graduating in 2002, she worked as a lawyer for the law firm Wigert & Placht, from 2002 to 2010.



Jessika Roswall, Sweden.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

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EPRS | European Parliamentary Research Service

Authors: Camille Siefridt and Vivienne Halleux
Members' Research Service

PE 762.438 – October 2024

Fundamentals of the portfolio

Based on the precaution, prevention, rectifying pollution at the source, and 'polluter pays' principles, EU environmental policy is guided by multiannual environment action programmes (EAPs) that set out priority objectives to be attained. The current programme (eighth EAP) runs until 2030. EU environmental protection legislation includes instruments to tackle air, water and soil pollution, to prevent and control industrial emissions, to regulate chemicals, to ensure proper waste management and move towards a more circular economy, as well as to preserve nature and biodiversity. The EU is a party to many international environmental agreements. Funding for environment-related projects is provided through the LIFE programme, which has a budget of €5.4 billion for 2021-2027.

The European Union and the wider world are in the midst of a triple environmental crisis involving climate change, biodiversity loss and pollution. The European Green Deal was designed as a holistic strategy to address these interconnected challenges.

Priorities and challenges

Expectations/public opinion

In a May 2024 Eurobarometer survey, over 75 % of the EU citizens polled thought environmental issues had a direct impact on their daily lives, while 84 % agreed that EU environmental legislation was necessary to protect the environment in their country. Most respondents (84 %) were worried about the impact of harmful chemicals found in everyday products on both human health and the environment. Over half (52 %) considered that the current level of protection from hazardous chemicals was too low. Around 6 in 10 respondents identified plastic waste (61 %) and chemical waste (60 %) as the most problematic waste types in their country. Respondents strongly agreed (92 %) that companies should pay the costs of their pollution. Lastly, 78 % of respondents wanted the EU to introduce additional measures to address water-related problems in the EU.

EU environment policy seeks to ensure that by 2050 at the latest, people can live well within the limits of the planet. Research shows that six out of nine planetary boundaries have already been crossed, particularly in the areas of chemicals, biosphere integrity and freshwater. A recent global foresight report identified a number of global shifts, including humanity's relationship with the environment, increased competition for critical resources and rapid technological development such as digitalisation and artificial intelligence, which are accelerating the environmental triple crisis. The first monitoring report of the European Environment Agency (EEA) on progress towards the eighth EAP objectives concludes that meeting EU environment policy targets by 2030 will be challenging. Twenty out of the 28 headline indicators in the monitoring framework are not on track to reach their 2030 objectives. In its July 2024 report on Europe's sustainability transitions outlook, the EEA stresses the importance of anchoring environmental goals in the EU's strategic priorities for the next political cycle, focusing in particular on competitiveness, security and fairness, in order for the EU to stay on track towards its long-term vision of living well within the planetary boundaries.

In her mission letter to Jessika Roswall, Ursula von der Leyen – Commission President-elect – asks her to develop new initiatives, including a circular economy act, with measures to create market demand for secondary materials and a single market for waste, also focusing on critical raw materials. Roswall is also tasked with developing a chemicals industry package, to simplify REACH and provide clarity on per- and polyfluoroalkyl substances (PFAS); as well as a European water resilience strategy. Roswall will be in charge of updating the bioeconomy strategy and coordinating the new European Bauhaus, while also contributing to the new climate adaptation plan and vision for agriculture and food. A key priority for Roswall will be to ensure proper implementation and enforcement of environment, nature and zero-pollution legislation. A 2019 study for the Commission estimated the costs of not implementing EU environmental law at around €55 billion per year.

The mission letter specifically mandates Roswall to take the EU's zero pollution ambition forward. Some key steps were taken on chemicals in the last term, such as the revision of the CLP Regulation, the 'universal' PFAS restriction proposal under REACH, currently being evaluated by the European

Chemicals Agency, and the presentation of the 'one substance, one assessment' legislative package. However, the revision of the REACH Regulation itself, originally announced for the end of 2022, then delayed to the end of 2023, is overdue. The first synthesis report on the EU indicator framework for chemicals highlights the need to accelerate the shift to safe and sustainable chemicals, and to further reduce the impact of harmful substances on human health and the environment. On pollution more generally, there is a strong signal that the application of the 'polluter pays' principle needs to be improved (widespread PFAS pollution, European Court of Auditors' report). Yet the Commission still has to deliver its evaluation of the 2004 Environmental Liability Directive, which should have been released by 2023. Parliament called for a swift revision and transformation of the directive into a fully harmonised regulation applying to all companies operating in the EU.

Under two successive action plans (2015 and 2020), the EU has put measures in place to enable a transition towards a more circular economy and thereby alleviate pressures on climate and natural resources. Though progress has been made, for instance on recycling and on developing the sharing economy, there is still a long way to go to achieve the ambition of doubling the EU's circularity rate by 2030. Elements to consider for moving forward could include setting possible binding targets on resource use or material footprint, improving the functioning of the single market for secondary raw materials, increasing the uptake of EU funding for circular product design, extending the circular approach to new sectors, and putting a stronger focus on demand-side measures. More effort is also needed to eliminate substances of concern from waste and secondary materials.

With water resources increasingly under stress across Europe, support for action on water resilience is also growing. Advocates of an 'EU Blue Deal', including the European Economic and Social Committee and the European Committee of the Regions, want water to be a strategic priority for the next Commission. The strategic agenda 2024-2029 adopted by the European Council includes a commitment to strengthen water resilience across the EU.

Stakeholders from the entire agri-food chain involved in the strategic dialogue on the future of EU agriculture have also made recommendations for water-resilient agriculture. Moreover, they collectively called on the EU to act on land take, notably by establishing a legally binding objective of 'no net land take' by 2050 and integrating it into an EU Soil Monitoring Law; and to support farmers and other land managers in habitat restoration with a well-resourced nature restoration fund.

Securing adequate funding for implementing commitments made under the Kunming-Montreal Global Biodiversity Framework and the EU biodiversity strategy for 2030 will be a key challenge for the coming years. The mission letter specifically mandates Roswall to design incentives for nature-positive actions and private investment, with a particular focus on nature credits. Actions expected from the Commissioner at international level further include strengthening the EU's global water leadership and striving for an ambitious global treaty on plastic pollution, as the fifth session of negotiations approaches. The discussions on the revision of the Gothenburg Protocol under the UNECE Air Convention are another important upcoming milestone.

The EU cannot curb the global unsustainable exploitation of the planet on its own. Ways to rise to this challenge include enhancing EU green diplomacy, while also developing reciprocity provisions regarding environmental obligations, building on the rules adopted for the importation of food containing neonicotinoid residues or carbon-intensive goods.

European Parliament

Treaty basis and European Parliament competence

EU environmental policy is based on Articles 191-193 of the Treaty on the Functioning of the EU (TFEU). Article 11 TFEU also requires environmental protection to be 'mainstreamed' in other EU policies. The EU and Member States share competence on environmental policy, which is subject to the ordinary legislative procedure (co-decision by the Parliament and Council), with some exceptions requiring unanimity in Council (Article 192 TFEU). Parliament must give its consent for the EU to become a party to international agreements.

In the last term, Parliament helped shape a range of laws under the European Green Deal, securing, for instance, the adoption of the first-ever EU legal framework to tackle EU-driven deforestation, the prohibition of exports of non-hazardous plastic waste to non-OECD countries, and the introduction of a ban on the use of PFAS in food-contact packaging. Parliament also adopted first-reading positions on microplastic pollution from plastic pellets loss; soil monitoring and resilience; and chemical pollutants listed for control in EU freshwater bodies.

Recent developments

In response to the climate and environment emergency, the von der Leyen I Commission established the European Green Deal as the first of its six priorities for 2019-2024. The European Green Deal set a roadmap to make Europe the first climate-neutral continent by 2050, enhance the circular economy, cut pollution and halt biodiversity loss, while mobilising finance for the green transition. Specific strategies translate these overarching goals into action, including the new circular economy action plan, the chemicals strategy for sustainability, the EU biodiversity strategy for 2030, the 'farm-to-fork' strategy for sustainable food and the zero pollution action plan for air, water and soil.

To tackle biodiversity loss and environmental degradation, the EU adopted a new Nature Restoration Law and Regulation on Deforestation-free Products. On the bid for zero pollution, several core laws were revised, including the Industrial Emissions Directive, the Ambient Air Quality Directives and the Directive on urban wastewater treatment. The Commission withdrew its legislative proposal on sustainable pesticide use after Parliament rejected it, noting the need for 'a different approach'.

Action for more circularity has focused both on improving product design and end-of-life management. The EU adopted new legislation to make batteries more sustainable and durable, developed general eco-design requirements for sustainable products and revised existing rules on packaging and packaging waste. It also adopted common rules promoting the repair of goods.

The EU revised its Environmental Crime Directive, with an updated list of offences and penalties.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Piotr Serafin

Budget, Anti-Fraud and Public Administration

Confirmation hearing due to be held on Thursday 7 November, at 14.30.

European Parliament committees responsible: Budgets (BUDG) and Budgetary Control (CONT).

Piotr Serafin is currently acting Permanent Representative of Poland to the EU.

From 2020 to 2023, he was Director of Transport, Telecommunications and Energy in the General Secretariat of the Council of the European Union. From 2014 to 2019, Serafin served as Head of Cabinet for the European Council President, Donald Tusk.

From 2012 to 2014, Serafin held the position of secretary of state for European affairs at the Polish Ministry of Foreign Affairs. Previously, from 2010 to 2012, he served as Deputy Head of Cabinet for the EU Commissioner for Financial Programming and Budget.

From 1999 to 2009, Serafin worked at the Polish Office of the Committee for European Integration, first as a specialist in EU budget and institutional issues, supporting the chief negotiators for Poland's accession to the EU, and then as coordinator and participant in the negotiations on the EU's 2007-2013 multiannual financial framework. Later, he became under-secretary of state and national aid coordinator for the PHARE and Transition Facility programmes.

Born in 1974 in Sulęcin, Poland, Serafin has a degree in economics from the Warsaw School of Economics and a degree in law from the University of Warsaw.



Piotr Serafin, Poland.

IN THIS BRIEFING

- Fundamentals of the portfolio
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Author: Marianna Pari
Members' Research Service

PE 762.451 – October 2024

EN

Fundamentals of the portfolio

Compared to national budgets, the EU's annual budget is relatively small, representing around 1 % of its Member States' gross national income (GNI), and some 2 % of total public spending in the EU.

The 2021-2027 multiannual financial framework (MFF) (the EU's long-term budget) is worth €1 211 billion in current prices. It is supplemented by €806.9 billion from Next Generation EU (NGEU), a novel emergency instrument designed to help mitigate the impact of the pandemic. It is financed through resources borrowed by the EU on the financial markets. To facilitate the repayment of the NGEU debt, a roadmap has been developed for the introduction of new own resources. EU spending is subject to democratic scrutiny, which is implemented through a number of tools, including the discharge procedure, through which the European Parliament holds the European Commission politically accountable for the implementation of the EU budget. The EU's financial interests are protected by the EU Financial Regulation and the Rule of Law Conditionality Regulation.

Priorities and challenges

In her speech before Parliament in July 2024, Commission President-elect Ursula von der Leyen pointed out that to unleash private investment in the EU, more public funding, more investment capacity and a reinforced budget will be necessary. She furthermore emphasised that respect for the rule of law is a must for EU funds. With these words she underlined two key objectives of the new Commission: to find ways to secure additional public investment in the EU, while ensuring that there is a strong focus on the rule of law in implementation of the EU budget.

The **post-2027 MFF**, for which the new Commission is due to present its proposal by 1 July 2025, will be a defining project. In her mission letter to Piotr Serafin, von der Leyen demanded a 'simpler, more focused and responsive' long-term budget, which links reforms with investments, establishes a European competitiveness fund and introduces new own resources. The next MFF will have to address numerous financial challenges facing the EU, including implementing the green and digital transitions, maintaining the EU's support for Ukraine, pursuing enlargement, enhancing EU security and defence capabilities, and – from 2028 to 2058 – repaying the resources borrowed on the markets to finance the NGEU grant component. Parliament is expected to present its ideas in early 2025. New own resources should cover at least the NGEU repayment costs, without reducing other programmes or funds, as agreed in the roadmap for the reform of the EU's own resources.

The new Commission and the Member States will **implement the final phase of the Recovery and Resilience Facility (RRF)**, which is financed by NGEU and set to end in 2026. Scrutiny of the RRF will remain crucial, with an ex-post evaluation scheduled by the end of 2028. Addressing accountability gaps in the RRF setup, which have consistently been pointed out by Parliament and the Court of Auditors, as well as the impact of increased debt resulting from large-scale borrowing to finance NGEU and the risk of re-nationalising EU spending, will be key challenges. These factors need to be taken into account when deciding whether the RRF can serve as a blueprint for future financing instruments and whether more use should be made of performance-based financing.

Another task of Piotr Serafin will be to ensure a **modern, efficient public administration** that can effectively deliver on the EU's priorities. One of the objectives outlined in the 2022 human resources strategy for the Commission was to achieve full gender equality at all Commission management levels by 2024. According to the Commission's activity report for 2022, by the end of 2022, 46 % of management posts were held by women, with 43 % at senior management level, marking a seven percentage-point increase from the beginning of the mandate.

European Parliament

Treaty basis and European Parliament competence

Articles 310 to 325 of the Treaty on the Functioning of the European Union (TFEU) detail the EU's financial architecture. Parliament's powers vary depending on the procedure: while Parliament is on an equal footing with the Council for the annual budgetary procedure (Article 314), Parliament can only give or refuse its consent to the MFF (Article 312). Regarding the EU's own resources (Article 311), Parliament is only consulted. The Financial Regulation and the Rule of Law Conditionality Regulation are based on Article 294, the ordinary legislative procedure. The NGEU instrument was adopted on the basis of Article 122, which allows the Council, on a Commission proposal, to decide on extraordinary measures in situations of crisis. Article 41 of the **Treaty on European Union (TEU)** deals with financing operations under the EU's common foreign and security policy.

In the context of the MFF's revision in 2024, Parliament criticised the significant delay in the start of dialogue with the Commission and the Council. Parliament insisted that in future, cooperation should start at the beginning of any revision, in line with the Treaties and the interinstitutional agreement. For Parliament, the introduction of genuine new own resources is essential for sustainable EU financing in the future.

The political guidelines for the new Commission, emphasise the importance of respecting the **rule of law**, in particular as a condition for disbursing EU funds. This is fully in line with Parliament's stance: Parliament has repeatedly asked the Commission to move quickly to apply the Budgetary Conditionality Regulation when breaches of the rule of law risk impacting the EU's financial interests. Ensuring that the rule of law is upheld will continue to be a priority for Parliament in the new legislative period, with a particular emphasis on Hungary.

Accountability and scrutiny are essential components of a functioning parliamentary democracy and the European Parliament plays a key role in the EU's budgetary scrutiny. Parliament's new Rules of Procedure grant additional scrutiny powers to its Committee on Budgets (BUDG) in the legislative cycle. Rule 58 requires a budgetary assessment for all legal proposals with budgetary implications.

The discharge procedure is a significant instrument for control and scrutiny in Parliament's hands. It involves public debates, notably hearings with Commissioners and the exchange of views with Commission directors-general. Parliament's decisions on discharge are accompanied by a resolution highlighting areas of concern and providing recommendations that the Commission is obliged to address. A key element of the procedure is the annual report by the European Court of Auditors.

Rule 101 of Parliament's Rules of Procedure specifies that the discharge procedure should cover non-traditionally financed instruments, off-budget instruments and performance-based hybrid instruments, and that the Committee on Budgetary Control (CONT) must be involved in the legislative work on these instruments. In line with these rules, Parliament will continue to scrutinise implementation of the grant component of the RRF funds closely, through the discharge procedure.

Recent developments

The EU's budgetary resources for the 2021-2027 MFF, as set in December 2020, were not sufficient to face the multiple crises at hand, most notably Russia's war against Ukraine and its consequences. Parliament demanded an upscaling of the MFF, to allow the EU to deal effectively with the challenges. In February 2024, Parliament and the Council agreed on an unprecedented revision of the MFF ceilings, and secured €50 billion in financial support for Ukraine and €14.6 billion for priorities such as migration, key technologies, and enhanced flexibility of the EU budget. At Parliament's request, the EU recovery instrument was introduced to cover overruns in the borrowing costs for NGEU. The EU's 2025 annual budget will be the first to be set within the new MFF ceilings. In the relevant discussions, Parliament emphasised the importance of complying with the rule of law and the need to ensure that financing of the costs related to NGEU do not affect programmed expenditure.

Regarding **Ukraine**, on 20 September 2024 the European Commission proposed a Ukraine loan cooperation mechanism of up to €45 billion and an exceptional macro-financial assistance (MFA) loan of up to €35 billion. Ukraine would service and repay these loans through future flows of extraordinary revenues stemming from frozen Russian sovereign assets held in G7 jurisdictions. On top of that, the disbursement of the €50 billion Ukraine Facility, as defined in Regulation (EU) 2024/792, continues, contingent on Ukraine implementing the quantitative and qualitative reform steps outlined in the Ukraine plan and adhering to EU values. So far, the EU has paid out €12 billion to Ukraine through the facility.

The **Next Generation EU** recovery instrument has increased EU spending significantly. At its core, the RRF has made €648 billion available to Member States in the form of grants or loans to finance key investment and reform measures, not least in the green and digital transitions. The RRF has a new delivery model that puts performance at the heart of budget spending by basing payments on results achieved rather than costs incurred. Additionally, it is financed through EU borrowing on an unprecedented scale. The Commission's mid-term evaluation in 2024 concluded that, while it was too early to assess its full impact, the RRF had proven key in boosting structural reforms in the Member States. At the same time, owing to the deadline set, implementation of NGEU has come at the cost of delayed implementation of the cohesion funds.

The need to secure resources to finance new budgetary expenditure, notably under NGEU, led to the adoption of the 2020 Own Resources Decision, allowing the Commission to borrow resources from the capital markets. Subsequently, the Commission proposed new additional **own resources** through the EU emissions trading scheme, the new carbon border adjustment mechanism and a temporary statistical own resource based on company profits. While these Commission proposals were endorsed by Parliament, the Council has so far refused to discuss them at political level.

The Budgetary Conditionality Regulation is a powerful tool to protect the EU's financial interests and the **rule of law** within the EU. Its rules include the suspension of payments or commitments of EU programmes in favour of Member States and the reduction of pre-financing, if breaches affect the sound financial management of the EU's budget or the protection of its financial interests in a sufficiently direct way. The regulation has been applied in relation to funding for Hungary.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Dan Jørgensen

Energy and Housing

Confirmation hearing due to be held on Tuesday 5 November, at 14.30.

European Parliament committees responsible: Industry, Research and Energy (ITRE); Employment and Social Affairs (EMPL)

Dan Jørgensen has most recently served as Danish Minister for Development Cooperation and Minister for Global Climate Policy. His role has been to oversee Denmark's international development initiatives and global climate policies, including co-facilitating COP28 climate negotiations and co-chairing a number of working groups and alliances.

Jørgensen is a member of the Social Democratic Party in Denmark, which is affiliated to the S&D group in the European Parliament. He has been a member of the Danish parliament since 2015 and previously served as Minister for Food, Agriculture and Fisheries, as well as Minister for Climate, Energy and Utilities, where he co-facilitated COP26 and COP27 negotiations and served as chair of the International Energy Agency's Global Commission on People-Centred Clean Energy Transitions.

Jørgensen was a Member of the European Parliament (2004-2013), where he served as vice-chair of the Committee on Environment, president of the Animal Welfare Intergroup and head of the Danish delegation of Social Democrats (2009-2013).

Born in 1975, Jørgensen holds a master's degree in political science from Aarhus University. His professional career also includes academic positions as adjunct professor and external lecturer.



Dan Jørgensen, Denmark.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

EPRS | European Parliamentary Research Service

Authors: Monika Dulian, Agnieszka Widuto and Marketa Pape
Members' Research Service

PE 762.431 – October 2024

Fundamentals of the portfolio

Current EU energy policy is based on the energy union strategy dating back to 2015, which aimed to ensure an affordable, secure and sustainable energy supply for EU citizens and businesses. In recent years, legislative activity has been guided by the European Green Deal, a set of policy initiatives contributing to the EU's goal of becoming climate neutral by 2050. The European Climate Law, adopted in 2021, enshrined into law the objective of a minimum 55 % reduction in net greenhouse gas (GHG) emissions by 2030 (compared with 1990 levels) and the 2050 climate-neutrality goal.

To meet these goals and ensure a profound energy transition (from fossil fuels to low-carbon and renewable energy sources, improving energy efficiency across economic activity), the EU decided to overhaul its climate and energy legislation with the 'fit for 55' package proposed in July 2021 and adopted in autumn 2023. The objectives set in the original 'fit for 55' package were modified by the REPowerEU plan, aimed at phasing out dependency on Russian fossil fuels in response to the full-scale Russian invasion of Ukraine in 2022. The plan intended to increase the security of energy supply by diversifying it, saving energy and boosting the clean energy transition. The price spikes and disruptions of supply that followed the invasion required a bold crisis response by the EU.

Priorities and challenges

Expectations/public opinion

In a 2023 Eurobarometer survey on EU priorities and challenges, 86 % of EU citizens polled supported gas storage as a way to avoid the risk of shortages. Furthermore, 85 % of respondents believed that the EU should boost the manufacturing of clean technologies within Member States and 79 % thought that EU measures should focus on reducing energy consumption. The poll also indicated strong support for the sustainable use of natural resources (86 %), for the joint gas purchase by Member States to ensure security of supply (82 %) and for building partnerships with global energy players (81 %). In a slightly more recent Eurobarometer survey, 83 % of respondents agreed that the EU should invest extensively in renewable energies and 81 % believed the EU should reduce its dependency on Russian sources of energy.

In her political guidelines for the new Commission, Commission President-elect Ursula von der Leyen highlighted the need to restore competitiveness. She proposed a clean industrial deal to decarbonise the economy and cut energy prices by 'simplifying, investing and ensuring access to cheap, sustainable and secure energy supplies and raw materials'. A new European competitiveness fund will be a tool for investing in strategic technologies (e.g. clean tech), to be made in the EU. In her mission letter to Jørgensen, von der Leyen set out various tasks. The legislative initiatives included implementation of the 2030 framework, review of energy union governance, security of supply and the 'citizens energy' package. Other initiatives included action plans on affordable energy prices and electrification, a roadmap towards ending Russian energy imports, a clean energy investment strategy for Europe, and a strategic roadmap for digitalisation and artificial intelligence in the energy sector. Jørgensen is also expected to engage in improving EU grids, small modular reactors, nuclear safety, aggregate demand mechanisms, carbon capture, utilisation and storage, energy taxation, fossil fuel subsidies and energy diplomacy, as well as the EU vision for COP30.

High energy prices are a challenge for the EU, especially when compared with other leading economies such as the US and China. The ongoing energy transition, based on energy efficiency, home-grown renewables and decreased dependence on external energy suppliers, could help tackle the high energy costs, provided the right instruments are chosen. According to EPRS estimates, EU budgetary, regulatory and coordination actions to transform energy systems could bring in over €464 billion per year by 2030 and €1 029 billion by 2050. Recently, industrial competitiveness has gained prominence, with several initiatives aimed at better connecting it to climate and energy policy (including the Net-Zero Industry Act and Critical Raw Materials Act). The Strategic Agenda adopted by the June 2024 European Council placed a stronger focus on competitiveness compared to the agenda adopted 5 years ago. Similar concerns were voiced during the election campaign for the European Parliament, with citizens viewing energy policy though a prism of competitiveness.

European Parliament

Treaty basis and European Parliament competence

Article 194 TFEU is the legal basis for EU energy policy. It outlines four main areas for EU action: the functioning of the single energy market; security of energy supply; energy efficiency and renewables; and the interconnection of energy networks. It also specifies that Member States are entitled to determine their energy mix. Legislation under Article 194 TFEU usually follows the ordinary legislative procedure, which gives equal weight to the Council and the Parliament. However, an exception is made for measures 'primarily of a fiscal nature' such as energy taxation. In these cases, the Council decides alone, under a special legislative procedure requiring unanimous agreement, with Parliament having only a consultative role.

Article 122 TFEU grants the Council the right to decide unilaterally (following a proposal by the Commission) in cases of an economic emergency in the energy sector. This provision was used during the 2022 energy crisis, with Council adopting several emergency regulations (see below). In recent changes to its Rules of Procedure, the Parliament established a new procedure to follow when Article 122 TFEU is used as a legal basis (Rule 138). This procedure provides a framework for the Commission to explain to Parliament the reasons for choosing Article 122 and a procedure for Parliament's Committee on Legal Affairs to verify those reasons.

During its previous term, the Parliament repeatedly underlined the importance of reducing energy consumption, keeping energy affordable, and ensuring that the burden of the green transition does not weigh disproportionately on vulnerable citizens and regions. Parliament stressed the urgent need to accelerate the deployment of renewables, held back by administrative obstacles and an under-developed grid and storage infrastructure. The EU should also capitalise on the under-used potential of the internal energy market and energy system integration. Parliament consistently advocated a ban on the import of Russian gas and called for a comprehensive strategy for the deployment of small modular reactors in the EU. Additionally, Parliament proposed to substantially increase the budget of the European Hydrogen Bank, with a focus on supporting hard-to-abate industries and heavy transport. Parliament also recommended that the Commission not only present a geothermal strategy but also facilitate the establishment of a 'geothermal alliance'.

Recent developments

All files under the 'fit for 55' package of legislative initiatives (except the one on the energy taxation directive) were successfully negotiated between the Parliament and the Council and entered into force in 2023 and 2024. The gist of these initiatives is described below.

Energy efficiency. The revised Energy Efficiency Directive (EED) makes it binding for EU countries to collectively ensure an additional 11.7 % reduction in energy consumption by 2030.

Renewables. The Renewable Energy Directive (RED) was comprehensively revised to include a binding EU-wide target of at least 42.5 % for the share of renewables in final energy consumption by 2030, as well as sub-targets for transport, buildings, industry, and heating and cooling.

Electricity markets. The 2024 EU electricity market reform includes two new regulations: on electricity market design and on protection against wholesale energy market manipulation. Focused on consumer protection, it offers more fixed-priced contracts and stronger supplier obligations. It incentivises energy suppliers to invest in renewable and low-carbon energy by supporting the use of long-term instruments, such as power purchase agreements and contracts for difference.

Hydrogen and gas markets. This package consists of the revised Gas Regulation and Gas Directive. It aims to facilitate the integration of renewable and low-carbon gases into the existing gas network, and create a market for hydrogen, including by building a cross-border hydrogen infrastructure. These texts also pave the way for a permanent gas demand aggregation platform. To ensure the phase-out of fossil fuels, long-term contracts for fossil gas must end no later than December 2049.

Energy crisis response. Along with REPowerEU, a series of emergency Council regulations were adopted. These include regulations on gas consumption reduction (by 15 %); on an emergency

intervention to address high energy prices, establishing a common gas purchase platform (the Solidarity Regulation); on accelerating the deployment of renewable energy and on establishing a market correction mechanism. Only the Storage Regulation, requiring Member States to fill their gas storage to 90 % before winter, was adopted under the ordinary legislative procedure with Parliament's involvement.

Housing

As housing affordability has become a growing issue across the EU, housing has been included in Jorgensen's portfolio. The EU has no direct competence in housing, but it supports Member States through recommendations, data collection, exchange of best practice, and funding. The EU has an indirect influence on housing provision as well through its fiscal, competition and State aid rules. The right to housing is built into the European Pillar of Social Rights and was further developed in the EU Urban Agenda. The recently adopted Climate Law has given momentum to the renovation wave strategy (including an affordable housing initiative), aimed at improving the energy efficiency of buildings, reducing energy poverty and improving housing quality. The revised Energy Performance of Buildings Directive (EPBD) sets a goal to fully decarbonise buildings by 2050. It mandates that all new residential buildings should be zero-emission by 2030 and new public buildings by 2028. The EPBD also encourages the phasing-out of boilers powered by fossil fuels and their replacement with solar thermal boilers or heat pumps. It also promotes the decarbonisation of electricity systems.

The combating homelessness platform supports various activities such as evidence-gathering, mutual learning and schemes facilitating access to finance. Jørgensen is tasked with preparing a European affordable housing plan. Another of his tasks is to help develop an EU strategy for housing construction to support housing supply, reduce building costs, ensure enough skilled workers, and improve productivity and environmental performance of construction. Addressing systemic issues with short-term accommodation rentals is yet another area he must tackle. With the current EU budget set to be renegotiated by 2027 and a new economic governance framework in place, Jørgensen is also tasked with helping Member States double their investment in affordable housing under cohesion policy, and with creating, in partnership with the European Investment Bank, an investment platform for affordable and sustainable housing.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Ekaterina Zaharieva

Start-ups, Research and Innovation

Confirmation hearing due to be held on Tuesday 5 November, at 9.00.

European Parliament committee responsible: Industry, Research and Energy (ITRE)

Ekaterina Zaharieva is currently a member of the Bulgarian National Assembly, representing the Citizens for European Development of Bulgaria party (EPP).

Having served in several Bulgarian governments, Zaharieva held the dual position of deputy prime minister for judicial reform and minister of foreign affairs from 2017 to 2021. Earlier, she served as minister of justice from 2015 to 2017, as deputy prime minister for economic policy and minister of regional developments and public works in 2013 and 2014, and as deputy minister of regional development and public works from 2009 to 2011. Between 2011 and 2015, she acted as head of cabinet and secretary general to the President of the Republic of Bulgaria.

After earning a master's degree in law from Paisii Hilendarski University in Plovdiv, Zaharieva had followed a career as a lawyer, and then as a civil servant from 2017 to 2021.

Zaharieva was born in Pazardzhik, Bulgaria, in 1975.



Ekaterina Zaharieva, Bulgaria.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Clement Evroux
Members' Research Service

PE 762.442 – October 2024

EN

Fundamentals of the portfolio

Research and innovation are major drivers of prosperity through several complementary channels. New knowledge and solutions can create new market opportunities, while also increasing the productivity of the economy as a whole. According to the latest data from Eurostat, research and development (R&D) intensity in the EU (the EU's gross domestic R&D expenditure as a percentage of gross domestic product – GDP) amounted to 2.24 % (with large differences between Member States) in 2022. According to 2021 figures, the EU's main international partners invest a greater share of their GDP: the United States invests 3.4 % and South Korea 4.9 %. This figure is far below the 3 % target first set by the European Council in 2002 (to be reached by 2010). Beyond the size of the gap, its structure also matters. In 2022, while the EU and US shared a similar intensity of public spending in research and innovation (R&I), EU business expenditure on R&D (1.48 % of GDP) amounted to only slightly more than half the corresponding figure for the US (2.68 % of GDP). This situation has several causes, including the limited capacity of EU business ecosystems to absorb new solutions, such as ICT innovations.

R&I is also a key policy domain for addressing global challenges such as health, climate change and biodiversity loss. The magnitude of these challenges calls for cooperation across scientific disciplines, economic sectors, and borders, to ensure evidence-based policymaking. This is particularly important for optimising EU crisis preparedness and response.

In the current context of geopolitical tensions, R&I is also essential for strengthening EU strategic autonomy, not least through its capacity to create new knowledge and skills, and by attracting global talents to the EU. It is important to establish the necessary framework conditions for scientific and innovation creation, while also safeguarding against specific risks such as foreign interference.

The mission letter to Zaharieva contains a set of EU legislative initiatives. These include a European research area act, a European innovation act and an advanced materials act. These initiatives represent a policy precedent in this sector, as EU legislative initiatives have historically focused on EU framework programmes for R&I. The mission letter also invites Zaharieva to expand the European Research Council and the European Innovation Council in order to create an EU artificial intelligence research council, whilst ensuring the financial sustainability of EU R&I infrastructure, reinforcing international cooperation and supporting young researchers.

Priorities and challenges

Expectations/public opinion

According to the standard Eurobarometer 101 survey conducted in April and May 2024, around 12 % of EU respondents believe that inventions, science and technology contribute the most to a feeling of community among EU citizens, ahead of economy, healthcare and sports.

As highlighted in the single market report by Enrico Letta, and then in Mario Draghi's report on EU competitiveness, the two main challenges of EU R&I policy are: i) reversing the declining productivity of the EU economy and closing the competitiveness gap with other global scientific and economic powers; and ii) reducing the fragmentation of the European research area to allow for the free circulation of knowledge and researchers, referred as the 'fifth freedom' in the Letta report.

Against this backdrop, and taking into account the outcome of the interim evaluation of Horizon Europe, the ninth EU framework programme for research and innovation, the Commission is expected to publish its proposal for the next EU framework programme in 2025. While a majority of stakeholders call for continuity in the architecture and rules, the vast majority also favour a budget increase, which may require a reduction in the number of the programme's priorities.

A last set of challenges relates to promoting the framework conditions needed to facilitate the creation of knowledge and its dissemination. This includes open data, intellectual property and regulatory sandboxes.

European Parliament

Treaty basis and European Parliament competence

Article 3(3) of the Treaty on the Functioning of the European Union (TFEU) specifies that the Union 'shall promote scientific and technological advance'. Article 179 TFEU sets the objective to achieve a European research area where 'researchers, scientific knowledge and technology circulate freely', together with the objective of strengthening the EU's scientific and technological bases. In addition to the EU framework programme for research and innovation (currently Horizon Europe), the EU can, applying the ordinary legislative procedure, adopt measures in addition to the framework programmes, whenever such measures are necessary for the implementation of the European research area.

Parliament fulfils its role as co-legislator by examining relevant legislative proposals (such as on Horizon Europe and on the Strategic Technologies for Europe Platform (STEP) Regulation). It also scrutinises Horizon Europe's implementation through a dedicated working group set up by the Committee on Industry, Research and Energy (ITRE). It then conveys horizontal policy messages and instructions to the Commission and the Council through its resolutions.

In a resolution of 17 January 2024 on the promotion of the freedom of scientific research in the EU, Parliament requested the Commission to submit a legislative proposal to safeguard the freedom of scientific research among academic research organisations. In a resolution of 9 May 2023 on critical technologies for security and defence, Parliament welcomed the Commission proposal to bridge the current divide between civil, defence and security research, development and innovation. In a resolution of 8 April 2022 on a global approach to research and innovation (R&I), Parliament expressed support for the openness of EU R&I. Noting the new framework for association with EU framework programmes, it called on the Council and the Commission to enhance its role in the implementation of such association agreements.

Recent developments

On the institutional side, between 2019 and 2024, in line with the shared competence on EU R&I policy, the EU carried out two main complementary activities: a) adopting and implementing Horizon Europe; and b) adopting and implementing the new policy agenda on the European research area. Horizon Europe invests in R&I activities across all scientific and industrial sectors, while the initiatives on the European research area aim to coordinate Member States' scientific policy initiatives, including in the area of scientific employment and knowledge valorisation.

Horizon Europe

The 2021 regulation, which established Horizon Europe, laid down the following general objective for the programme: 'to deliver scientific, technological, economic and societal impact … to strengthen the scientific and technological bases of the Union … and to contribute to the realisation of Union objectives and policies'. The programme is subdivided into three main parts or 'pillars': (pillar I, excellent science; pillar II, global challenges and European industrial leadership; pillar III, innovative Europe), and a horizontal part (European research area, widening participation).

The available budget for 2021-2027 is €95.5 billion (2018 prices), which corresponds roughly to a range of around 9-11 % of the corresponding expenditure of Member States (including the higher education sector) on an annual basis. Since 2021, Horizon Europe activities have supported more than 11 500 projects, gathering more than 78 000 participants, including more than 15 000 SMEs, through an EU contribution of up to €33.59 billion (data available on 26 June 2024).

Horizon also contributes to the overarching political priorities of the EU. For health and resilience, to ensure EU preparedness and response, Horizon Europe funds a European partnership on pandemic preparedness to federate the relevant EU scientific and medical institutions, based on a common research and innovation agenda. For the ecological transition, by 2027 Horizon Europe is expected to have invested €1 billion in climate science to provide the knowledge basis needed to

implement evidence-based policies. 35 % of the Europe Horizon budget will be directed towards climate-friendly projects. For the digital transition, Horizon Europe supports several kinds of emerging technologies of relevance to EU strategic autonomy, such as supercomputing and quantum. To advance knowledge and the uptake of results and solutions across these priorities, international cooperation is a strong asset. Since the launch of Horizon Europe, 18 third countries, including Israel, the United Kingdom and New Zealand have been associated with Horizon Europe, while Canada's association is expected to be applicable by the end of 2024.

In the context of geopolitical tensions, the EU's global approach to research and innovation has also developed safeguards against foreign interference in EU scientific endeavours, including a proposal for a Council recommendation on research security.

European research area (ERA)

The Commission presented its 2019-2024 priorities in the 2020 communication on a new ERA for R&I. It pursues two main objectives: a) ensuring the alignment between R&I investments and the EU's political priorities; and b) developing strategic priorities with Member States. The pact for R&I in the EU was adopted as a Council recommendation in 2021. It includes four dimensions:

- a set of common values and principles for R&I in the EU, which Member States and stakeholders should apply and promote (such as academic freedom);
- the identification of areas for joint actions among Member States and the EU, including initiatives to support young researchers, open science and world class scientific infrastructure;
- prioritisation of investment and reforms to ensure an appropriate level of investment;
- a framework for policy coordination and monitoring by the Member States and the EU, based on the ERA policy agenda approved by the Council, which sets out the joint ERA actions.

In 2023, the Council adopted a recommendation on a European framework to attract and retain research, innovation and entrepreneurial talents. It sets out general principles and guidelines relating to the recruitment and employment of academic researchers.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Michael McGrath

Democracy, Justice and Rule of Law

Confirmation hearing due to be held on Tuesday 5 November, at 9.00.

European Parliament committees responsible: Civil Liberties, Justice and Home Affairs (LIBE), Internal Market and Consumer Protection (IMCO) and Legal Affairs (JURI).

Michael McGrath (born in 1976), is an Irish politician, a member of the Fianna Fáil party, which belongs to the Renew Europe group in the European Parliament. He holds a bachelor's degree in commerce from University College Cork (1997).

Most recently, he was minister for finance (2022-2024) and before that, minister for public expenditure and reform (2020-2022).

McGrath has been a member of the lower house of the Irish Parliament (the Oireachtas) for the Cork South-Central constituency since 2007.

Between 2011 and 2020 he was lead opposition spokesperson on finance on behalf of Fianna Fáil. Before joining the Irish Parliament, McGrath was an elected local government representative on Cork County Council (2004-2007) and Passage West Town Council (1999-2007).

McGrath's professional experience includes being head of management information and systems at University College Cork (2003-2005), financial controller at RedFM (2001-2003), and a chartered accountant at KPMG (1997-2001), as well as a board member of Léargas (2000-2007).



Michael McGrath, Ireland.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

Author: Rafał Mańko
Members' Research Service

PE 762.432 – October 2024

EN

Fundamentals of the portfolio

The newly created portfolio for **Democracy, Justice and Rule of Law** – assigned by Commission President-elect Ursula von der Leyen to Michael McGrath – expands the previous **Justice** portfolio held by Didier Reynders. In addition to the previously included areas of rule of law, judicial cooperation, consumer protection and data protection, it now includes **democracy** and **fundamental rights**.

In her mission letter, von der Leyen asks McGrath to maintain dialogue with Parliament on its indirect legislative initiatives under Article 225 of the Treaty on the Functioning of the EU (TFEU), as well as to organise, within 100 days of taking office, the first edition of a **youth policy dialogue**. McGrath will be responsible for reducing **reporting burdens** on businesses by at least 25 % (35 % as regards small and medium-sized enterprises). He is tasked with organising two **implementation dialogues** per year involving stakeholders, and preparing an annual implementation and enforcement report in his areas of responsibility. In the area of **democracy**, McGrath will be responsible for the European democracy shield, combating foreign information interference and disinformation, maintaining the fairness and integrity of elections and ensuring media independence. He will also be responsible for setting up a **civil society platform** to strengthen civil society, activists and human rights defenders.

In the area of **fundamental rights** he will be in charge of monitoring the application of the **EU Charter** and EU accession to the European Convention on Human Rights (**ECHR**), as well as overseeing the functioning of the European arrest warrant.

In the area of the **rule of law**, McGrath will be in charge of the Commission's annual rule of law reports and is specifically tasked with adding a single market dimension to the report. He will work with the Commissioner for Budget, Anti-Fraud and Public Administration in developing a European anti-corruption approach and ensuring that respect for the rule of law is a precondition for obtaining access to EU funds.

In the area of **company law**, he will be in charge of developing a harmonised set of rules for EU companies (a European '28th regime' on top of the 27 legal systems of the Member States).

In the area of **consumer policy**, he will lead in developing the next consumer agenda 2025-2030, and in the area of data protection he will be in charge of overseeing the enforcement of the General Data Protection Regulation (GDPR). He will also be in charge of preparing a **Digital Fairness Act** to tackle unethical digital techniques and commercial practices. Finally, he will reflect on the possible expansion of the sphere of powers of the **European Public Prosecutor's Office** (EPPO).

Priorities and challenges

Expectations/public opinion

In a 2023 Eurobarometer survey on democracy, only 10 % of EU citizens polled were 'very satisfied' with the way **democracy worked in their country**, while a further 37 % were 'somewhat satisfied', and the majority (51 %) were not satisfied. They stated that the two main **threats to democracy** were false and/or misleading information (38 %) and growing distrust and scepticism towards democratic institutions (32 %). In a 2024 Eurobarometer survey on the rule of law, the vast majority of EU citizens polled (89 %) found it important that all Member States respect EU values, including the **rule of law**, and 86 % considered it important that **media and civil society** organisations in all other EU Member States be able to operate freely and without pressure. A clear majority (72 %) believed that the EU plays an important role in helping **uphold** the rule of law in their country. However, a June 2024 Eurobarometer survey found that EU citizens were not fully satisfied with the quality of **judicial independence in their Member States** – with as many as 37 % of them finding it bad or even very bad. In a 2024 special Eurobarometer survey on the Digital Decade respondents specified **misuse of personal data (46 %)** and **fake news and disinformation (45 %)** as issues having the biggest personal impact. In the framework of the Conference on the Future of Europe (2021-2022), citizens voiced expectations concerning the EU's role in the area of justice and the rule of law, with several contributions highlighting the need for stronger EU action to uphold the rule of law, and calling for a high level of data protection and stringent implementation.

A flagship initiative in the area of **democracy** will be the European democracy shield aimed at countering foreign information manipulation and interference online. In her address to the European Parliament on 18 July 2024, von der Leyen stated that 'the Shield will take into account recommendations from the work of the special committees on foreign interference, to better protect our democracies'. Forthcoming challenges include the application and policing of online content in line with the requirements of the Digital Services Act and the Artificial Intelligence Act. Regarding the **rule of law**, the latest rule of law report (July 2024) revealed that many Member States still have a lot to accomplish when it comes to ensuring the **independence of the judiciary and prosecution services**. Some Member States are actually facing a deteriorating situation concerning **media freedom**, **checks and balances** and the space for **civil society**. In the area of **civil law**, in 2022 the Commission published a proposal for a directive on adapting non-contractual civil liability rules to ensure an adequate level of protection for persons harmed by artificial intelligence (AI) systems (the **AI liability directive**). The EPPO has yet to unleash its full potential, and there are ongoing discussions about expanding its area of competence.

European Parliament

Treaty basis and European Parliament competence

Democracy and the **rule of law** – two of the EU's fundamental values – are enshrined in Articles 2 and 7 of the Treaty on European Union (TEU). The rule of law is also enshrined in Article 19 TEU as a requirement for **effective judicial protection**, and in Article 47 of the Charter of Fundamental Rights as a **fundamental right**. Article 6(2) TEU obliges the EU to become a party to the **European Convention on Human Rights**. Article 10(1) TEU states that the EU is founded on **representative democracy**. Parliament has the authority to trigger Article 7 TEU proceedings if a Member State is in breach of any one of the EU values, including the rule of law. In the areas of **civil justice** and **private international law** (Article 81 Treaty on the Functioning of the EU, TFEU), the ordinary legislative procedure (OLP) applies, except for legislation concerning **family law** matters, where a special legislative procedure (SLP) applies. **Criminal justice** falls under Articles 82-86 TFEU (OLP, with the exception of Article 86 on the EPPO – SLP, enhanced cooperation). Both in the case of criminal procedure (Article 82) and substantive criminal law (Article 83), brake/accelerator clauses apply. EU action in the area of **data protection** is based on Article 16 TFEU (OLP). **Consumer protection** laws, as well as certain **civil procedure** laws, are adopted on the basis of Article 114 TFEU (OLP).

During its 2019-2024 term, the Parliament established two successive temporary parliamentary committees on **foreign interference** in democratic processes in the EU, including disinformation. In resolutions adopted in March 2022 and June 2023, respectively, Parliament called for a common strategy to deal with foreign interference and disinformation campaigns, including by supporting independent media channels, fact-checkers and researchers. Again during its previous term, Parliament supported the Commission's efforts to **uphold the rule of law** and called for more action on its part, also with regard to the **primacy of EU law** (resolution of 21 November 2023).

Parliament has also closely monitored the Commission's implementation of the General Conditionality Regulation and the oversight of progress on the rule of law in the context of recovery and resilience plans. In its most recent resolution of 18 January 2024, Parliament criticised the Commission for unblocking Hungary's Recovery and Resilience Facility funds despite ongoing concerns about that Member State's rule of law record. Parliament's concern for **data protection and privacy** is also reflected in a range of recommendations, resolutions and mission reports. It drew firm conclusions about the abuse of spyware in the EU, objected to the Commission's draft adequacy decisions for the United States and the United Kingdom, and has called repeatedly for stringent implementation of the GDPR. Parliament has also **systematically commented on the annual rule of law reports**. In its recent resolution on the third rule of law report (2023), Parliament welcomed the addition of **country-specific recommendations** but called once again on the Commission to expand the scope of its reporting to cover all values enshrined in Article 2 TEU and the entire rule of law checklist of the Council of Europe's Venice Commission. It also urged the Commission to enter into negotiations on an interinstitutional agreement creating an EU mechanism on democracy, the rule of law and fundamental rights.

Recent developments

The outgoing Commission's term saw numerous initiatives in various areas covered by this portfolio. In the area of media freedom, these initiatives included the adoption of the anti-SLAPP Directive to protect journalists and activists from abusive litigation, and the European Media Freedom Act to safeguard EU journalists and media from political or economic interference. In the area of **justice cooperation, i**nitiatives include the adoption of rules on the e-CODEX platform and on digitalisation of judicial cooperation. The area of **criminal justice** was reinforced through the launch of the European Public Prosecutor's Office (EPPO).

In the area of **digital policies**, the EU legislature adopted the Digital Services Act, which imposes asymmetric obligations on very large online platforms and search engines, particularly regarding the **removal of illegal online content** related to foreign interference, misinformation or content harmful to minors. Adopted in 2024, the Artificial Intelligence Act (AIA) lays down harmonised rules on artificial intelligence (AI), including clear requirements and obligations for specific uses of AI. One of the AIA's objectives is to enable users to identify AI-generated content that includes deep fake audio and video, which must be labelled as such.

Regarding **data protection**, the Commission tabled a proposal on GDPR procedural rules to streamline the handling of cross-border cases across the EU. In **consumer law**, the Commission adopted a report on the implementation of the directive on the better enforcement and modernisation of Union consumer protection rules. Additionally, work is ongoing on a review of the Consumer Protection Cooperation Regulation. A report on the outcome of the fitness check of EU consumer law in the context of digital fairness, published on 3 October 2024, focuses on directives related to unfair commercial practices, consumer rights and unfair terms.

Finally, technical negotiations on EU accession to the ECHR were finalised in March 2023.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Apostolos Tzitzikostas

Transport and Tourism

Confirmation hearing due to be held on Monday 4 November, at 18.30.

European Parliament committee responsible: Transport and Tourism (TRAN)

Apostolos Tzitzikostas has been First Vice-President of the European Committee of the Regions (CoR) since 2022. Having joined the CoR in 2015, he served as its President from 2020 to 2022.

Governor of the Central Macedonia Region since 2014, Tzitzikostas has been president of the Association of Greek Regions since November 2019.

From 2010 to 2014, Tzitzikostas served as the deputy regional governor for the Central Macedonia Region and head of the Thessaloniki Metropolitan Area.

From 2007 to 2009, Tzitzikostas was a member of the Greek Parliament with the Nea Demokratia Party (EPP).

Born in 1978, Tzitzikostas graduated in government and international relations at Georgetown University, Washington DC, in 2000. He then earned a master's degree in European Public Policy and Economics from University College London.



Apostolos Tzitzikostas, Greece.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

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EPRS | European Parliamentary Research Service

Author: Monika Kiss
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PE 762.446 – September 2024

Fundamentals of the portfolio

Transport enables the free movement of people across the EU and beyond, and contributes to cohesion and competitiveness within the internal market. It accounts for about 5 % of the EU's gross domestic product (GDP) and therefore has an important influence on economic growth and employment. Some 10.2 million people are directly employed in the sector. Transport emissions, currently at around 25 % of total EU greenhouse gas emissions, are on the increase.

Dating back to the Treaty of Rome, European transport policy has evolved significantly over time, expanding to encompass various new aspects such as technical advancements, fuel sources, transport networks and funding. While transport policy is one of the EU's first common policy areas, the implementation of EU legislation and concrete measures in the Member States lies with the competent national, regional and local authorities. A milestone in EU transport policy was the 2011 strategy, seeking to develop a single European transport area, reduce the EU's dependence on imported fossil fuels, cut CO_2 emissions in transport by 60 % by 2050 and modernise the transport system. However, these objectives fell short of the targets set during the December 2015 Climate Conference in Paris (COP21). As a result, the Commission adopted an action plan – the European Green Deal. In December 2020, the Commission published its sustainable and smart mobility strategy, designed to make the EU's transport system more sustainable, digital and resilient, in line with the European Green Deal and the EU's digital strategy. In December 2022, the Council outlined the European agenda for tourism 2030, a comprehensive programme covering the green and digital transition, resilience, inclusion, skills and support, the relevant policy framework and governance.

Priorities and challenges

Expectations/public opinion

A Eurobarometer survey on passenger rights, published in July 2024, shows that the use of transport services in the EU has decreased slightly compared with 2019 figures (73 % versus 74 %), especially in air transport (-4 %) and road transport (-2 %). Awareness of passenger rights is most widespread for rail transport (33 %), followed by air transport (30 %). Some 47 % of rail passengers had experienced at least one disruption in their journey during the previous 12 months, mostly due to departure delays; this was 9 % more than in 2019. For air travellers, these disruptions account for 30 % of their journeys, 2 % more than in 2019.
In a survey on the digitalisation of travel documents, published in September 2023, 68 % of EU citizens polled were in favour of using digital travel documents for extra-Schengen travel, and 66 % would prefer to use a single application for digital travel documents at EU level, rather than one for each Member State.

In her political guidelines for the new Commission, President-elect Ursula von der Leyen stated that the new Commission will prioritise investment in clean energy infrastructure and technologies, including transport infrastructure and the deployment of a hydrogen network. Another focus will be a strengthened cohesion and growth policy, especially in remote regions. The success of this policy will depend greatly on reforms and investment in transport and digital connectivity. Through the Global Gateway initiative, the EU intends to invest in transport corridors, ports, renewable energy generation and green hydrogen production to help developing countries.

The European Council's 2024-2029 strategic agenda states that, on the path towards climate neutrality by 2050, enhanced electrification using all net-zero- and low-carbon solutions, and investment in grids, storage and interconnections are required, especially in transport.

According to the mission letter outlining his responsibilities, Tzitzikostas will have to ensure that the missing parts of the trans-European transport network (TEN-T) are built by 2030, along with the swift deployment of charging infrastructure with harmonised charging fees and payment methods. The Commission is to submit plans for a high-speed rail network connecting EU Member State capitals and a comprehensive EU port strategy. Moreover, Tzitzikostas will have to ensure that the EU transport system is further digitalised through the deployment of intelligent transport systems, smart mobility solutions and the European rail traffic management system (ERTMS). To this end,

strong transport connections have to be made with neighbouring regions, and a comprehensive dialogue has to be started to address inefficiencies within the Single European Sky. By the end of 2025, the Commission is required to publish a first progress report on the European declaration on cycling. Transport security, including cybersecurity, needs to be reinforced, necessitating cooperation with the Commissioner for Defence to ensure smooth continent-wide military mobility.

Decarbonisation efforts should be enhanced through a sustainable transport investment plan and proposals for clean corporate fleets. The single market for transport services has to be strengthened, and there is a need for a regulation on single digital booking and ticketing, allowing the use of one ticket during a multimodal trip. The EU automotive sector needs an industrial action plan, and the maritime manufacturing sector needs a new industrial strategy. Regarding future means of transportation, the use of cutting-edge technologies, such as Hyperloop, should be explored. The social dimension of transport – including transport poverty, access in rural areas, as well as skilled worker shortages – should also be addressed. Finally, a resilient and competitive tourism sector should be developed, in line with the EU agenda for tourism 2030.

European Parliament

Treaty basis and European Parliament competence

Article 4(2)(g) (Title I) and Articles 90 to 100 (Title VI) of the Treaty on the Functioning of the European Union cover transport; and Article 4(2)(h) (Title I) and Articles 170 to 172 (Title XVI) deal with trans-European networks (TEN-T). The EU shares competence with the Member States in the area of transport and the TEN-T. As the ordinary legislative procedure applies to both areas, the Council and Parliament act as co-legislators.

Parliament was a co-legislator for the European Climate Law and the 'fit for 55' initiative. During the legislative process relating to the Green Deal, such as on the Alternative Fuels Infrastructure (AFIR) and RefuelEU Aviation Regulations, Parliament succeeded in raising the Commission's initial targets.

Parliament has influenced policymaking on transport through several own-initiative resolutions. In its 2020 resolution on the Green Deal, Parliament called for a more comprehensive urban mobility plan to reduce congestion and improve liveability in towns and cities. This included support for zero-emission public transport, and cycling and walking infrastructure. In May 2023, Parliament's own-initiative resolution on urban mobility urged Member States to develop safe, accessible, affordable, smart, resilient and sustainable urban transport systems. It also called for their financial, fiscal and regulatory support to help transport providers and users transition to these systems.

Parliament also played an important role in promoting healthy and green transport options. On 31 January 2023, Parliament adopted its first resolution dedicated exclusively to cycling, calling on the Commission to develop an EU cycling strategy to maximise the potential of cycling as a full-fledged transport mode. This call was successful, and on 2 April 2024 the Commission, the Council and Parliament signed the European declaration on cycling.

Recent developments

To meet the Green Deal goal of making Europe the first climate-neutral continent by 2050, transport-related emissions must be cut by 90 % by 2050. This can be achieved by replacing fossil fuels with alternative fuels such as electricity or biofuels and by changing habits and transitioning to greener mobility alternatives. The Alternative Fuels Infrastructure Regulation (AFIR) sets mandatory targets for the deployment of alternative fuels infrastructure (electric charging and hydrogen refuelling stations) in the EU, for road vehicles, vessels and stationary aircraft. The RefuelEU Aviation Directive sets minimum obligations for fuel suppliers to gradually increase the share of advanced biofuels and synthetic aviation fuels in the fuel supplied to operators at EU airports, following a set timetable. Additionally, the FuelEU Maritime Regulation imposes increasingly strict limits on the carbon intensity of energy used by vessels starting in 2025, requiring them to use alternative fuels.

The sustainable and smart mobility strategy and action plan lay the foundations to enable the EU transport system to achieve its green and digital transformation and become more resilient to future

crises. The action plan lists 10 flagships and 82 initiatives, including revision of the Trans-European Transport Network (TEN-T) Regulation, with the ultimate goal of closing gaps, removing bottlenecks and technical barriers, and strengthening social, economic and territorial cohesion in the EU. The reshaped TEN-T network will serve both military and civilian purposes. The 2021-2027 multiannual EU budget extended the operation of the Connecting Europe Facility (CEF) – the EU's funding programme supporting the development of transport, energy, and digital infrastructure across trans-European networks. Recently adopted, the new Intelligent Transport Systems (ITS) Directive aims to establish interoperable and seamless ITS services across Member States, adapting them to new road mobility options, mobility apps and connected and automated mobility. The proposal for the revision of the Single European Sky (SES2+ package) is close to final adoption. Its aim is to reform the organisation and performance of air traffic control in the EU, focusing on air traffic management and air navigation services, to meet future capacity and safety requirements.

In line with the Vision Zero objective, which seeks to minimise fatalities in road transport by 2050, the Commission has put forward a road safety package consisting of three proposals: a directive on cross-border enforcement of traffic rules, a revision of the Directive on Driving Licences and a directive on EU-wide disqualification for major traffic offences. While the first is close to adoption, the legislative procedure is still ongoing for the latter two.

Work is ongoing on a number of legislative procedures initiated during the 2019-2024 term, such as the maritime safety package. This package includes legislation on flag State inspections, port State control, maritime accident investigations, ship-source pollution and the revision of the mandate of the European Maritime Safety Agency (EMSA). Legislative efforts will also continue to modernise river information services (RIS). The greening of freight package, work on which is also ongoing, proposes measures to enhance the efficiency and sustainability of freight transport. This includes improving rail infrastructure management, providing stronger incentives for low-emission trucks, and offering better information on greenhouse gas emissions from freight transport.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Christophe Hansen

Agriculture and Food

Confirmation hearing due to be held on Monday 4 November, at 18.30.

European Parliament committee responsible: Agriculture and Rural Development (AGRI).

Christophe Hansen was re-elected as a Member of the European Parliament in June 2024 where he sits in the EPP group and is currently a member of the Committees for International Trade, Employment and Social Affairs, and Transport and Tourism.

In the previous parliamentary term, Hansen sat on the Committee on International Trade and the Subcommittee on Tax Matters. He also served as Quaestor for a year, before stepping down after being elected to the Luxembourg Parliament in October 2023.

In 2014, Hansen joined the Luxembourg Permanent Representation to the EU, chaired the Council of the EU's Working Party on the Environment during the Luxembourg Presidency (July-December 2015), and served as an economic and commercial attaché at the Luxembourg Embassy in Brussels.

From March 2017 to August 2018, Hansen represented Luxembourg in the European Economic and Social Committee. From 2007 to 2014, he had worked in the European Parliament as a political adviser to the centre-right MEP Astrid Lulling on agriculture, the environment, and economic and monetary affairs.

Christophe Hansen was born in 1982 in Wiltz, Luxembourg. He earned a master's degree in geosciences, environmental sciences and risk management from Louis Pasteur University in Strasbourg in 2007.



Christophe Hansen, Luxembourg.

IN THIS BRIEFING

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Author: Claudia Vinci
Members' Research Service

PE 762.443 – October 2024

EN

Fundamentals of the portfolio

The agriculture and food portfolio covers a number of areas: EU policies and funding arrangements for farming support; rural development; and agricultural market measures under the common agricultural policy (CAP). The disruptions caused by the COVID-19 pandemic from 2020 and Russia's invasion of Ukraine from 2022 highlighted the importance of a resilient EU agrifood sector and contributed to shaping the 2023-2027 CAP, in force since 1 January 2023. This legal framework, along with the EU Member States' national CAP strategic plans, is designed to help achieve the goals of the European Green Deal and the 'farm to fork' and biodiversity strategies by 2030.

CAP strategic plans are structured around the CAP's 10 key objectives and must include targets, conditions for interventions and financial resources aligned with each specific objective and identified needs.

In January 2024, as announced earlier by the European Commission, the strategic dialogue on EU agriculture forum was launched amid farmer protests across the EU. It came up with a number of recommendations, including promoting generational renewal, supporting organic production and enhancing food security. Additionally, the forum recommended that the future Commissioner for Agriculture and Food develop a 'vision for agriculture and food', to be presented within the first 100 days of the new Commission.

Priorities and challenges

Public opinion

Responding to the 2022 special Eurobarometer survey on Europeans, agriculture and the CAP:

- 95 % of survey participants believed that agriculture and rural areas were important for the future of the EU;
- 67 % of participants thought that EU farmers should alter their practices to address climate change;
- 50 % of respondents agreed that one of the main responsibilities of farmers was to provide safe, healthy and sustainable food of high quality;
- 49 % of respondents agreed that securing a stable supply of food in the EU at all times should be among the CAP's key objectives;
- 76 % of respondents considered that the CAP benefited all EU citizens and not only farmers.

Source: Special Eurobarometer 520, European Commission, February-March 2022.

In its July 2024 strategic agenda 2024-2029, the European Council defined the EU's priorities for the new institutional cycle. The document emphasises the need to establish a 'competitive, sustainable and resilient agricultural sector that continues to ensure food security'. This includes reinforcing the position of farmers in the food supply chain, protecting nature, and reversing the degradation of ecosystems. Finally, the document calls for action to strengthen water resilience across the EU.

In her July 2024 political guidelines for the new Commission, President-elect Ursula von der Leyen stated that the EU produces the healthiest and highest-quality food in the world thanks to its nine million farms and age-old agricultural tradition. She highlighted the importance of EU agriculture for food security in the face of increasing pressure from factors such as climate change, unfair global competition and mounting energy prices. She also noted the constraints, among them a shortage of younger farmers and difficulties in accessing capital. The Commission President-elect committed to enhancing the sector's competitiveness through investment, support for farms, cooperatives and SMEs, as well as protecting farmers against unfair trading practices. The September 2024 report by Mario Draghi on The future of European competitiveness focuses on sectors other than agriculture, despite the CAP having a 31 % share in the 2021-2027 multiannual financial framework. The report

does, however, recognise the CAP as an EU strategic priority, and recommends a complete reorganisation of agricultural and cohesion subsidies to make room for other EU funding more targeted at innovation and skills.

In her mission letter to Hansen, von der Leyen outlined the key priorities for his portfolio: to strengthen the competitiveness, resilience and sustainability of the agricultural sector. To achieve this, he needs to follow up on the strategic dialogue on EU agriculture report and recommendations, and to deliver a 'vision for agriculture and food' within his first 100 days. As part of his portfolio, he will have to ensure that adequate support is provided for farmers in need, that the CAP is 'fit for purpose', provides 'targeted support' for farmers and is balanced, and that family farms and young farmers have easier access to capital for generational renewal.

Farmers must be guaranteed a fair and sufficient income, but also protection against unfair trading practices. The focus of Hansen's portfolio will also be on sustainability and decarbonisation. This will involve supporting organic farming and contributing to the climate adaptation plan. Hansen will work under the guidance of the Commission Executive Vice President for Cohesion Policy, Regional Development and Cities to implement an EU-wide benchmarking system in the agri-food sector, and to harmonise practices and direct comparisons across different sustainability objectives and ambitions. Lastly, Hansen will be expected to cooperate with the Commissioner for Enlargement and other stakeholders to contribute to a review of pre-enlargement policy.

European Parliament

Legal basis for the EU's and European Parliament's competence in the area of agriculture

Article 4(2) of the Treaty on the Functioning of the European Union (TFEU) states that the EU shares competence with Member States in the area of agriculture. The main legal basis of EU agricultural policy is set out in Title III TFEU, specifically in Articles 38 to 44, which spell out the main objectives of the CAP: i) to increase agricultural productivity; ii) to ensure a fair standard of living for farmers; iii) to stabilise markets; iv) to guarantee food supplies; v) and to ensure that supplies are accessible to consumers at reasonable prices. The Lisbon Treaty gave Parliament the power to co-legislate in most agricultural policy matters.

During its ninth term, Parliament worked intensively on a number of significant agriculture-related legislative files, among them:

- files of relevance to the CAP:
  - common organisation of the markets in agricultural products;
  - financing, management and monitoring of the CAP (2021–2027);
  - support for the strategic plans to be drawn up by Member States;
  - good agricultural and environmental condition standards; schemes for climate, environment and animal welfare; amendment of the CAP strategic plans; review of the CAP strategic plans; and exemptions from controls and penalties.
- resolutions on:
  - generational renewal in the EU farms of the future;
  - ensuring food security and long-term resilience of the EU agriculture;
  - EU action plan for organic agriculture;
  - long-term vision for the EU's rural areas;
  - EU strategy on adaptation to climate change;
  - need for an urgent EU action plan to ensure food security inside and outside the EU in light of the Russian invasion of Ukraine;

Parliament's Committee on Agriculture and Rural Development (AGRI) is responsible for reviewing and, if necessary, modifying the Commission's legislative proposals on agricultural policy. It drafts reports that are later voted by Parliament in plenary. It also oversees the functioning of various financial instruments and legislation on veterinary and plant health, animal feed, animal welfare (now to be under the responsibility of the Commissioner for Health and Animal Welfare), quality of

agricultural products, forestry, and agroforestry. AGRI also exercises scrutiny by engaging in regular dialogue with the relevant Commissioner on issues such as unexpected market disruptions faced by EU producers, and pest outbreaks.

Recent developments

During Parliament's 2019-2024 term, EU agriculture was affected by many dramatic events, including the COVID-19 pandemic, Russia's invasion of Ukraine, and the farmer protests in the run-up to the June 2024 European Parliament elections.

During that term, the Parliament adopted the legislative proposals for the 2023-2027 CAP, which entered into force on 1 January 2023. Key components of the revised CAP were presented in a series of documents published between 2019 and 2022. These documents highlight the importance of enhancing biodiversity and complying with the EU's environmental and climate laws. Notably, Member States must ensure that at least 35 % of the rural development budget and at least 25 % of direct payments are dedicated to environmental and climate measures.

Following widespread demonstrations by farmers opposing the CAP's administrative complexities and stringent environmental rules and conditions, the Commission put forward a proposal aimed at reducing the numerous environmental obligations farmers had to fulfil in order to qualify for direct payments. Additionally, the proposal envisaged removing controls and penalties relating to environmental requirements for small farms, and simplifying the process for Member States to modify their national CAP strategic plans. The opening of negotiations for Ukraine's accession, which Parliament welcomed in a February 2024 resolution, could have an impact on the CAP's future design. This may require adaptation of EU policies and budgetary resources to accommodate Ukraine's significant agricultural production. Additionally, following the Commission's report on the implementation of the Directive on Unfair trading practices, published in April 2024, some changes outside the CAP are expected to make agricultural enterprises more financially sustainable.

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BRIEFING

Confirmation hearings of the Commissioners-designate

European Parliament

Glenn Micallef

Intergenerational Fairness, Youth, Culture and Sport

Confirmation hearing due to be held on Monday 4 November, at 14.30.

European Parliament committee responsible: Culture and Education (CULT)

From 2020 to June 2024, Glenn Micallef served as the head of the Secretariat of the Maltese Prime Minister, Robert Abela, as well as his adviser on EU affairs, and as Malta's sherpa at the European Council. Additionally, from 2021 to 2024 he held the position of president of St John's Co-Cathedral Foundation in Malta.

Prior to these roles, Micallef worked as a research analyst for the Maltese Ministry for EU Affairs, focusing on the Council of the EU's competitiveness configuration. He then headed the unit for external relations and preparations for the 2017 Maltese Presidency of the Council. Following this, Micallef served as the director-general of Malta's EU Coordination Department at the Foreign Affairs Ministry from 2017 until 2020.

Born in 1989, Micallef graduated from the University of Malta with a degree in commerce and economics. He also holds a master's degree in European politics, law and economics from the same university.



Glenn Micallef, Malta.

IN THIS BRIEFING

- Fundamentals of the portfolio
- Priorities and challenges
- European Parliament
- Recent developments

This is one of a set of briefings designed to give an overview of issues of interest relating to the portfolios of the Commissioners-designate. All these briefings can be found at: https://epthinktank.eu/commissioner_hearings_2024.

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Authors: Krisztina Binder, Tarja Laaninen and Maria Niestadt
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Fundamentals of the portfolio

According to the mission letter outlining the contents of his portfolio, Glenn Micallef will be responsible for supporting young people and building on commonalities that bring people together, from cultural heritage to sport. Micallef will therefore have to develop a **strategy on intergenerational fairness** to map out how to strengthen communication between generations, and to make sure that decisions taken today do no harm to future generations. This approach is widely endorsed by European youth organisations and civil society.

The 2019-2027 EU youth strategy (EUYS) serves as the framework for EU youth policy cooperation and aims to foster the participation of young people in democratic life. The EU youth dialogue takes place within the framework of the youth strategy and has the goal of ensuring that the views and needs of young people are taken into account in the EU's youth policies.

Culture and sport are policy areas deeply intertwined with the daily lives of many EU citizens, and are a key component of shared European identity and values. When it comes to culture, the EU is responsible for a variety of tasks, including safeguarding and promoting cultural and linguistic diversity, advancing cultural exchanges and supporting artists' mobility. The creative and cultural industries (CCIs) play a crucial role in promoting EU cultural diversity. The Creative Europe programme supports the cultural and creative sectors (CCSs) through cooperation projects that connect artists across the EU. EU sport-related initiatives promote sport's role in health and wellbeing, social inclusion and cohesion, sustainability and equality. The Erasmus+ programme is key not only in advancing youth policy cooperation but also in promoting sport's European dimension.

Priorities and challenges

Expectations/public opinion

In a Eurobarometer survey on youth and democracy published in May 2024, 64 % of the young people taking part planned to vote in the upcoming European elections. However, 19 % said they were not interested in politics and 13 % said they were not interested in voting. To get their voices heard by decision-makers, 38 % of respondents believed the most effective way was by voting, while 32 % believed it was by 'engaging in social media'. Almost half (49 %) of respondents reported having taken action to change society, such as signing a petition, participating in a rally, or sending a letter to a politician, in the past year.

Social media play a central role in young people's lives, with the vast majority using them daily and almost constantly throughout the day. According to Eurostat, in 2023, 83 % of young people aged 16 to 29 in the EU used social media networks, and 97 % used the internet on a daily basis. While social media can have many positive uses, such as fostering connectedness, helping job searches and communicating about emergencies, their pervasiveness also raises concerns about adverse effects. Young people are routinely exposed to harmful, illegal or age-inappropriate content on social media, such as hate messages, violent or pornographic images, pro-anorexic content and dis- and misinformation. They also face the risk of becoming victims of cyberbullying or hidden marketing practices. According to the EU Kids online survey, about one in ten children becomes a victim of online bullying each month.

Key actions in the youth sector in the coming years will include giving young people a stronger voice in EU policymaking, introducing the newly announced **youth check** – a youth impact assessment of EU legislation – and specifying how it will operate in practice. Furthermore, a youth stakeholders' platform will be launched, facilitating exchange with youth organisations and youth researchers. Additionally, a (**Commission**) **President's youth advisory board** will be established, composed of young people from all Member States who will advise the Commission President, Ursula von der Leyen, on issues that matter to them. Glenn Micallef has been assigned the specific task of coordinating the **annual youth policy dialogues** organised by each Commissioner. The first such dialogues have to take place within the first 100 days of the Commission's new term.

To protect the mental health of children and young people online, Micallef will have to focus on the **impact of social media** and excessive screen time on young people. An EU-wide inquiry into the effects of social media on well-being will be launched, together with actions to address the addictive

design of online services. Micallef will lead the work on developing an **action plan against cyberbullying** and implementing the **EU strategy on the rights of the child**, aimed at integrating children's rights into all relevant EU areas of work.

The Commission is required to carry out an interim evaluation of the 2021-2027 Erasmus+ programme and a final evaluation of the 2014-2020 programme by the end of 2024. Similarly, the mid-term evaluation of the 2021-2027 European Solidarity Corps programme and the final evaluation of the 2018-2020 programme will be ongoing throughout 2024.

Micallef should also contribute to the development of an **artificial intelligence (AI) strategy for cultural and creative industries** and of a new strategic framework, the **culture compass**. Improving the **working conditions of artists and cultural professionals** is a key component of this framework. EU support for building more crisis-resilient creative and cultural sectors will continue, along with support for their green and digital transition through funding from the Creative Europe programme. The Commission is expected to complete its evaluation of the current and former Creative Europe programmes by the end of 2024.

EU action in sport policy, which is guided by the EU's 3-year work plans for sport (the current one covering the 2024-2027 period), should be aimed at: **strengthening the EU sport model** through a new strategy; promoting fairness, openness, and the integrity of sportspeople; fostering **sport diplomacy** and cooperation with partners around the world; and updating the Council recommendation on health-enhancing physical activity.

European Parliament

Treaty basis and European Parliament competence

Policies in the area of youth, culture and sport are essentially made and implemented by the Member States (Articles 165 and 167 Treaty on the Functioning of the European Union (TFEU). The EU's role is one of support and coordination, with harmonisation of laws and regulations being specifically excluded. Respect of linguistic diversity, protection of cultural heritage as well as promotion of solidarity between generations and protection of the rights of the child are enshrined in Article 3 of the Treaty on European Union (TEU).

Parliament succeeded in obtaining an increase in the funding for the 2021-2027 Creative Europe and Erasmus+ programmes. In its resolution on the European Year of Youth 2022, Parliament committed to ensuring that the year leaves a strong and lasting legacy by integrating youth policy into all relevant EU policy areas. Parliament welcomed the European solidarity corps programme and the extension of its activities to include humanitarian aid operations. Parliament also considered the impact of COVID-19 closures on children and young people. In its 2023 resolution, Parliament called for an evaluation of the addictive and mental health effects of social media platforms and a review of any existing EU legislation if necessary.

Over the years, Parliament has played a crucial role in pushing children's rights to the core of EU policies, particularly through its Intergroup on Children Rights and the Parliament's Coordinator on Children's Rights, a post that has been held by Parliament's Vice-President Ewa Kopacz since 2019.

As a follow-up to its resolution on the situation of artists and the cultural recovery in the EU, Parliament requested the Commission to propose legislative instruments, among them a directive, to establish an EU framework addressing the social and professional situation of artists and other CCS professionals. Parliament has also shown support for the New European Bauhaus initiative and the EU book sector, and highlighted challenges faced by authors in the EU music streaming market. Furthermore, Parliament has examined the impacts of AI technologies on education, culture and the audiovisual sector, and underlined the need to clarify the conditions for using copyright-protected content as data input, and explored issues related to the EU's media landscape in the digital decade.

Central to Parliament's sport-related work was a comprehensive own-initiative report on EU sports policy. In the past term, Parliament also adopted a resolution on e-sports and videogames.

Recent developments

The Commission presented the EU strategy on the rights of the child in March 2021. The 2022 European Year of Youth (EYY) aimed to boost young people's involvement in the EU's democratic life and mainstream youth policy across all relevant EU policies. In 2024, two essential documents shaping EU youth policy were a Commission communication on the EYY, announcing the introduction of the above-mentioned youth check, and a report on the interim evaluation of the 2019-2027 EUYS. The 10th EU Youth Dialogue cycle started in July 2023. The same year, a New European Bauhaus Route was added to the DiscoverEU travel route suggestions.

The Commission's better internet for kids strategy (BIK+), adopted in 2022, outlines specific actions that the Commission plans to support, including the EU code of conduct on age-appropriate design and helplines to assist in addressing harmful content, contact or conduct. Various EU laws also provide support. For example, the Digital Services Act requires online platforms to promptly remove illegal content (such as revenge porn) and prohibits the use of minors' personal data for targeted advertising. However, a lot of work remains to be done.

The EU work plan for culture 2023-2026 is the current framework for EU-level cultural policy cooperation covering various aspects, including the working conditions of artists and cultural professionals, as well as the green transition of the CCSs. In 2022, a Commission report on the cultural dimension of sustainable development in EU actions and an EU action plan against trafficking in cultural goods were adopted. After a setback from the COVID-19 pandemic, the European Capitals of Culture programme fully resumed in 2022. The 2021-2027 Creative Europe programme was launched with a budget of €2.44 billion, a major increase compared to the previous period. Additionally, the Recovery and Resilience Facility (RRF) allocates about €11 billion to the CCSs.

In 2023, an Erasmus+ mobility action for sports staff became available for the first time. In February 2024, the Commission published an implementation report on the fourth EU work plan for sport. The current such work plan, for 2024-2027 sets three priorities: protecting integrity and values in sport; addressing socio-economic and environmental dimensions in sport; and promoting participation in sport and health-enhancing physical activity.

FURTHER READING

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BRIEFING

European Parliament

Confirmation hearings of the Commissioners-designate

A decisive step in the investiture process

SUMMARY

The confirmation hearings of the Commissioners-designate before the European Parliament's committees play a vital role in informing Parliament before it decides on the proposed composition of the College of Commissioners. Ahead of the autumn 2024 hearings, Parliament has adapted the rules for the process, which will apply for the members of the second von der Leyen College.

First, the Legal Affairs Committee scrutinises the declaration of interests of each Commissioner-designate. Second, each Commissioner-designate appears before the competent parliamentary committee or committees for a single confirmation hearing.

In the past, the main criticism levelled at some of the Commissioners-designate has involved their having insufficient expertise in their respective portfolios, as well as the vagueness of their answers and their reluctance to make political commitments. The existence of possible conflicts of interest in relation to the assigned portfolio and concerns regarding the integrity of the candidate have influenced the dynamics of more recent hearings. Since the 2004 investiture, Parliament has used its role in appointing the Commission to replace certain controversial candidates and force adjustments to certain portfolios, although according to the Treaties Parliament can only reject or accept the College as a whole.

While some experts have advised against the excessive politicisation of the confirmation hearings, others have welcomed the increased accountability of the Commission to Parliament, and have praised the deepening of the political link between the two institutions as a step towards further democratisation of the EU decision-making process. Confirmation hearings have become critical for Parliament to hold the Commission accountable, and have gained prominence as a tool for Parliament to take a greater role in EU agenda-setting.

This is a further updated version of a September 2019 briefing by Maria Diaz Crego, itself an update of a 2014 briefing by Eva-Maria Poptcheva.



IN THIS BRIEFING

- Parliament's role in the appointment of Commissioners
- Procedure for the confirmation hearings
- Critical issues in past hearings
- Strengthening the Commission's democratic accountability

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Parliament's role in the appointment of Commissioners

Ever-increasing influence

Commissioners were originally appointed by common accord of the Member States' governments for a renewable term of office of four years (Article 158 Treaty of Rome). The Commission was then composed of nine members, with small Member States appointing one Commissioner and large Member States (France, Germany and Italy) two. The founding Treaties did not involve the European Parliament in the procedure leading to the appointment of the Commission, although Commission Presidents used to deliver a general policy statement before Parliament when taking office. Once the Commission was in office, Parliament could adopt a motion of censure of the entire College. Parliament pushed to be involved in the investiture procedure in the 1970s and 1980s, to enhance the democratic legitimacy of the Commission. Although not required by the Treaties, Parliament's efforts led to the introduction of a vote of confidence in the designated Commission as early as 1981.

However, it was not until 1993, with the Maastricht Treaty, that Parliament formally gained a role in the appointment process. The Treaty aligned Parliament's and the Commission's terms of office (five years) and provided for Parliament to be consulted by Member States' governments before nominating the President of the Commission. Similarly, the Treaty required the President and Commissioners to be subject as a body to a vote of approval by Parliament (Article 158 Treaty on European Union, TEU). Parliament adapted its Rules of Procedure to require the nominated President to make a statement, followed by a debate, in Parliament (Rule 29) and for the nominated Commissioners to appear before parliamentary committees (Rule 29a) before the vote of approval. The first Commission subject to such 'hearings' was the Santer Commission in 1995, although President Jacques Santer accepted the new procedure only after receiving assurances from Parliament's President that there would be no parliamentary vote on individual Commissioners-designate.[1] The US Congress's 'confirmation hearings' dealing with the presidential nominations to judicial and executive posts served as an inspiration for this procedure.[2]

The Amsterdam and Nice Treaties introduced further modifications to the composition of the Commission and the appointment procedure. With a view to the future eastern enlargement of the Union, the Treaty of Nice provided for a reduction in the number of Commissioners, through the adoption of the principle of 'one Commissioner per Member State' (Article 4, Protocol on the enlargement of the European Union). The five largest Member States (France, Germany, Italy, the United Kingdom and Spain) thus lost their second Commissioner, a provision that was first applied in 2004 to the first Barroso Commission.

For the appointment procedure, the Amsterdam Treaty gave Parliament a greater role in relation to the election of the Commission President, holding a separate vote of approval (not only being consulted) on the candidate nominated by the Member States (Article 214 Treaty of Amsterdam). Similarly, as from the Treaty of Amsterdam, Commissioners-designate would have to be nominated by the Member States by common accord with the President-elect of the Commission (and not only in consultation with them), a change that gave the President-elect of the Commission the formal power to veto the list of Commissioners. The Treaty of Nice involved the Council in the procedure as the institution formally in charge of nominating both the President (in this case, in the composition of Heads of State or Government) and the Commissioners by qualified majority. A consensus among all Member States was no longer required by the Treaties to nominate the candidate for the Presidency (Article 214 Treaty of Nice), although it has remained the rule in practice. However, in 2014 Jean-Claude Juncker was nominated by qualified majority, with two Member States voting against him.

The current situation

After the entry into force of the Lisbon Treaty, the link between the appointment of the Commission and the European elections and, therefore, the 'parliamentarisation'[3] of the process leading to the appointment of the Commission, became more explicit, with the Treaties obliging the European Council to 'take into account the elections to the European Parliament' when proposing a candidate for the Presidency of the Commission. Moreover, they confer on Parliament the power to 'elect' (and not only to approve) the Commission President. This modification paved the way for the *Spitzenkandidaten* process, which led to the election of Jean-Claude Juncker in 2014. After the 2019 European elections, however, none of the *Spitzenkandidaten* were successful, with Ursula von der Leyen eventually elected as Commission President in July 2019. Nevertheless, it seems that the *Spitzenkandidaten* process became relevant again when Ursula von der Leyen, as the European People's Party's leading candidate in the 2024 European Parliament election, was re-elected as Commission President in July 2024. For the other members of the College, the Lisbon Treaty introduced several changes relating to the composition of the College, the criteria for selection and the appointment procedure.

Composition of the College: Number of Commissioners

The growing number of Commissioners (from nine to the current 27), caused by successive EU enlargements and the decision to stick to 'one Commissioner per Member State', has led to concerns relating to the Commission's capacity to act and adopt decisions as a collegiate body, to ensure coordination among Commissioners and to avoid overlaps in competences and inefficiencies.[4] The Lisbon Treaty envisaged a Commission that would consist of a number of members corresponding to two-thirds of the number of Member States as from November 2014, unless the European Council decided otherwise through a unanimous decision (Article 17(5) TEU). The composition of the Commission would have to guarantee equal rotation among nationals of the different Member States, and reflect the demographic and geographical range of all Member States, as required by Articles 17(5) TEU and 244 TFEU. However, this provision has not yet been applied, as the European Council decided in 2013 to maintain one Commissioner per Member State. This decision still stands and the number of Commissioners continues to be equal to the number of Member States.

Criteria to be fulfilled by Commissioners-designate

The Lisbon Treaty also introduced changes in relation to the criteria to be used when selecting the members of the Commission. The Commissioners are to be selected taking into account their general competence and independence, but also their European commitment, a criterion introduced in the Lisbon Treaty. Independence, including from national governments, is a requirement clearly linked to the characterisation of the Commission as the EU institution promoting the general (and not national) interest of the Union (Article 17(3) TEU). Despite this encouraged image of independence, some authors suggest that Member States try to influence the Commission through the appointment of loyal Commissioners (i.e. persons belonging to the government party) or through nominations that would guarantee them an important portfolio for their Commissioner (i.e. nominations of senior or high-profile politicians).[5] Parliament's Rules of Procedure include other criteria that have to be taken into account when evaluating the future Commissioners – specific knowledge of the portfolio, communication skills and gender balance (Annex VII).

Nominating the Commissioners: Who does what

The Lisbon Treaty prescribes two appointment procedures for the nominations of Commissioners and the High Representative of the Union for Foreign Affairs and Security Policy, who is also a Vice-President of the Commission (Article 17(5) TEU). The High Representative is appointed by the European Council, acting by a qualified majority, with the agreement of the Commission President (Article 18(1) TEU), whereas all the other Commissioners are proposed by the Member States' governments and nominated by the Council in common accord with the President-elect of the

Commission (Article 17(7) TEU). The composition of the Commission therefore does not usually reflect the political balance in the European Parliament but rather that among national governments, with pan-European party politics playing a minor role in the selection of individual Commissioners-designate.[6]

This feature clearly distinguishes the EU's institutional framework from standard parliamentary democracies, where the composition of the government tends to represent the majority in Parliament, to whom the national executive is also collectively responsible. However, with Parliament's role in the procedure strengthened, a clear majority in Parliament could in future try to put pressure on the Council to take the results of European elections more into account when nominating Commissioners. Similarly, the role of the President-elect of the Commission in the nomination process seems to be evolving: while it is true that the President-elect cannot shape the College in the same way as prime ministers usually do in parliamentary democracies, their current power to veto future Commissioners and to attribute responsibilities within the Commission has allowed Presidents-elect to lobby for specific candidates or for certain profiles.[7]

On 28 June 2024, the European Council decided to propose Ursula von der Leyen as candidate for Commission President and Kaja Kallas as High Representative. On 18 July, the European Parliament re-elected Ursula von der Leyen as President of the European Commission (401 MEPs voted in favour, 284 against, and 22 cast blank or invalid votes). Before the vote, Ursula von der Leyen delivered a statement and presented the political guidelines for the next European Commission (2024-2029). Among other things, the political guidelines specified the portfolios for some Commissioners – it mentioned a Vice-President for Implementation, Simplification and Interinstitutional Relations, a Commissioner for Defence, a Commissioner whose responsibilities will include housing, a Commissioner whose responsibilities will include ensuring intergenerational fairness, a Commissioner for Equality, a Fisheries and Oceans Commissioner, a Commissioner for Enlargement, and a Commissioner for the Mediterranean.

In line with the post-vote statement of the Commission President-elect, she sent formal requests to the Member States inviting them to put forward candidates for European Commissioners. With the exception of those candidates proposed for another term in the College of Commissioners, the Member States were asked to propose one woman and one man to allow the President-elect to select the best candidates, and to ensure gender parity in the College. The President-elect aimed to interview the candidates starting in mid-August. Subsequently, the Council, in agreement with the President-elect, should adopt the list of candidates. The President-elect allocates the responsibilities for specific areas (portfolios) to each Commissioner-designate, then Parliament calls the candidates to the confirmation hearings.

The final steps of the procedure: Parliament's vote of consent

Once the candidates are nominated, the Commission needs to obtain the consent of Parliament by a majority of the votes cast (Rule 129(7)) before being appointed by the European Council. Confirmation hearings are not stipulated in the Treaties, but are required under Parliament's Rules of Procedure (Rule 129 and Annex VII). They are a vital counterpart to the requirement to obtain Parliament's consent, which would have no substance if Parliament could not examine the aptitude of the candidates.

According to the Treaties, once Parliament has elected the Commission President by a majority of its component Members, it can only refuse or accept the Commission in its entirety and not individual Commissioners-designate – just as many parliaments in parliamentary democracies cannot vote on individual members of government other than the prime minister. This is a consequence of the collective responsibility of the Commission as a collegiate body. However, the threat to vote down the designated Commission has proven to be a powerful means of encouraging national governments to replace Commissioners-designate opposed by Parliament, and some see this as a step towards Commissioners having individual responsibility to Parliament, a trend that would ultimately test the collegial character of the Commission.[8]

Procedure for the confirmation hearings

The procedure for holding confirmation hearings is set out in Rule 129 of Parliament's Rules of Procedure and in Annex VII thereto. Before the confirmation hearings, the President of the Parliament invites the President-elect of the Commission to inform the Conference of Presidents about (i) the planned structure of the new Commission, including the proposed titles of individual portfolios and their possible grouping; (ii) the allocation of responsibilities (portfolios) in the proposed new College of Commissioners in accordance with the political guidelines of the President-elect; and (iii) other horizontal questions, including gender balance in the new College.

Once the future Commissioners have been nominated, and taking into account the allocation of portfolios within the College, the President of the Parliament asks the Commissioners-designate to appear before the appropriate committees or bodies. On a recommendation from the Conference of Committee Chairs, the Conference of Presidents organises the hearings; the chair and coordinators of each committee are responsible for the detailed arrangements. Hearings are held in public and are broadcast live.

Parliament evaluates the general competence, European commitment and personal independence of the Commissioners-designate. It assesses their knowledge of their prospective portfolio and their communication skills, and should also take gender balance into consideration. In addition, Parliament may comment on the portfolio responsibilities of Commissioners-designate.

Examination of declarations of interests

Before the hearings, the Commissioners-designate submit declarations of interests that fully disclose information relating to their financial interests. Parliament's Legal Affairs Committee (JURI) examines each Commissioner-designate's declaration, to confirm that there is no conflict of interest concerning their future portfolio in the Commission.

If the information provided in the declaration is accurate and complete and contains nothing indicating an actual or potential conflict of interest in connection with the Commissioner-designate's portfolio, the Chair of the JURI committee sends a letter confirming the absence of any conflict of interest to the committees responsible for the confirmation hearing. The same notification procedure applies if the JURI committee finds elements in the declaration of interests which should be considered in the overall evaluation of the Commissioner-designate.

The JURI committee can request supplementary information, and invite the Commissioner-designate to a discussion if information related to financial interests in the declaration of interests is incomplete or contradictory, or if there is a need for further information regarding financial interests. However, such a discussion is not a hearing, which is held later on.

If the JURI committee identifies a conflict of interest related to financial interests based on the declaration of interests or the supplementary information supplied by the Commissioner-designate, it draws up recommendations aimed at resolving the conflict of interest. In the most serious cases, as a last resort the JURI committee may conclude that the Commissioner-designate is unable to exercise their functions in accordance with the Treaties and the Code of Conduct. In that case, the Rules of Procedure (Article 3 para 3 (c) Annex VII) provide that the President of the Parliament informs the President-elect of the Commission, who would decide on what steps to take.

Although the consequences of a negative evaluation of a Commissioner-designate's declaration of interests are not explicitly specified, Annex VII of the Rules of Procedure provides for the suspension of the appointment procedure for the Commissioner-designate concerned until a solution to the conflict of interest is found or the President-elect decides on what steps to take. However, if the President-elect of the Commission does not follow the recommendation of the negative opinion, it could put at risk the approval of the whole Commission by Parliament.

Parliament has also attempted to reinforce scrutiny over the Commission by extending the scope of the declarations of interests, as they were considered too narrow and ambiguous. Following

Parliament's calls to modify the 2011 Code of Conduct for Commissioners, the 2018 Code of Conduct broadened the scope of the declaration of interests that members of the Commission have to present to include, among other things, all financial interests worth more than €10 000 (regardless of whether they are likely to constitute a conflict of interest); the financial interests of minor children, where those might be considered capable of giving rise to a conflict of interest; and membership of associations, political parties, trade unions, NGOs or other bodies if their activities are intended to influence or affect the exercise of public functions.

Parliament examines the declarations in the context of the hearings of Commissioners-designate before their appointment. The declarations are updated at least annually, scrutinised under the authority of the President of the Commission, then published. In addition, the Code of Conduct requires information to be published on meetings between Commissioners and interest representatives, the costs of Commissioners' individual business travel, and a list of gifts Commissioners receive in their official capacity.

Since 2021, Parliament has pushed for the creation of an independent ethics body that would, in addition to proposing and advising on ethics standards across the EU institutions, assist the JURI committee in the assessment of possible conflicts of interest of Commissioners-designate prior to hearings. Ultimately, in 2024, the Parliament approved an agreement between eight EU institutions and bodies (not including the European Council) to create a new **Body for Ethical Standards**. This Body will develop, update, and interpret common minimum standards for ethical conduct, and will publish reports on how these standards have been reflected in each signatory's internal rules. The institutions participating in the Body will be represented by one senior member and the position of Chair of the Body will rotate every year between the institutions. Five independent experts will support its work and be available for consultation by the participating institutions and bodies about standardised written declarations, including declarations of interest. The interinstitutional agreement specified that the declarations of financial interests of the Commissioners-designate should, as a rule, be subject to examination by the independent experts' agreement.

Organisation of the hearings: Committee responsible and allocation of time

Once the JURI committee examines the declarations of Commissioners-designate, the confirmation hearings take place before the appropriate parliamentary committees or bodies. On the recommendation of the Conference of Committee Chairs, the Conference of Presidents decides on the division of competences for the confirmation hearings. There is one hearing per Commissioner-designate, generally organised in Brussels (occasionally hearings have been held in Strasbourg).

If the portfolio of a Commissioner-designate falls within the remit of one parliamentary committee, or several committees but with the competence of one committee prevailing, only that committee will be involved in the hearing (**committee responsible**). Hearings may, however, involve more than one parliamentary committee. If a Commissioner-designate's portfolio falls equally within the remit of more than one committee, they shall be heard jointly by those committees (**joint committee**). Other committees may be invited to participate in the confirmation hearing if the portfolio falls to a substantial extent within their responsibility.

The Commissioners' portfolios often fall across the remits of different parliamentary committees; in the 2014 hearings, there were nine hearings with joint committees and nine with associated committees. For Commissioners-designate (or Vice-Presidents) with cross-cutting competences, a **different format** may be used provided that the committee responsible is involved. As it is impossible to involve all committees in individual hearings, even if the portfolio touches on their remit, Parliament proposed a different format following the 2014 experience: a meeting of the Conference of Presidents or of the Conference of Committee Chairs open to members of the committees responsible. In 2014, a hearing before the Conference of Presidents open to all Members was the format used for the First Vice-President, Frans Timmermans, whose competences had a distinctly horizontal nature.

Committees submit **written questions** to the Commissioners-designate before the hearings, with Commissioners-designate receiving **two common questions** drafted by the Conference of Committee Chairs. The first question is on their general competence, European commitment and personal independence. The second one is on the management of the portfolio and their cooperation with Parliament. The committee responsible for the hearing drafts **five policy-specific** questions about their main priorities and legislative initiatives. In the case of joint committees, each may ask three questions; each invited committee shall have the right to submit one question; sub-questions are not allowed. The curriculum vitae of the Commissioners-designate and their answers to the written questions are made available on Parliament's website before the hearings.

Each hearing lasts **three hours** in principle. Exceptionally, in the case of Commissioners-designate with particularly large or complex portfolios involving more than one committee, the Conference of Committee Chairs may recommend that the confirmation hearing be scheduled to last for up to **four hours**. The recommended length of the confirmation hearing should take due account of the number of invited committees in order to allow each of their Chairs to ask one question.

Commissioners-designate make an opening statement of no more than 15 minutes and a session of questions and answers follows. Speaking time is allocated to political groups taking into account the size of each group (including the non-attached Members), as required under Rule 178. The speaking time allocated to a political group is treated as a block, subject to the need to maintain a single harmonised format for each individual confirmation hearing. It is up to the political group to distribute that time between its Members participating in the hearing; speaking time allocated to non-attached Members is not to be treated as a block. The Commissioner-designate should be given, on average, twice as much time for their reply as the time given for the question.

The confirmation hearings aim to develop a pluralistic political dialogue between the Commissioners-designate and the Members. Before the end of the confirmation hearing, the Commissioners-designate are given the opportunity to make a brief closing statement. A live audiovisual transmission of the confirmation hearings is made available free of charge to the public and a recording is made available within 24 hours.

Evaluation of Commissioners-designate after the hearings

The chair and coordinators of the committee responsible for the hearing (or of the joint committees) meet *in camera* without delay after the hearing to evaluate the Commissioner-designate's suitability to be a member of the Commission and their suitability to deal with the assigned portfolio. There is a single evaluation letter for each candidate, including the opinions of invited committees. If the coordinators unanimously approve or reject the Commissioner-designate, a letter of approval or rejection will be submitted. If coordinators representing a majority of at least two-thirds of the committee membership approve the candidate's performance, the letter of approval will state that the candidate was approved by a large majority of the committee and minority views will be mentioned if requested.

If the two-thirds majority is not attained, the coordinators shall request further information from the Commissioner-designate through written questions and, if they are still dissatisfied, can request a resumed hearing of one and a half hours subject to the approval of the Conference of Presidents. If the coordinators are still unable to reach the two-thirds majority, the chair will convene a committee meeting and call a vote, first, on the candidate's suitability to become a member of the Commission, and then on their suitability to carry out the duties assigned. Committees' evaluation letters are to be transmitted within 24 hours of the completion of the evaluation. These letters are examined by the Conference of Committee Chairs and conveyed to the Conference of Presidents. The Conference of Presidents then declares the hearings closed and authorises the publication of all letters of evaluation, which are then published simultaneously.

After the hearings conclude, the President-elect presents the College of Commissioners and its programme in plenary; the Presidents of the European Council and of the Council are invited to

attend. The statement is followed by a debate, and any political group or at least one twentieth of the Members of Parliament ('low threshold') may table a motion for a resolution. Finally, consent to the Commission as a whole is given by a vote in plenary, requiring a majority of votes cast, by roll call. The new Commission is then formally appointed by the European Council, acting by qualified majority.

Critical issues in past hearings

The first Commission subjected to hearings was the Santer Commission in 1995, where the parliamentary committees made many critical comments on certain Commissioners-designate, and asked for Irishman Padraig Flynn to be assigned a different portfolio. The main point of criticism in the hearings was the lack of specialist knowledge of some candidates about their portfolio, as well as their vague answers and reluctance to make commitments, invoking the collegiate decision-making of the Commission. This led in subsequent hearings to Commissioners-designate preparing more thoroughly on the concrete policy fields and even making firm commitments and signing commitments proposed by a parliamentary committee – a practice established by the Economic and Monetary Affairs Committee in 2010, with Joaquín Almunia, Michel Barnier, and Olli Rehn.

Parliament pressed for the first time for the replacement of a Commissioner-designate in 2004. Among other things, the Italian nominee Rocco Buttiglione drew sharp criticism for his comments on the role of women and on homosexuality. President-elect José Manuel Barroso was obliged to ask Parliament to postpone its vote, and came back with two new Commissioners-designate and a change in another portfolio. Buttiglione's appointment was withdrawn by the Italian government, and Franco Frattini was nominated, inheriting the Justice, Freedom and Security portfolio from his unsuccessful predecessor. Latvia also withdrew Ingrida Udre's nomination, owing to her possible involvement in political and legal malpractice; Andris Piebalgs was nominated instead. Hungarian nominee László Kovács, who had been criticised for his lack of preparation and specific knowledge of his future portfolio (Energy) was assigned a different portfolio (Taxation and Customs Union).[9]

In 2009, the focus fell on Bulgarian nominee Rumiana Jeleva, whose business dealings and her competence in her portfolio were questioned in the hearing. As a consequence, the Bulgarian government withdrew her nomination and proposed Kristalina Georgieva instead.

In 2014, Slovenian nominee Alenka Bratušek, a former prime minister, was rejected by the Committees on Environment, Public Health and Food Safety, and Industry, Research and Energy as the Vice-President for Energy Union due to her poor knowledge of the portfolio and ethical concerns linked to her appointment as Commissioner-designate by a government headed by herself. Slovenia withdrew her nomination and appointed Violeta Bulc, who took up her duties as Commissioner for Transport. Hungarian nominee Tibor Navracsics did receive approval as Commissioner-designate, but not for the proposed portfolio (Commissioner for Education, Youth, Culture and Citizenship), with MEPs criticising the attribution of competences related to citizenship due to his close ties with the Hungarian prime minister. President-elect Juncker changed his initial portfolio to secure Parliament's approval.

In 2019, Parliament demonstrated its growing power in scrutinising the composition of the future Commission. For the first time, the JURI committee did not approve the declarations of financial interests for the Commissioner-designate for Transport, Rovana Plumb (Romania), and the Commissioner-designate for Neighbourhood and Enlargement, László Trócsányi (Hungary). Even after personal appearances, the JURI committee did not approve their general declarations of interests, which effectively barred them from taking any position in the College. Such a statement, due to its political consequences, blocked their participation in the confirmation hearings before the designated parliamentary committees. Ultimately, the unsuccessful candidates were replaced by Adina Vălean (Romania) and Olivér Várhelyi (Hungary), who became the Commissioners for the respective portfolios.

Additionally, in 2019, the Committee for Internal Market and Consumer Protection and the Committee for Industry, Research and Energy rejected Sylvie Goulard, the French pick as Commissioner for Internal Market, due to various allegations connected to her previous political work. France replaced her with Thierry Breton, who was eventually confirmed as Commissioner.

Recent controversies have revealed a highly politicised appointment process. The hearings revealed Parliament's difficulties in examining Commissioners-designate thoroughly, owing to a lack of time and detailed documentation about candidates. Parliament declared that the 2019 format for hearings, including the examination of the declarations of interests, was an important step in increasing the Commission's accountability to Parliament, but also admitted the procedure could be further improved.

Strengthening the Commission's democratic accountability

The hearings of Commissioners-designate have helped to increase the political dynamic in relations between Parliament and the Commission, similar to that found in some national contexts. Many experts and stakeholders credit the procedure with having further politicised the European Commission,[10] and therefore also the EU decision-making process, which is seen by many as a necessary step towards further EU democratisation. Similarly, it is widely agreed that the hearings play a major role in the Commission's accountability to Parliament. While seen as a confrontation, once passed it strengthens the new Commissioners' positions. This is all the more important given Parliament's increasing efforts to shape, together with the Commission and Council, the Union's annual and multiannual programming (Article 17(1) TEU). Hearings could therefore become the starting point for stronger political agenda-setting at EU level.

However, the growing politicisation of the confirmation hearings is not universally welcomed. Some point out that a parliamentary-based Commission would not be independent enough and would not have the legitimacy to carry out its traditional duties – for example, of acting as guardian of the Treaties or monopolising the right of legislative initiative.[11] Criticism has been expressed by some experts that Commissioners-designate are tested in the confirmation hearings on their competence in the portfolio assigned, whereas the Treaties stipulate that the Commissioners should be chosen on the basis of their 'general competence and European commitment'.

Moreover, the focus on the political views of individual Commissioners-designate is seen by some as contradictory to the Parliament being able only to approve or reject the Commission as a whole. The possibility of Parliament rejecting the whole College because of the bad performance of one Commissioner-designate is thus seen as a disproportionate measure.[12] Some argue that MEPs' far more aggressive interrogation of candidates from opposing European political families than of those belonging to their own results in a power struggle, not only within the institutional triangle of the Parliament, Council and Commission, but also between the political groups in Parliament. This approach might also reduce the ability to build stable majorities throughout the legislative period.

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BRIEFING

European Council Briefing

European Parliament

Setting the European political priorities for 2024–2029

The EU's priorities for the 5-year institutional cycle are outlined in the European Council's Strategic Agenda. Subsequently, the European Commission sets its priorities in the president's political guidelines, which are a first step in operationalising the EU priorities outlined in the Strategic Agenda. These priorities will then be translated into concrete initiatives included in the Commission's annual work programmes, before being submitted to the European Parliament and the Council of the EU in the form of legislative (and non-legislative) proposals.

This briefing outlines the main policy priorities for the EU in the coming years, and analyses the differences in views of the European Council and the European Commission. With some exceptions, the European Council's and the Commission's policy priorities generally converge, as both documents, although organised differently, focus on three main priorities: democracy, security and competitiveness. When comparing them with the political priorities of the previous institutional cycle, it becomes evident that democracy and defence have gained in importance, while climate and energy are less salient than before. The analysis shows that the political guidelines pay significantly more attention to social issues than the Strategic Agenda. Conversely, the two policy clusters 'external policies' and 'climate and energy' receive more attention in the Strategic Agenda. However, external policy in general now feeds into all policy areas, intertwining with internal policies. While this is more explicit in the Strategic Agenda, the emphasis on Europe's role in the word runs like a red thread through both documents, reflecting a major shift away from past political priorities.

The comparison identifies the topics that are missing from one or the other document, points out where different approaches are being taken on specific policy issues and where particular concepts have changed since the last institutional cycle. The briefing also outlines the specific initiatives mentioned in the political guidelines by policy cluster, notably those with a timeline.

The EU's political priorities in two strategic documents

The EU's priorities for the 5-year institutional cycle are a combination of the European Council's **Strategic Agenda**, reflecting the views of Member States and the political balance within the institution, and the **political guidelines** drafted by the candidate for European Commission President, which take the results of the European Parliament elections, and the corresponding weight of the political families, into consideration. Both documents influence Council Presidency programmes, Commission annual work programmes, and legislative proposals put forward by the Commission – and, in turn, the legislative work of Parliament and the Council.

While both documents set out the political priorities for the EU, the nature of each differs. The Strategic Agenda sets strategic orientations for the EU at the macro level, without indicating specific initiatives or a specific timeline. Moreover, it needs to be adopted by all EU Heads of State or Government by unanimity, meaning the content cannot be too controversial and often leaves some room for interpretation. The political guidelines, while also mentioning the macro objectives, in addition indicate specific initiatives, some even with a concrete timeline. This difference in nature is also reflected in the documents' respective length, whereby the Strategic Agenda is rather short and the political guidelines tend to be much longer.

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European Council Oversight Unit

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Strategic Agenda 2024-2029

The European Council is composed of the Heads of State or Government of the EU Member States, as well as its President and the President of the European Commission. Its role, as defined in Article 15(1) of the Treaty on European Union (TEU), is to 'provide the Union with the necessary impetus for its development' and to define its 'general political directions and priorities'.

The Strategic Agenda 2024-2029 was adopted by the European Council on 27 June 2024. As described in an EPRS briefing, it results from a year-long process to which the Member States – and EU Heads of State or Government personally – contributed. The outgoing Commission President, and now President-elect, Ursula von der Leyen, was largely excluded from this process by the European Council President, Charles Michel, as she was not invited to participate in any of the small group meetings with Members of the European Council, which took place as part of the preparatory process.

European Commission political guidelines

In the political guidelines, the candidate for the office of European Commission President outlines their view of the EU priorities for the next 5 years. This document then forms the basis for the subsequent design of the Commissioners' portfolios.

Ursula von der Leyen presented her Political Guidelines 2024-2029 on 18 July 2024. The guidelines are always published shortly after the Strategic Agenda. This timing is designed to enable EU leaders to influence the Commission's priorities for the next 5 years, which - as specified by President von der Leyen in the introduction – 'draw on ... the European Council's Strategic Agenda for 2024-2029'., and 'on my consultations and on the common ideas discussed with the democratic forces in the European Parliament'.

Main political priorities

Structure

The structures of the Strategic Agenda and the political guidelines differ considerably. The Strategic Agenda is based on three policy priorities and 10 sub-priorities (see Figure 1).

Figure 1 – Strategic Agenda 2024-2029



Source: Compiled by the author, 2024.

Conversely, the political guidelines have six policy priorities and a seventh horizontal priority on 'delivering together and preparing our Union for the future', which includes three sub-themes: the multiannual financial framework (MFF), reforms and institutional cooperation (see Table 1).

Table 1 – Main priorities in the Strategic Agenda and the political guidelines for 2024-2029

Strategic Agenda	Political guidelines
A free and democratic Europe	1. A new plan for Europe's sustainable prosperity and competitiveness
A strong and secure Europe	2. A new era for European defence and security
A prosperous and competitive Europe	3. Supporting people, strengthening our societies and our social model
	4. Sustaining our quality of life: Food security, water and nature
	5. Protecting our democracy, upholding our values
	6. A global Europe: Leveraging our power and partnerships
	7. Delivering together and preparing our Union for the future

Source: Compiled by the author, 2024.

However, while the political guidelines have seven priorities, von der Leyen stated three core priorities: 'prosperity', 'security' and 'democracy'. These overlap one to one with the three priorities outlined in the European Council's Strategic Agenda.

Comparison

An analysis of both the overlap and the differences between the policy priorities in the two documents shows that:

- there is a strong overlap between the priorities 'A free and democratic Europe' and 'Protecting our democracy, upholding our values', as well as with some elements from 'A global Europe: Leveraging our power and partnerships';
- the priority 'A prosperous and competitive Europe' covers most elements of the priority 'A new plan for Europe's sustainable prosperity and competitiveness', and some aspects of the priority 'Supporting people, strengthening our societies and our social model';
- the elements under the Strategic Agenda's priority 'A strong and secure Europe' can be found in the political guidelines mainly under the priorities 'A new era for European defence and security' and 'A global Europe: Leveraging our power and partnerships';
- social issues addressed in the political guidelines under the priority 'Supporting people, strengthening our societies and our social model' have no corresponding chapter in the Strategic Agenda and are only briefly addressed in the sub-priority 'Advancing together'.

An examination of the overlap and differences between horizontal topics yields the following results.

- The political guidelines' chapter 'Delivering together and preparing our Union for the future', with its three sub-themes – MFF, reforms and institutional cooperation – has no corresponding chapter in the Strategic Agenda.

- One of the sub-themes – the next MFF – is addressed at the end of the introduction of the Strategic Agenda. Both documents stress the need to focus EU spending better on the EU's priorities and to address the need for new own resources.
- The delivery priority's second sub-theme – reforms – is addressed in the Strategic Agenda under the sub-priority 'Preparing a bigger and stronger Union' within the priority 'A strong and secure Europe'. In the context of enlargement, both documents acknowledge the need to address necessary internal reforms in order to ensure that EU policies are future-proof. However, while the follow-up to the Conference on the Future of Europe and the need for Treaty change are stressed in the political guidelines, they are not mentioned in the Strategic Agenda.
- While cooperation with the European Parliament is the third sub-theme in the political guidelines' delivery priority, relations between the EU institutions are hardly mentioned in the Strategic Agenda. The only reference to interinstitutional relations can be found at the end of the introduction, which stresses the need for 'the institutional balance of powers as set out in the Treaties and the principles of conferral, subsidiarity and proportionality' to be respected.

Changes to the priorities since the last institutional cycle

When comparing the political priorities with those of the 2019-2024 period (for details, see EPRS analysis), the following points can be identified.

Owing to changes in the geopolitical reality over recent years, the political priorities place **stronger emphasis on the EU's external role**, in particular regarding defence and enlargement. External policy in general now feeds into all policy areas and, in the case of the European Council's Strategic Agenda, internal and external policy are systematically intertwined. This is a novelty, as external policy – entitled 'Promoting Europe's interests and values in the world' and 'A stronger Europe in the world' respectively – has in the past constituted a separate headline priority. This is an important conceptual change, mainstreaming external relations.

The focus on **sovereignty and economic security**, which was also stressed in the report by the former President of the European Central Bank, Mario Draghi, is another addition to the EU's long-term political priorities. While previously used only in the context of digital policies, the focus on sovereignty is now used in various strategic sectors, notably defence, energy, food, and economic policy more broadly. This reflects lessons the EU learned from the COVID-19 pandemic and the war in Ukraine. A call for sovereignty in these strategic sectors has been mentioned in numerous European Council conclusions over recent years, and is now used for the first time in the long-term strategic priorities.

A noteworthy shift compared with the previous institutional cycle is the first-time inclusion of a specific **priority on democracy** in the Strategic Agenda, which even tops the list of priorities. Previous Commission political guidelines already had a priority on democracy, and so do the current guidelines: von der Leyen states that 'strengthening the rule of law will be our daily work and duty'.

Migration and internal security have a similarly high standing as in the previous institutional cycle's political priorities. However, the perspective has widened this time around. Already a significant topic in the 2019-2024 institutional cycle, migration was, however, considered in the Strategic Agenda primarily from the angle of the fight against irregular migration. By contrast, the previous political guidelines already referred to the need to set up legal pathways for migration. For the current period, both documents give broader scope to the migration concept.

Another common feature of both documents is that **green growth, climate and energy** do not constitute a headline priority, unlike in the 2019-2024 institutional cycle. Although they are addressed in connection with different priorities by the European Council and the Commission President, the mere fact that these topics do not appear as a main priority indicates a significant shift in policy priorities compared with the previous period. Moreover, when they are referred to in the documents, the topics are mostly presented from a competitiveness and investment

perspective, the two main themes running through the political guidelines. Nevertheless, the objective of building a 'genuine energy union' has been given greater weight, which is linked to the changed geopolitical situation and the need to secure energy supplies.

Health has also grown in importance, albeit on a smaller scale, as a result of the COVID-19 pandemic and the need to ensure preparedness.

Besides the headline priorities, the focus of the European Commission's political guidelines is also reflected in the **motto** the institution gives itself. While the 2014-2019 Commission wanted to be known as a 'political Commission', the 2019-2024 Commission defined itself as a 'geopolitical Commission'. Now, its President referred to the new Commission as an 'investment Commission' – 'investment' also being the concept most often mentioned in the political guidelines. By contrast, the concept most often referred to in the European Council's Strategic Agenda is 'security' (the second-most used concept in the political guidelines).

Furthermore, the **meaning of concepts** can change from one institutional cycle to another. In the Political Guidelines 2019-2024, the priority 'Protecting our European way of life' addressed issues such as the rule of law, strong borders, migration and internal security. In the Political Guidelines 2024-2029, the Commission President refers again to the 'European way of life', but in the context of the EU's social model as well as its culture and history. Moreover, she states that 'farming is a core part of our European way life – and it must always stay that way'.

A similar expansion of concept can be observed with **resilience and preparedness**. In the last Strategic Agenda, the concept applied primarily to natural and man-made disasters, while in this institutional cycle, it is given a much broader scope, to include democracy, trade, and a clear defence and security component.

Policy clusters

As outlined above, the Strategic Agenda and the policy guidelines are structured around priorities that differ in terms of their number, name, order and the policy issues they include. To be able to compare the policy content, the analysis in this briefing is therefore organised by policy cluster: (i) Justice and home affairs; (ii) Economic policies; (iii) Employment and social affairs; (iv) External policies; and (v) Climate and energy.

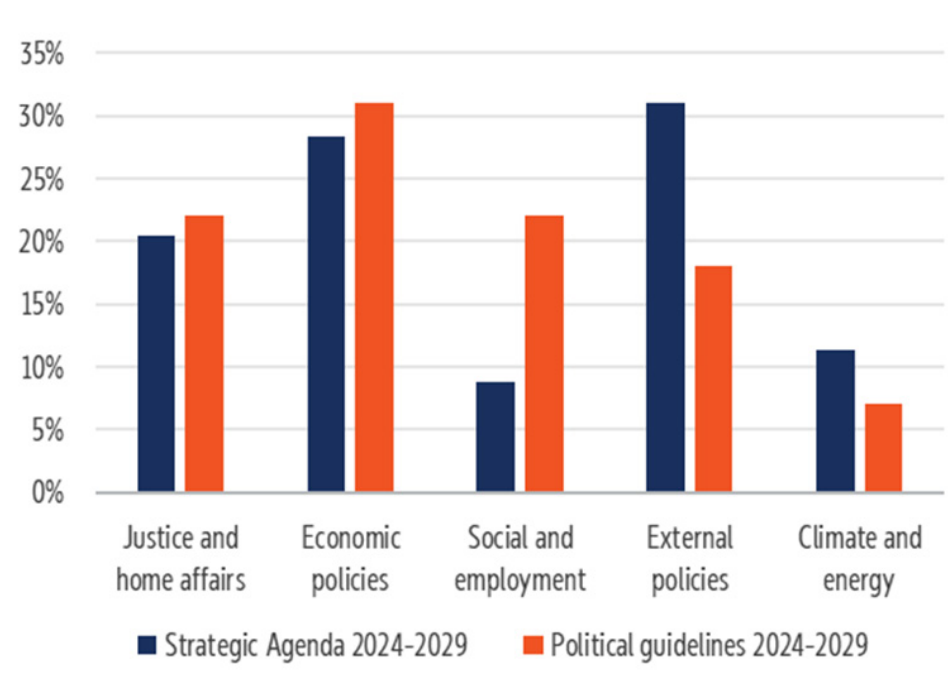
General attention to policy clusters

As seen in Figure 2 below, the attention (expressed in word count) paid to each policy cluster varies, sometimes significantly, between the two documents.

The most striking difference is that social and employment policy received over twice as much attention in the political guidelines as in the strategic agenda. The lower salience of social and employment issues in the strategic agenda could be explained by the fact that there were during the process fewer Heads of State or Government belonging to the family of European socialists in the European Council, and only four when the document was finalised in June 2024. Conversely, the political guidelines took into consideration the political forces in the European Parliament, where the Alliance of Socialist and Democrats is the second biggest group.

Moreover, the two policy clusters 'external policies' and 'climate and energy' receive substantially less attention in the political guidelines that they do in the strategic agenda.

Figure 2 – Attention paid to different policy clusters



Source: Compiled by the author, 2024.

Specific policy differences

As the political guidelines are a longer document than the Strategic Agenda, it could theoretically mention all the elements outlined in the Strategic Agenda. In practice, it does cover almost everything, although a number of policy concepts specifically addressed in the Strategic Agenda are not mentioned in the political guidelines. These include:

- *Sustainable Development Goals*: the Strategic Agenda calls on the EU to promote the achievement of the Sustainable Development Goals, a reference not included in the political guidelines;
- *human rights at global level*: the Strategic Agenda explicitly calls on the EU to promote human rights at global level and defend them in international forums, while the political guidelines refer solely to the human rights situation inside the EU, in particular in the context of asylum procedures;
- *entrepreneurship*: while the Strategic Agenda calls for 'unleash[ing] the European spirit of entrepreneurship', the political guidelines do not mention the concept.

Conversely, some EU policy concepts – asylum, fisheries, and citizens' participation in the formulation of EU policy recommendations for improved democratic legitimacy – are detailed in the political guidelines, but not mentioned in the Strategic Agenda.

Sometimes, the same topic is addressed in both documents, but the approach taken differs slightly.

- *Foreign direct investment* is viewed differently in the Strategic Agenda and the political guidelines. While the former stresses the need to attract foreign investment, the latter cautions about the potential risks of foreign direct investment.
- *State aid*: the Strategic Agenda calls for a 'balanced and effective State aid and competition framework'; the political guidelines mention the revision of State aid rules specifically in the context of enabling housing support.
- *International institutions*: the Strategic Agenda calls for upholding the United Nations (UN) and the principles enshrined in the UN Charter. The political guidelines mention

the UN in the context of a reform of the international system. Both documents also stress the World Trade Organization's central role, with the political guidelines calling for reforming that organisation, as well.

Explicit initiatives in the political guidelines

Coming at a later stage than the Strategic Agenda, the political guidelines are designed to be more operational, and thus also to include specific initiatives (see Table 2). Around 65 initiatives are explicitly set out in the political guidelines.

In proportion to the overall attention dedicated to climate and energy (7 % of the policy text in the political guidelines), this cluster has a relatively strong share of announced initiatives (16 %). Conversely, the external policies cluster receives 18 % attention of the policy text but only 9 % of the announced initiatives. One possible explanation for this could be the limited role for legislative activities at the EU level.

Table 2 – Specific policy initiatives in the political guidelines per policy cluster

Cluster	Specific initiatives
Justice and home affairs	18 %
Economic policy	25 %
Employment and social affairs	26 %
External policies	9 %
Climate and energy	16 %
Horizontal	6 %

Source: Compiled by the author, 2024.

Initiatives with a timeline

Some of the initiatives outlined are already linked with a specific time horizon, namely the commitment to be put forward within the first 100 days. These are:

- clean industrial deal for competitive industries and quality jobs;
- European action plan on the cybersecurity of hospitals and healthcare providers;
- AI Factories initiative;
- white paper on the future of European defence;
- first annual youth policy dialogues;
- a vision for agriculture and food;
- pre-enlargement policy reviews.

Other specific initiatives to be proposed soon after, in 2025, include:

- a new European biotech act;
- first set of new important projects of common European interest (IPCEIs);
- new pact for European social dialogue;
- a new long-term budget.

Conclusion

The EU's political priorities, updated every 5 years at the beginning of each new institutional cycle, are expressed in the European Council's Strategic Agenda and the European Commission's political guidelines. The analysis of these strategic documents has shown a general convergence of the European Council's and the Commission's policy priorities; both documents, although organised differently, focus on three main priorities: democracy, security and competitiveness. When looking at specific policy clusters, the analysis shows that the political guidelines pay significantly more attention to social issues than the Strategic Agenda. Conversely, the two policy clusters of 'external policies' and 'climate and energy' receive more attention in the Strategic Agenda. Sometimes, the same topic is addressed in both documents, but with a slightly differing approach, notably regarding foreign direct investment and State aid.

A comparison with the political priorities of the previous institutional cycle shows some important developments. Taking the experience from recent crises and the changing geopolitical environment into account, external relations are given a prominent role. Moreover, in the case of the European Council's Strategic Agenda, relations with third countries and partners are mainstreamed throughout all EU policy areas. This new way of perceiving the EU's relations with the rest of the world highlights the fact that external relations are not a separate matter, but intertwined with EU policies and impacting on them. Moreover, democracy as well as defence have gained in importance in the new institutional cycle, while climate and energy are less salient than before.

The EU's political priorities, as outlined in the Strategic Agenda and the political guidelines, are likely to be reflected in subsequent legislative and non-legislative proposals put forward by the Commission, and consequently, in the European Parliament's and the Council of the EU's day-to-day work. The political guidelines, having a stronger operational dimension than the Strategic Agenda, already include many forthcoming initiatives, some associated with a specific timeline.

Beyond the priorities included in the Strategic Agenda and agreed by the EU Member States by consensus, some differences of views on the means of implementation have already emerged. One such example could be the need to invest more in Europe's economy, for the continent to stay competitive, a priority also outlined in the Draghi report. While this requirement is generally not disputed, the exact way of putting it into practice is highly debated. There are a number of other topics on which differences in national positions suggest that challenging discussions in the new term are likely; these include, in particular, migration, the MFF, and relations with third-country economic partners and rivals.

While the general political priorities for this institutional cycle are now set, the European Council will continue to fine-tune and adjust them, if this is necessary in reaction to internal and international developments, by issuing conclusions on relevant topics during its meetings. The scrutiny of and debate on these activities in the European Parliament are essential.

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This compendium brings together a set of briefings prepared by the European Parliamentary Research Service (EPRS) to guide Members of the European Parliament through the parliamentary hearings of Commissioners-designate in early November 2024. These public confirmation hearings form the backdrop to Parliament's confirmation vote on the College of Commissioners put forward by Ursula von der Leyen, following her re-election as Commission President by the European Parliament in July 2024. In addition to an overview of the process, setting its historical and political context, this volume contains a briefing on each of the Commissioners-designate and their portfolios. Each of these briefings highlights some of the key issues and recent developments in the portfolio, as well as looking back on Parliament's activity in the area in the last parliamentary term.

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